

Innovating for growth

Annual report and financial statements 2013



Cover Photo: The Thika Highway Interchange

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Barclays at a glance

Net Interest Income

Shs 18,860 m

Up by 4% on 2012

Total Income

Shs 27,922m

up by 2% on 2012

Profit Before Income Tax

Shs 11,134m

down by 14% on 2012

Deposits from customers

Shs 151,125m

Up by 10% on 2012

Loans and advances

Shs 118,362m

Up by 14% on 2012

Total Assets

Shs 206,739m

Up to 12% on 2012

Employees

3,829

Total Dividends

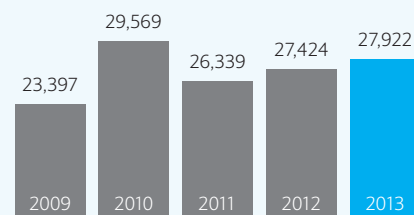
Shs 3,802m

Branches

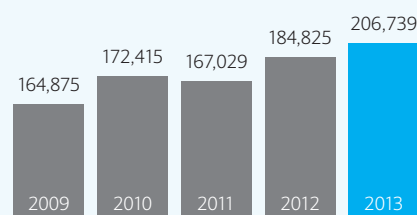
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ATMs

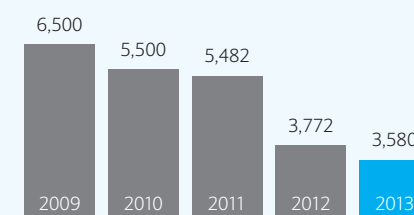
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Total Income (Shs' m)



Total Assets (Shs' m)



Gross non performing loans and advances (Shs' m)

Five-year Review

	2009 Shs Million	2010 Shs Million	2011 Shs Million	2012 Shs Million	2013 Shs Million
Consolidated statement of profit or loss					
Interest Income	17,517	17,131	17,632	21,041	21,297
Interest Expense	(2,747)	(1,457)	(1,296)	(2,896)	(2,437)
Net Interest Income	14,770	15,674	16,336	18,145	18,860
Non Interest Income	8,627	13,895	10,003	9,279	9,062
Operating Income	23,397	29,569	26,339	27,424	27,922
Operating expenses	(13,882)	(14,816)	(13,539)	(14,260)	(15,565)
Impairment on loans and advances	(513)	(1,200)	(729)	(144)	(1,223)
Profit before income tax	9,002	13,553	12,071	13,020	11,134
Income tax expense	(2,911)	(2,954)	(3,958)	(4,279)	(3,511)
Profit after taxation	6,091	10,599	8,113	8,741	7,623
Earnings per Share	4.49	1.95	1.49	1.61	1.40
Dividends per Share	2.50	1.36	1.50	1.00	0.70
Dividend Payout Ratio	0.56	0.70	1.01	0.62	2.00
Consolidated statement of financial position					
Assets					
Loans and advances to customers(Net)	93,543	87,147	99,072	104,204	118,362
Cash and Short term funds	9,751	13,131	12,212	16,486	16,908
Government Securities	43,861	55,996	37,599	47,536	47,559
Property and Equipment	5,921	3,244	3,056	2,667	2,786
Other Assets	11,799	12,897	15,090	13,933	21,124
Total assets	164,875	172,415	167,029	184,825	206,739

Five-year Review

Consolidated statement of financial position (continued)

	2009 Shs Million	2010 Shs Million	2011 Shs Million	2012 Shs Million	2013 Shs Million
Liabilities					
Customer Deposits	125,869	123,826	124,207	137,915	151,125
Other liabilities	14,797	17,124	13,599	17,324	23,242
Total Liabilities	140,666	140,950	137,806	155,239	174,367
Net Assets	24,209	31,465	29,223	29,586	32,372
Shareholders Funds	24,209	31,465	29,223	29,586	32,372
Performance Ratios:					
Return on equity	25.2%	33.7%	30.1%	29.5%	23.5%
Cost income ratio	59%	57%	51%	52%	56%
Loan loss rate	1%	1%	1%	0%	1%
Balance Sheet Ratios:					
Net advances to deposits(%)	74%	70%	80%	76%	78%
Impairment allowances/Gross Advances	3.8%	4.2%	3.3%	3.5%	3.0%
Classified Debt/Gross Advances	6.0%	6.4%	4.5%	5.4%	3.3%
Others					
Number of Employees	5,325	5,039	4,205	4,101	3,829
Number of Branches	119	119	119	119	118

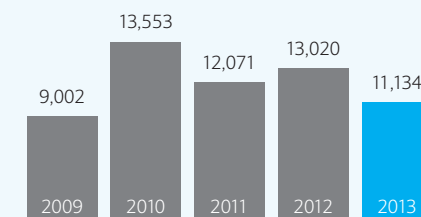
Key Performance Indicators

Key Performance Indicators (KPIs) presented below reflect the way in which the performance of Barclays has been measured during 2013

Profit Before Income Tax (PBT)

Profit before income tax dropped by 14% mainly attributable to a one off restructuring cost in 2013 and significant non recurring impairment recoveries recorded in 2012.

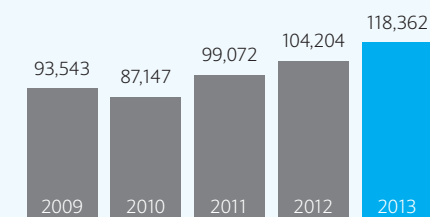
However we continue to remain profitable and this is made possible by our stringent cost controls and dedicated and talented workforce that continue to drive sales.



Loans and advances (Net)

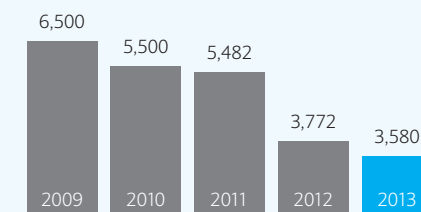
Customer assets grew by 14% driven by aggressive sales campaigns and further boosted by downward trend on interest rates.

Our loan book growth is largely made up of top quality assets.



Gross non performing loans and advances

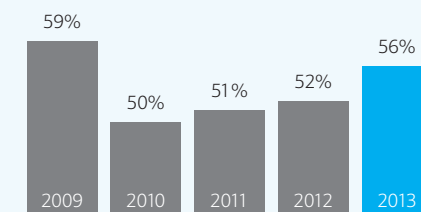
Gross non performing loans and advances dropped by 4.6% demonstrating prudent credit risk management processes that has led to high quality loan book.



Cost Income Ratio

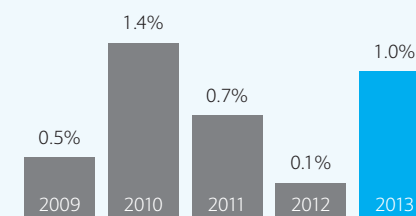
Cost income ratio increased to 56% on the base of one off restructuring cost of Shs 788 million in 2013. Excluding the restructuring the cost income ratio for 2013 is 53%.

Cost remains an area of strategic focus.



Loan Loss Rate

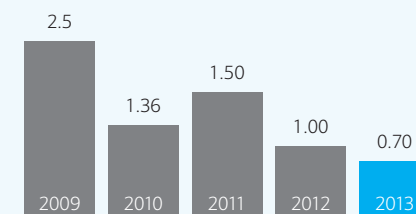
The loan loss rate remains marginal at 1% demonstrating the quality of the asset book.



Dividend per Share(DPS)

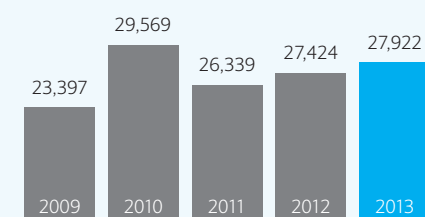
The total dividend per share for 2013 is Shs 0.70 representing a 50% dividend payout.

While recognizing our regulator's desire for us to maintain strong capital ratios and in light of the revised prudential guidelines, the dividend payout is conservative compared to historical highs in prior years.



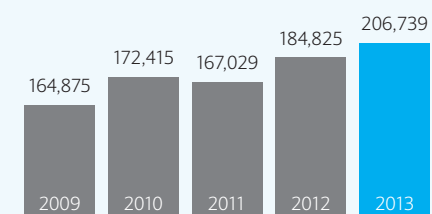
Total Income

Total income increased marginally by 2%. This is attributable to increase in net interest income amounting to Shs 715 million, partially offset by marginal decline in non-interest income of Shs 217 million.



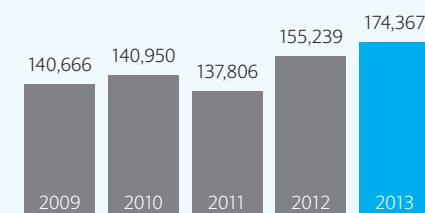
Total Assets

Total assets grew by 12%, mainly driven by a 14% growth in loans and advances to customers.



Total Liabilities

Total liabilities grew by 12% primarily driven by a 10% growth in customer deposits. Increase in customer deposits was due to increased focus on relationship building.



Who we are

Barclays has operated in Kenya for over 97 years. Financial strength coupled with extensive local and international resources have positioned Barclays Bank of Kenya as a top provider of financial services in the market.

With an extensive footprint of 118 outlets and over 230 ATMs spread across the country, the Bank boasts of years of solid financial performance that has built confidence among the Bank's shareholders, as well as a reputation as one of the leading blue chip companies on the Nairobi Securities Exchange. The Bank also has robust Internet and Mobile Banking platforms as well as a 24/7 call centre that offers superior service to all customers.

The Bank whose goal is to build not only a sustainable, trusted business, but a business which customers and clients consider as the first choice for answers and solutions - provides a full spectrum of solutions ranging from personal banking, credit cards, corporate and investment banking, wealth and investment management to its customers across the country.

As a major global financial services organization, we need different thinking, new ideas and fresh perspectives and thus we strive to have a diverse workforce that is able to anticipate and deliver the needs of our customers in the various markets segments.

In order to achieve this, Barclays has embraced a diversity and inclusion agenda and we continuously harness our differences ranging from age, disability, education, ethnicity, gender, religion, beliefs and social background to create an environment where everyone can contribute to the best of their ability so as to not only enhance our position in the banking industry but also to contribute to the country's economic growth.

Who we are

What we want to be

Becoming the 'Go-To' bank

Our goal is to build not only a sustainable, trusted business, but a business which customers and clients consider as the first choice for answers and solutions – their 'Go-To' bank.

Customers and clients will benefit from our focus on doing business in the right way, putting them firmly in the centre of all that we do. 'Go-To' means a more efficient way of doing business and developing deeper relationships that sustainably improve return on shareholder investment.

Our purpose

Helping people achieve their ambitions – in the right way. We exist for our clients and customers, for our shareholders, our colleagues, and other stakeholders – we exist for the purpose of helping people achieve their ambitions.

Helping people – in the right way – means how we do it becomes as important as what we do.

Our values

We have created values that will embody our new goal and purpose. Barclays will be differentiated from peers by bringing these values to life every day in the way we behave.

Transparency must be at the heart of all we do – from financial disclosure to customer service.

The values we live by are:

Respect means valuing those we work with – our colleagues and other stakeholders. It is about building trust and promoting collaboration.

Integrity demands we act fairly, ethically and honestly. This requires us to have the courage to always do the right thing, never tolerating the wrong thing, and to be accountable for our decisions.

Service means ensuring our clients and customers are always uppermost in our minds. We must strive to exceed their expectations so we automatically become their 'Go-To' bank.

Excellence calls on us to use all our energy, skills and resources to deliver great service for our customers and clients and outstanding sustainable results for shareholders.

Stewardship is about being determined to leave things better than we found them, so we constantly strive to improve the way we operate as an organisation and the impact we have on society.

Chairman's Statement



“Our Bank has continued to deliver solid and sustainable financial performance thereby consistently building shareholder value through the years.”

Francis Okomo-Okello
[Chairman](#)

Introduction

I am pleased to present to you the Barclays Bank of Kenya 2013 Annual report as we continue to encourage your participation in the business development of your cherished investment.

The year under review was particularly challenging as it started on a slow economic tempo largely due to the general elections that were held in the 1st quarter. We are glad that the country successfully navigated through the important exercise setting the stage for strong economic performance in the second half.

2013 was a year of transition for the top leadership of the Bank. We welcomed Jeremy Awori as our new Managing Director in February 2013 taking over from Adan Mohamed who initially took up a role with Barclays Africa Group but later resigned in May 2013 after over 10 years of diligent service as Managing Director, to take a senior position in Government. The transition was seamless and I must congratulate Jeremy for integrating so well with the Board, employees, customers and clients and for bringing in renewed vigour and commitment to our goal to become the 'Go-To' bank in Kenya.



Jeremy Awori taking over the reigns of leadership from Adan Mohamed

Financial Performance

Our Bank has continued to deliver solid and sustainable financial performance thereby consistently building shareholder value through the years. Our Profit Before Income Tax was reasonable at Shs 11.1 billion given the significant investments we made in our business in 2013 to ensure that we remain competitive in the future. Even though this performance was 14% lower than 2012, the Board of Directors has recommended the payment of a final dividend of Shs 0.50 per share for your approval. This will bring the total dividend per share for the year 2013 to Shs 0.70, having paid out an interim dividend of Shs 0.20 per share in October 2013. The dividend payment constitutes a 50% pay out ratio which is above the industry average. The retained earnings will enable the Bank to build a sufficient capital buffer as the industry moves towards full implementation of the regulatory requirement of the Central Bank of Kenya (CBK) Prudential Guidelines. The proposed dividend will also allow the Bank to continue pursuing balance sheet growth by providing sufficient headroom to grow risk weighted assets.

I will now share highlights of some of the factors that impacted our local operating environment in 2013.

Operating Environment Overview

On a general level, the Kenyan Banking Sector recorded continued growth. Customer deposits grew by 12.50% from Shs 1.76 trillion in December 2012 to Shs 1.98 trillion in December 2013 while gross loans expanded by 17.65% from Shs 1.36 trillion in December 2012 to Shs 1.60 trillion in December 2013. This growth according to the industry regulator, CBK, was accompanied by an upsurge in credit risk with gross non-performing loans increasing by 30.91% up from Shs 61.56 billion in December 2012 to Shs 80.59 billion in December 2013.

Attesting to the challenging market conditions and declining lending rates, interest income on loans fell by 3.57% in 2013 to Shs 211.19 billion down from Shs 219.01 billion in 2012 with interest expense on deposits also easing by 27.38% to Shs 72.13 billion in 2013 down from Shs 99.32 billion in 2012.

In its credit survey for the year 2013, CBK is forecasting a rise in non-performing loans for the first quarter of 2014. However, your Bank is well placed on this score as it has maintained its non-performing loans below the industry average.

Macro Economic Environment Overview

On monetary policy, we were delighted to see CBK making integrated efforts towards the improvement in the management of the economy in 2013. Robust statements following bi-monthly Monetary Policy Committee meetings spelt clearly their focus and priorities and they allowed market players an opportunity to opine on the direction of any rate changes. The Central Bank Rate was revised during the year and stood at 8.5% at year end as the Government sought to signal a reduction in rates market wide to allow for private sector credit growth.

Real Gross Domestic Product grew by 5.2%, 4.3% and 4.4% in the first, second and third quarters of 2013 respectively. It is likely that the official full year growth numbers will come in slightly below the 5% mark. Sectors exhibiting growth in 2013 included manufacturing, electricity and water supply activities, construction and communication. The Bank has aligned its strategic agenda to pursue opportunities in these and other growing sectors of the economy.

CBK's efforts to maintain foreign exchange rate stability resulted in resilient inflows of Diaspora remittances, increased foreign investor participation at the Nairobi Securities Exchange and confidence by the market following a build-up in the CBK official foreign exchange reserves.

On a very positive note, the incident-free general elections saw increased investor confidence, which translated into more foreign direct investments due to markedly reduced political risk factors.

Our national economic resilience was particularly manifested during the months of August and September 2013 during the unfortunate fire incident at the Jomo Kenyatta International Airport and the terrorist attack at the Westgate Shopping Mall. In the days following the two incidents, exchange rate stability was maintained, an indication of sustained confidence in the economy.

Banking Developments

On the banking front, Kenya has continued to mark major development strides. On this, I would like to mention the decision by Kenyan banks to introduce new cheque processing timelines which resulted in a one day reduction in the time it takes for banks to process inter-bank cheques. This positive development will benefit bank customers by speeding up their cheque payment transactions, ultimately enhancing the flow of funds in the economy.

The new clearing cycle means that the "Paying Bank" has one business day to determine the fate of a cheque that they receive from the "Presenting Bank" via the Automated Clearing House, which is owned and operated by the Kenya Bankers Association.

Within the year 2013, the banking sector also embraced the Credit Information Sharing Initiative. The objective of this collaboration between CBK and Kenya Bankers Association is to oversee the implementation of not only negative but also positive credit information sharing amongst commercial banks.

All these critical developments will allow stakeholders to deepen the role of formal banking services in the market.

Regulatory Environment

The new Consumer Protection Act 2012 was passed in 2013 setting the stage for far reaching consumer protection regulations aimed at preventing unfair trade practices in consumer transactions. Within the banking and finance sector, the Consumer Protection Act outlines specific credit management laws that will now govern the provision of loan products. As a responsible corporate citizen and banking solutions provider, we welcome the spirit of the new law which will foster responsible banking practices in Kenya. For Barclays, the new law also complements well with our existing Treating Customers Fairly policy.

The regulatory environment last year also featured the introduction of a 10% Excise Duty which was introduced in the Customs and Excise Act on service fees charged for financial transactions. The service fees currently taxed under this provision include fees and commissions on money transfer services and other bank charges, excluding interest.

In compliance with the Unclaimed Financial Assets Act 2011 and following our shareholders amendment to our Articles of Association in 2012, we have stepped up efforts to ensure full compliance with this piece of legislation. In this respect, we continue to engage our esteemed customers, clients and shareholders by imploring them to update their records with us.

Barclays Africa Integration

Barclays Kenya is proud to have played its part in facilitating the successful completion of the consolidation of the majority of the Barclays Africa operations and Absa Group in July 2013 to form Barclays Africa Group Limited.

The successful completion of the integration continues to underscore the importance of Africa to the Barclays Group. Such importance cannot be gainsaid as Africa remains the Barclays Group's third largest region after the UK and US, contributing 11% of Barclays' first half profit before income tax in 2013 and 14% at year end.

Further, the integration was an important step in furthering the Barclays One Africa strategy and the goal to become the 'Go-To' bank in Africa. It places the Barclays Group in a strong position to effectively build synergies and seize opportunities across the various African markets for the benefit of customers and clients, colleagues, shareholders and the communities in which we operate.

Our Values

Globally, Barclays has undertaken a fundamental review of how our business operates. In Kenya, we have similarly aligned our business to the global Barclays picture. To achieve this, we have managed to review business performance and processes vis-à-vis our corporate culture. We are conscious of the fact that the values we espouse provide a solid platform for the Bank to deliver strong and sustainable returns.

During the year under review, we successfully managed to embark on a values entrenchment process. This program defines our corporate purpose and values across Barclays globally. Our common purpose is to help people achieve their ambitions – in the right way. We will measure and reward our people, not just on the basis of commercial results, but also on how they live our Values and bring them to life every day. In addition, we will judge our 'Go-To' success against a balanced scorecard focussing on measurement across Customer and Client, Colleague, Citizenship, Conduct and Company as further detailed in the Managing Director's Report.

The objective is to define the way we think, work and act at Barclays to ensure we deliver against our Purpose of helping people to achieve their ambitions – in the right way.

Lighting Up Kenya

With regard to our corporate citizenship agenda, the year under review continued to reflect well on our efforts to help people achieve their ambitions – in the right way. We remained alive to the fact that good stewardship demands that we take into account the needs of all our stakeholders and make decisions, which, in the long-term, are positive for our customers and clients, shareholders, colleagues and the communities in which we operate.

On this score, we successfully managed to roll out a flagship project geared at making solar energy more accessible to community centres, schools, clinics and communal buildings in many parts of rural Kenya. This £1.3 million initiative, which is funded through an international development charity SolarAid, aims to provide solar power, education and training opportunities for thousands of people across the country. You can read more about this in our Citizenship and Sustainability report.

Board Succession

Nick Mbuvi retired as a Director in August 2013 on medical grounds and we continue to wish him well in his recovery. John Waweru also retired as a Director of the Bank in December 2013 to pursue other opportunities and we wish him well in his new endeavours. During 2013, the Board commenced the search for new Non-Executive Directors to further strengthen its capacity and incorporate additional skills required to enable the Board to more effectively pursue the Bank's strategic agenda going forward. I am pleased to report that the rigorous interview process has been undertaken and additional Non-Executive Directors will shortly be appointed to the Board.



Colleagues discuss the Barclays Values with the Barclays Group Chief Executive Antony Jenkins

2014 Outlook

In 2014, it is expected that the country's GDP performance will improve further as development efforts devolve to the counties and macro economic fundamentals are kept strong creating a strong demand for credit. The Bank will continue to exercise strong risk management principles whilst still driving top line growth.

In conclusion, I would like to salute Barclays Kenya shareholders, customers, employees and partners, for their unwavering support and dedication to the Bank, and for their confidence in the Board and Management over the years. I laud the Government and CBK for their invaluable support and contribution to the development of a sound banking sector which has seen Kenya grow into a critical banking and financial pillar within the Eastern Africa region.

Francis Okomo-Okello
Chairman

Taarifa ya Mwenyekiti

Utangulizi

Ninaridhika kuwawasilishia ripoti ya mwaka ya 2013 ya Benki ya Barclays Kenya huku tukiendelea kukupa moyo wa kushiriki katika ustawishaji wa biashara ya uwekezaji wako uliothaminiwa.

Mwaka tunaouangazia ulikuwa na changamoto sana kwani ulianza kwa uchumi kutokua kwa kasi kwa sababu ya uchaguzi mkuu uliofanyika katika robo ya kwanza ya mwaka. Tuna furaha kuwa nchi ilifaulu kumaliza shughuli hiyo salama na kuandaa mazingira bora ya matokeo mazuri ya kiuchumi katika nusu ya pili ya mwaka.

Mwaka wa 2013 ulikuwa wa mpito katika uongozi mkuu wa Benki. Tulimkaribisha Jeremy Awori kama Meneja Mkurugenzi wetu mpya mwezi wa Februari 2013. Jeremy alichukua nafasi ya Adan Mohamed ambaye awali alikuwa amepata wadhifa tofauti katika Barclays Africa Group lakini alijiuzulu mwezi Mei 2013 baada ya zaidi ya miaka 10 ya kuchapa kazi vizuri kama Meneja Mkurugenzi, na kuchukua wadhifa kuu serikalini. Mpito ulikuwa shwari na lazima nimpungeze Jeremy kwa kutangamana vyema na halmashauri, wateja na wafanyikazi na kuongeza upya juhudi na kujitolea katika dira yetu ya kuwa benki ya “Go-To” katika soko hili.

Matokeo ya Kifedha

Benki yetu imeendelea kuwa na matokeo bora na endelevu ya kifedha na hivyo inaongeza thamani ya mwenyehisa kila mwaka. Faida yetu kabla ya kutozwa ushuru ilikuwa ya kiasi ya shilingi bilioni 11.1 kufuatia uwekezaji muhimu tuliofanyika katika biashara yetu mwaka wa 2013 ili kuhakikisha kuwa tunaendelea kutoa ushindani katika siku za usoni. Ingawa matokeo hayo yalikuwa 14% chini ya faida ya mwaka wa 2012, halmashauri ya wakurugenzi imependekeza kulipwa kwa mgawo wa mwisho wa senti 50 kwa kila hisa kwa ajili ya kuidhinishwa. Hiyo itafanya jumla ya mgawo wa mwaka wa 2013 wa kila hisa uwe senti 70 baada ya kulipwa kwa mgawo wa awali wa senti 20 kwa kila hisa mwezi wa Oktoba 2013. Ulipaji wa mgawo ni 50% ya uwiano wa malipo ambayo ni juu ya kiwango cha wastani katika sekta hii. Mapato yaliyobakia yatasaidia benki kuwa na mtaji wa kutosha wa hifadhi huku sekta ikiendelea kutekeleza kikamilifu mahitaji ya udhibiti wa mwongozo wa busara wa Benki Kuu ya Kenya. Pendekezo la mgawo pia litaruhusu benki kuendelea kuwa na ukuaji wa waraka mizania kwa kutoa fursa ya kutosha katika ukuaji wa rasilimali zinazokabiliwa na hatari.

Sasa nitawafahamisha baadhi ya mambo makuu ambayo yaliathiri shughuli zetu hapa nchini katika mwaka wa 2013.

Maelezo ya Jumla ya Mazingira ya Utendaji

Kwa ujumla, sekta ya benki ya Kenya ilikua. Uwekaji wa amana na wateja uliongezeka kwa 12.5% kutoka shilingi trilioni 1.76 mwezi wa Disemba 2012 hadi shilingi trilioni 1.98 mwezi wa Disemba mwaka wa 2013 ilihali jumla ya mikopo iliongezeka kwa 17.65% kutoka shilingi trilioni 1.36 mwezi wa Disemba mwaka wa 2012 hadi shilingi trilioni 1.60 mwezi wa Disemba mwaka wa 2013. Kulingana na mdhibiti wa sekta hii, Benki Kuu ya Kenya, ukuaji huu uliandamwa na ongezeko la hadhari kwa mikopo huku jumla ya mikopo isiyolipwa ikiongezeka kwa 30.91% kutoka shilingi bilioni 61.56 mwezi wa Disemba mwaka wa 2012 hadi shilingi bilioni 80.59 mwezi wa Disemba mwaka wa 2013.

Uthibitisho wa mazingira magumu ya soko na kupungua kwa viwango vya riba vya ukopesaji, mapato ya riba inayotokana na mikopo yalipungua kwa 3.57% katika mwaka wa 2013 hadi shilingi bilioni 211.19 kutoka shilingi bilioni 219.01 mwaka wa 2012 huku gharama ya riba kwa amana iliyowekwa ikipungua kwa 27.38% hadi shilingi bilioni 72.13 mwaka wa 2013 kutoka shilingi bilioni 99.32 mwaka wa 2012.

Katika utafiti wake kuhusu mikopo mwaka wa 2013, Benki Kuu ya Kenya inabashiri kuongezeka kwa mikopo isiyolipwa katika robo ya kwanza ya mwaka wa 2014. Hata hivyo Benki yako imekuwa ikifanya vyema kuhusiana na hili kwani mikopo yake isiyolipwa iko katika kiwango cha chini kuliko cha wastani katika sekta hii.

Maelezo ya Jumla ya Mazingira ya Uchumi katika Kipeo Kikubwa

Kuhusu sera ya fedha pesa tulifurahia juhudi za Benki Kuu ya Kenya katika kuboresha usimamizi wa uchumi mwaka wa 2013. Taarifa nzito nzito baada ya mikutano miwili ya kila mwezi ya kamati ya sera kuhusu pesa zilieleza wazi malengo yao na kuruhusu washiriki katika soko kuwa na fursa ya kuamua mwelekeo kuhusu mabadiliko ya viwango vyovyote. Kiwango cha Benki Kuu kiliangaliwa upya katika mwaka huu na kuwa 8.5% katika mwisho wa mwaka huku serikali ikipigania kutoa ishara za kupungua kwa viwango vya soko ili kuwezesha ukuaji wa mikopo kwa sekta ya kibinafsi.

Pato halisi la ndani la kitaifa, GDP, lilikua kwa 5.2%, 4.3% na 4.4% katika robo ya kwanza, ya pili na ya tatu mtawalia katika mwaka wa 2013. Kuna uwezekano wa ukuaji rasmi wa mwaka utakuwa kidogo chini ya 5%. Sekta ambazo zilikuwa mwaka wa 2013 zilijumuisha za utengezaji bidhaa, umeme na shughuli za usambazaji maji, ujenzi na mawasiliano. Benki imepanga vyema ajenda ya mkakati wake ili kufuatilia fursa zilizoko katika sekta hizi na nyengine zinazokua katika uchumi.

Juhudi za Benki Kuu ya Kenya kudumisha kiwango cha ubadilishanaji wa pesa za kigeni zilichangia kuendelea kuletwa kwa pesa nchini kutoka ng'ambo, ongezeko la uwekezaji wa kigeni katika soko la hisa la Nairobi na kuongezeka kwa imani katika soko kufuatia kuimarika kwa hifadhi ya Benki Kuu ya Kenya ya pesa za kigeni.

Kwa hakika, kutotokea kwa visa vya kutishia amani katika uchaguzi mkuu kulisababisha ongezeko la imani ya wawekezaji lililosababisha uwekezaji wa moja kwa moja wa kigeni kutokana na kupungua kwa hadhari za kisiasa.

Uthabiti wa uchumi wetu wa kitaifa ulidhihiri zaidi katika miezi ya Agosti na Septemba 2013 wakati wa matukio ya kutamausha ya moto katika uwanja wa ndege wa kimataifa wa Jomo Kenyatta na shambulio la ugaidi katika Jumba kubwa la maduka ya kibiashara la Westgate. Katika siku zilizofuata baada ya matukio hayo, uthabiti wa kiwango cha ubadilishanaji wa pesa ulidumishwa, ishara ya kuwepo kwa imani kuhusu uchumi.

Yaliyotokea katika Sekta ya Benki

Kenya imeendelea kupiga hatua kubwa katika shughuli za benki. Kuhusiana na hili, ningependa kutaja uamuzi wa benki za Kenya kuanzisha muda mpya wa kushughulikia hundi za benki ambao ulipunguzwa hadi siku moja. Tukio hili litanufaisha wateja wa benki kwa kuharakisha malipo yao kupitia hundi na hatimaye kuimarisha mzunguko wa fedha katika uchumi.

Mfumo huo mpya unamaanisha kuwa benki inayolipa ina siku moja ya kazi kuamua hatima ya hundi inayopokea kutoka kwa benki iliyoandikwa kupitia jumba la mashine za uidhinishaji ambalo linamilikiwa na kuendeshwa na chama cha wenye mabenki.

Katika mwaka wa 2013, sekta ya benki pia ilianzisha mpango wa kutoa habari kuhusu mkopo. Lengo la ushirikiano huu kati ya Benki Kuu ya Kenya na Chama cha wenye mabenki ni kusimamia utekelezaji wa utoaji habari sio tu wa sifa mbaya bali pia habari nzuri kuhusu mikopo miongoni mwa benki za biashara.

Hatua hizi zote muhimu zitasaidia wadau kupanua jukumu la huduma rasmi za shughuli za benki katika soko.

Udhibiti wa Mazingira

Sheria mpya ya kumlinda mteja ya mwaka wa 2012 ilipitishwa mwaka wa 2013 na kuanzisha taswira yenye taratibu kadhaa za kumlinda mteja kwa lengo la kuzuia mienendo isiyofaa ya kibiashara katika shughuli za mteja. Katika sekta ya benki na fedha, sheria ya kumlinda mteja inaeleza sheria maalumu za usimamizi wa mikopo ambazo sasa zitasimamia utoaji wa bidhaa za mikopo. Kama shirika linalowajibika katika kutoa suluhu kwa raia na shughuli za benki, tunaikubali sheria hiyo mpya ambayo itaendeleza uwajibikaji katika utekelezaji wa shughuli za benki nchini Kenya. Sheria mpya inaendana vyema na sera ya benki ya kuwashughulikia wateja vizuri.

Udhibiti wa mazingira mwaka jana pia ulishuhudia kuanzishwa kwa ushuru wa 10% ambao ulianzishwa kupitia sheria ya forodha na ushuru kuhusu ada za huduma za shughuli za kifedha. Ada hiyo ya huduma ambayo kwa sasa inatozwa ushuru kupitia sheria hii inajumuisha ada na kamisheni zinazotazwa kwa huduma za uhamishaji pesa na ada nyengine za benki isipokuwa riba.

Katika kutii sheria kuhusu mali ya kifedha ambayo haijadaikiwa ya mwaka wa 2011 na kufuatia marekebisho yaliyofanywa na wenyekwa wetu katika kanuni zetu za msingi za ushirikiano katika mwaka wa 2012 tumeongeza juhudi kuhakikisha tunaitii kikamilifu sheria hii. Kufuatia hilo tunaendelea kuwashauri wateja wetu wapendwa pamoja na wenyekwa warekebishe na kufanya za kisasa rekodi zao tulizonazo.

Muungano wa Barclays Africa

Ikiwa sehemu ya Barclays Africa Group, benki ya Barclays Kenya inajivunia kutekeleza jukumu lake katika kurahisisha ufanisi wa mradi wa kuunganisha biashara nyingi za Barclays barani Afrika na shirika la ABSA mwezi wa Julai 2013 kuunda Barclays Africa Group Limited.

Ufanisi wa kumalizika kwa mwunganiko wa Barclays Africa na ABSA unaendelea kuimarisha umuhimu wa Afrika kwa Barclays Group. Umuhimu huo hauwezi kupingika huku Afrika ikisalia kuwa eneo la tatu kwa ukubwa kwa Barclays Group baada ya Uingereza na Marekani, kwa kuchangia 11% ya faida ya nusu ya kwanza ya Barclays Group kabla ya kutozwa ushuru mwaka wa 2013 na 14% kufikia mwisho wa mwaka.

Pamoja na hayo, uunganishaji wa biashara za Barclays barani Afrika na Absa ni hatua muhimu katika kuendeleza mkakati wa Barclays kama 'benki moja barani Afrika' na lengo la kuwa benki inayovutia zaidi "Go-To" katika bara la Afrika. Muungano huo umeiweka Barclays Group katika nafasi thabiti ya kufanya kazi kwa pamoja na kutumia fursa za kibiashara katika masoko tofauti ya Afrika.

Shughuli hiyo inatoa jukwaa ambalo tunaweza kukuza biashara yetu Afrika kwa ajili ya kuwanufaisha wateja, washiriki wetu, wenyekwa na jamii ambazo tunahudumu.

Kuweka Nuru Kenya

Kuambatana na ajenda ya ushirikiano na raia, mwaka tunaouangazia uliendelea kuakisi juhudi zetu za kusaidia watu kuafikia malengo yao – katika njia iliyo sawa. Tulisalia kudumisha ukweli kuwa uraia unamaanisha kuwajibikia mahitaji ya wadau wetu wote na kufanya maamuzi ambayo katika kipindi kirefu kijacho yatakuwa na manufaa kwa wateja wetu, wenyehisa, washiriki na jamii tunazohudumu.

Kuhusiana na hili, tulifanikiwa kuanzisha mradi wa kwanza uliolenga kufanya kawi ya jua kupatikana kwa urahisi katika vituo vya kijamii, shule, kliniki na majumba ya jamii katika maeneo mengi ya mashambani ya Kenya. Mradi huu wa pauni milioni 1.3 ambao unafadhiliwa kupitia shirika la kimataifa la maendeleo SolarAid, unalenga kutoa kawi ya jua, elimu na fursa za mafunzo kwa maelfu ya watu kote nchini. Unaweza kusoma zaidi kuhusiana na hili katika ripoti yetu kuhusu uwajibikaji wa kijamii.

Urithi wa Uongozi katika Halmashauri

Nick Mbuvi alistaafu kama Mkurugenzi mwezi Agosti 2013 kutokana na sababu za kimatibabu na tunaendelea kumtakia nafuu ya haraka. John Waweru pia alistaafu kama Mkurugenzi wa Benki mwezi wa Disemba 2013 ili kuandama shughuli nyengine na yeye pia tunamtakia kila la heri katika shughuli zake mpya. Katika mwaka wa 2013, Halmashauri ilianza kutafuta wakurugenzi wapya wasiokuwa watendaji ili kuimarisha zaidi uwezo wake na kushirikisha maarifa zaidi yanayohitajika kuiwezesha kutekeleza vyema ajenda ya mkakati wa benki. Nina furaha kuwafahamisha kuwa mahojiano yamefanywa na karibuni wakurugenzi zaidi wasiokuwa watendaji watateuliwa kujiunga na Halmashauri.

Maadili Yetu

Duniani, Barclays imeangalia upya msingi wa jinsi ya uendeshaji wa biashara yetu. Nchini Kenya pia tumefungamana na biashara yetu na taswira ya dunia ya Barclays. Kuafikia hili, tumeweza kuangalia upya matokeo ya biashara yetu pamoja na michakato yake sambamba na utamaduni wa shirika letu. Tunafahamu ukweli kuwa maadili tunayounga mkono yanatoa jukwaa thabiti kwa benki kuwa na faida thabiti na endelevu.

Katika mwaka tunaouangazia, tulifaulu kuanzisha mchakato wenye maadili. Mpango huu unafafanua sababu na maadili ya shirika letu la Barclays kote duniani. Lengo letu la pamoja ni kusaidia watu kutimiza malengo yao – kwa njia iliyo sawa. Tutatathmini na kuwazawadi watu wetu sio tu kwa misingi ya matokeo ya biashara, bali pia kuhusu udumishaji wa maadili yetu katika shughuli zetu za kila siku. Pamoja na hayo, tutatambua ufanisi wetu wa “benki ya kuenda” dhidi ya mizania ya utendaji kwa kutumia vigezo vya upimaji ambavyo ni; kampuni, mteja, mshiriki, tabia na uraia kama ilivyoielezwa kwa kina katika taarifa ya Meneja Mkurugenzi.

Lengo ni kufafanua jinsi tunavyofikiria, kufanya kazi na kutenda katika Barclays ili kuhakikisha tunakuwa na ufanisi mbali na kusudio letu la kusaidia watu kutimiza malengo yao – katika njia iliyo sawa.

Mtazamo wa 2014

Katika mwaka wa 2014, inatarajiwa kuwa pato la ndani la kitaifa, GDP, litaimarika huku juhudi za maendeleo zikiangaziwa katika kaunti na misingi ya uchumi katika kipeo kikubwa ikifanywa thabiti na kusababisha utashi mkubwa wa mikopo. Benki itaendelea kutumia kanuni thabiti katika usimamizi wa hatari huku tukishughulika na upeo wa ukuaji.

Katika kuhitimisha, hongereni wenyehisa wa Barclays Kenya, wateja, wafanyikazi na wabia kwa kuunga mkono benki bila ya kuyumba na kujitolea kwa ajili ya benki, na kuwa na imani na halmashauri na usimamizi katika miaka hiyo yote. Ninaipongeza serikali na Benki Kuu ya Kenya kwa ushirikiano wao na mchango wao katika ustawishaji wa sekta ya benki ambao umewezesha Kenya kuwa nguzo muhimu ya shughuli za benki na kifedha katika kanda ya Afrika Mashariki.



Francis Okomo-Okello
Mwenyekiti

Managing Director's Statement

“During 2013, the Board and Management formulated and adopted a three year business strategy which positions the Bank for growth and outlines a clear agenda for our success in the market.”

Jeremy Awori
Managing Director



It gives me great pleasure to present to you this year's report. Overall, we are happy with our performance for the year and we made significant progress in defining and executing our strategy for the future. During 2013, the Board and Management formulated and adopted a three-year business strategy which positions the Bank for growth and outlines a clear agenda for our success in the market. The three-year growth strategy primarily seeks to harness a variety of significant growth opportunities in the Retail, Corporate and Treasury banking fronts. In addition, with the re-launch of our Business Banking division we plan to tap into the vibrant small and medium sized enterprises market that is the engine for growth of our economy.

Our strategy is built on Barclays' unique and unrivalled capacity to leverage on our local, regional and global networks. We have invested significantly in the business and are already seeing encouraging early results largely in the growth of our balance sheet which is a key precursor for future income growth and profitability. We are also setting off on this journey on a sound capital and strong liquidity position with one of the most well-funded balance sheet positions in this market. I am convinced that the foundation has now been solidly laid to facilitate the Bank's growth into the future.

Our envisioned growth will be delivered through strong human resource, risk management and cost effective operational capabilities. We will continue with our aim to become the 'Go-To' bank in Kenya and live our purpose of helping people achieve their ambitions in the right way. We will also continue to focus on innovation of our products and services as we see our digital strategy being key in helping us improve our overall customer experience.

Working closely with the Board, we have agreed that the performance of Management will be measured through our balanced scorecard in five distinct areas: Company, Customer and Client, Colleague, Conduct and Citizenship. This balanced scorecard will help ensure that every key aspect of our business receives sufficient attention to build a sustainable and responsible enterprise for the mutual benefit of all our stakeholders both in the short and long term. Highlights of our achievements against the balanced scorecard during the year under review are set out below.

Company

Despite the slow start and many challenges in 2013, we recorded Shs 11.1 billion pre-tax profit, with revenue growth across most business segments but margin compression impacting others. Total Income grew marginally by 2% to Shs 27.9 Billion due to lower yields on loans and advances.

We undertook a series of initiatives to grow our balance sheet and are encouraged that in 2013 we recorded the fastest growth in our assets and liabilities in the last 7 years. Loans and advances to customers rose steadily by Shs 14 billion to Shs 118 billion, reflecting a 14% growth year on year giving us strong momentum for revenue growth in 2014. Customer deposits increased 10% to Shs 151 billion, a notable increment that will provide a strong base for growth going forward.



Customers at an Economic Forum hosted by Barclays Treasury in November 2013

Our operating costs increased by 9% in line with inflation and to accommodate salary increments. Our profitability in 2013 was impacted by significant one-offs such as a Shs 788 million restructuring cost. We also continued to invest in the refurbishment of our branches and in technology in pursuit of our digital strategy which included the installation of 23 new intelligent ATMs designed to accept real time cash deposits. We are confident that the investments we made in 2013 will begin to reflect on our performance in 2014.

In 2013 we continued to enjoy excellent under-writing and recoveries successes resulting in a decline in non-performing loans and advances by 5% despite our asset growth. Impairments stood at Shs 1.2 Billion at year end. The increase in impairments over the prior year was because of the significant Shs. 957 million corporate recoveries realized in 2012. Viewed against industry average, our gross impairments continue to trend well year on year.

In 2013 the combination of Barclays Africa Limited and Absa was concluded through which Barclays businesses in Botswana, Ghana, Kenya, Tanzania, Zambia, Seychelles, Mauritius and Uganda were brought under the umbrella of Barclays Africa Group Limited which had operations in Mozambique, South Africa and Tanzania. We have begun to benefit from the synergies derived from the integration in the form of support provided across borders to secure key corporate deals and in improving our technological infrastructure.

Arising from the prevailing market environment, we have continued to maintain a robust risk management policy.

Our risk management platform is anchored on the following key pillars:

- Direction;
- Assessment control;
- Reporting; and
- Management and challenge

These pillars allow us to assess our position through regular reviews of our credit risk models. With such reviews, we are able to maintain an early warning system that provides management agility to handle any risk indicators and trends.

We have heavily enhanced our disaster recovery systems to enable us seamlessly manage business operations in the unfortunate event of any disaster. In 2013 the resilience of our business continuity processes were challenged on two specific occasions. Firstly, when our branch at the Jomo Kenyatta International Airport was burnt down at the international arrivals terminal and secondly, when the Westgate Mall was the subject of a terrorist attack impacting our branches. I am pleased to inform you that due to the commitment of our employees and suppliers we were able to set up a branch on the airport within 48 hours and all our employees, customers and clients were safely evacuated from the Westgate Mall. To ensure minimum disruption to our customers and clients, we extended the banking hours at various branches in the vicinity of the Westgate Mall.

Customer and Client

We increased our focus on our customers and clients by actively maintaining the pace of customer-centric product delivery. We invested time and resources developing market leading products and 2013 was a year of many firsts. Exactly twenty-three years after the launch of the first ever ATM in Kenya, we unveiled CashSend, a revolutionary cardless money transfer service that allows Barclays account holders to securely transfer money to mobile phone subscribers who can then access the cash through any of our ATMs. In pursuit of our goal to facilitate 24/7 banking, we successfully revamped our Internet banking and developed the first smart phone and tablet software application in this market available on the Apple® Store. Our branch footprint also got another first with the first ever 24 hour branch at the port in Mombasa. In our quest to enhance the value of our loan products, we waived loan insurance costs on all our unsecured loan products thus providing significant cost savings to customers. Barclays is the first and only bank in this market that has done so.

We remained steadfast in undertaking a number of retail marketing campaigns to boost our sales such as the Mkopo wa Salo and our Fixed Rate Mortgage campaign. In addition, our Barclays Premier League credit card campaign resulted in eight winners watching Barclays Premier League matches live in the United Kingdom. We also hosted the Barclays Premier League Trophy Tour much to the delight of our customers.

Working with our customers, slightly more than a decade since the launch of our popular Prestige Banking services, we revamped and enhanced our Prestige Banking offering. Our



Zahid Mustafa, Head of Consumer Banking, with Marcel Desailly during the Barclays Premier League Trophy Tour

brand revitalization exercise was awarded the Best Re-branding Campaign by the Marketing Society of Kenya in 2013.

On the corporate banking front, we moved a notch higher when the entire industry recognized Barclays as the Corporate Bank of the Year 2013 at the annual Think Business Banking awards. We increased our focus on delivering a holistic suite of corporate banking products to our clients. We have set up a dedicated Investment Banking Unit to help support our clients and we are harnessing synergies with Barclays Group. This allows us to write significant Investment Banking deals in Debt and Capital Markets and to offer advisory services in the dynamic corporate world.

Last year, we had some notable successes in winning the following significant corporate deals:

- Kenya Electricity Generating Company Limited – As part of a consortium, we were appointed as Advisors and Arrangers to raise up to Usd 5 billion
- Marriott Drilling Africa Limited – Financing of the first oil rig deal in Kenya for an amount of Usd 13 Million
- East African Breweries Limited - Joint Lead Arranger and Placement agent for issuance of Commercial Paper worth Shs 5.4 billion.

The year also saw the launch of some key product propositions to our customers including mobile phone bulk payments and automatic validation and identification of deposits made by customers' distributors. This was in addition to our existing bouquet of corporate products including Cash Management, Trade Finance and Treasury services.

In Treasury, we boosted our foreign exchange trading business by proactively offering more competitive rates to retail customers across the branch network. We also ventured into the trading of fixed income securities and introduced a variety of risk management products such as diesel hedges, interest rate caps and fuel caps providing customers with an opportunity to manage diverse risks.

Colleague

As part of our drive to simplify our organisation and speed up decision making, we delayed the Bank and enhanced the span of control. This exercise combined with our investments in automation resulted in surplus human resource capacity in certain areas of the Bank. Accordingly, early in 2013 we ran a voluntary early retirement programme and released 177 employees. The programme enabled efficiencies and allows the Bank to reinvest in more sales and service employee roles which are essential for growing our business.



Participants at the Barclays sponsored Women in Leadership in Africa Forum

Our employees remain the backbone of our institution and I salute them for their efforts to continually build sustainable shareholder value. Competition in the industry for talent remains stiff but as Management we aim to ensure Barclays remains an employer of choice and we are committed to growing and nurturing talent required to drive our growth agenda.

In 2013 we endeavoured to build colleague engagement by enhancing the capability of our line managers to enable them address people issues effectively and create an enabling environment which allows for superior team performance.

We provided career progression and development opportunities and succeeded in exporting talent to other Barclays' businesses including Mozambique, Tanzania and South Africa. 79% of our vacancies were filled internally and our average attrition rate of 6.5% was well within the industry average of 10%. Our talent pool of high performing employees grew by 29% from the previous year and I am glad that 31% of them were hired for critical vacancies in 2013. We challenged talent focus groups to come up with solutions for key bank priorities and initiatives to stretch their capability and our annual Eagle Awards Programme remained a key intervention aimed at recognising and rewarding star performers.

Our diversity agenda covers gender, race, ethnicity, age, religion and disability. We are fully committed to ensuring our employee engagement efforts remain inclusive. In 2013, through our Women Network Forum 150 middle management women went through a mentorship programme with senior leaders to help them unlock their potential and achieve growth in their careers. We were also proud to sponsor the Women in Leadership in Africa Forum which brought together senior women leaders from different industries in East Africa to share their experiences in an effort to encourage younger women to fully embrace leadership opportunities and be a part of the future growth of Africa.

As part of our corporate culture, we encourage idea generation from all our employees. Over time, many useful ideas have been submitted and during the period under review our employees participated in a global Barclays competition named 'Pitch-In' where they had the opportunity to show case innovative ideas that can transform the Bank's business. I am pleased to report that two of our employees won the competition demonstrating the high calibre of talent we continue to build and retain in our business.

In 2013 we revised our performance review and reward approach to recognise behaviours that are in line with our values (described below). Employees were therefore rewarded based not only on achievement of agreed objectives ('the what') but also on the manner in which those objectives were achieved ('the how'). Going forward the performance of employees will be assessed on the basis of the balanced scorecard.

Conduct

In 2013 we rolled out our Values of Respect, Integrity, Service, Excellence and Stewardship and trained all our employees on the underlying behaviours expected from them to demonstrate the Values. Our Values underpin how we do business in Kenya. By their very nature, if we live by these Values we will deliver solid returns for our shareholders and sustainable value for all our stakeholders.

We also rolled out 'the Barclays Way' – a new Code of Conduct that prescribes the standards of behaviours expected through out the organisation to augment our Values and to ensure the proper management of issues such as conflict of interest, whistle blowing and the fair treatment of our customers. 'The Barclays Way' supplements the Code of Conduct requirements prescribed by the Central Bank of Kenya which we adhere to. In addition, a new Anti-Bribery and Corruption Policy was launched to guide not only how we source for business but also to set the standards we expect from all our partners and third party suppliers.

Citizenship

Barclays strives to forge lasting partnerships with our communities who remain the cornerstone of our business success. In the year under review, we maintained a robust and transparent approach to our Citizenship ideals.

Our commitment to maintain a Citizenship platform anchored on the vision of empowering the youth was upheld through the year. We renewed our partnership with Junior Achievement for an amount of Shs 187.8 million to fund the training and mentoring of out of school youth in life and business skills. Through various other platforms including the Banking on Change Programme, we committed financial resources to promote socio-economic empowerment and development through training on enterprise skills, financial literacy and life skills to our youth. We specifically targeted out of school youth, whom we sought to equip with practical entrepreneurial survival skills to foster their economic independence.

Following the Westgate Mall incident in September 2013 our Stand up for Kenyans campaign in partnership with Barclays Group raised over Shs 14 million in support of the victims of the tragedy.

You can read more about our community investment activities in our Citizenship and Sustainability report.

Conclusion

From a balance sheet perspective 2013 ended on a positive note. Based on this firm foundation, the current financial year will undoubtedly mark a turning point for the Bank as we begin our journey to increased revenue generation. In 2014 we expect to start reaping the benefits of our focus on innovation and business optimisation initiatives carried out in 2013.

We shall vigorously seek to enhance our market share by guaranteeing superior customer and client service delivered through a range of demand driven innovative products and services. We will also spare no effort in asserting our brand position to achieve the market recognition we deserve.

Most importantly, we are becoming the 'Go-To' bank in Kenya. We have consciously invested in the right people and technology solutions to ensure favourable returns for your investment in Barclays.

I would like to thank the Board for their support and guidance during my first year as the captain of this ship. My gratitude also goes to our employees, customers and clients as well as our shareholders for their continuing loyalty and support.



Jeremy Awori
Managing Director

Ripoti ya Meneja Mkurugenzi

Ni furaha kubwa kwangu kukupa ripoti ya mwaka huu. Kwa ujumla, tunafurahia matokeo yetu ya mwaka kwani tumepiga hatua kubwa katika kufafanua na kutekeleza mkakati wetu kwa ajili ya siku za usoni. Katika mwaka wa 2013, Halmashauri na Usimamizi uliandaa na kuidhinisha mkakati wa miaka mitatu wa biashara ambao unaiweka Benki katika ukuaji na kuelezea ajenda ya wazi ya ufanisi wetu katika soko. Kimsingi, mkakati huo wa miaka mitatu wa ukuaji unalenga kutumia fursa tofauti muhimu za ukuaji katika shughuli za benki za reja reja, shirika na hazina ya fedha. Pamoja na hayo, kufuatia kuzinduliwa tena kwa kitengo chetu cha shughuli za benki za biashara, tunapanga kutumia soko la biashara ndogo ndogo na za wastani zinazoshamiri ambazo ni mhimili wa ukuaji wa uchumi wetu.

Mkakati wa miaka mitatu umetilia maanani uwezo wa kipekee wa Barclays ambao hauna upinzani katika uwezo wa kushawishi mitandao yetu ya humu nchi, ya kanda na dunia. Tumewekeza zaidi katika biashara hii na tayari tumeanza kupata matokeo ya mapema yenye kuridhisha katika ukuaji wa waraka mizania ambayo ni ishara muhimu ya ukuaji wa mapato na faida katika siku za usoni.

Pia tumeanza safari hii na mtaji thabiti na ukwasi ambao unatuweka katika nafasi nzuri zaidi ya waraka mizania katika soko hili. Nimeshawishika kuwa msingi thabiti umewekwa kwa ajili ya ukuaji wa benki katika siku za usoni.

Fursa hizi zitapatikana kupitia utendaji mzuri wa wafanyikazi, usimamizi wa hadhari na uwezo wa kudhibiti gharama za utekelezaji shughuli. Tutaendelea na lengo letu la kuwa benki inayovutia zaidi - 'Go-To' hapa Kenya na kutimiza lengo letu la kusaidia watu kutimiza malengo yao katika njia ya sawa. Pia tutaendelea kuangazia ubunifu wa bidhaa na huduma zetu huku tukiendeleza mkakati wetu wa dijitali ambao ni muhimu katika kutusaidia kuboresha uzoefu wetu wa kuhudumia mteja kwa ujumla.

Kwa kushirikiana na Halmashauri, tumekubali kuwa utendaji wa Usimamizi utakadiriwa kwa kutegemea mambo matano muhimu: Kampuni, Mteja, Mfanyikazi Mwenzi, Mwenendo na Uraia. Ripoti hii ya utendaji itasaidia kuhakikisha tunajali kila kipengele muhimu cha biashara yetu ili kujenga biashara endelevu kwa ajili ya manufaa ya wadau wetu wote. Matukio muhimu ya ufanisi wetu wa utendaji katika mwaka tunaouangazia ni kama yafuatayo:

Kampuni

Licha ya mwaka wa 2013 kuanza kwa mwendo wa kobe na kukumbwa na changamoto nyingi, tulipata faida ya shilingi bilioni 11.1 kabla ya kutozwa ushuru, huku ukuaji wa mapato ukiwa katika vitengo vingi vya biashara lakini ziada hiyo iliathiriwa na vitengo vyengine. Mapato ya jumla yalikua kwa 2% na kufikia shilingi bilioni 27.9 mwisho wa mwaka kutokana na mapato kidogo kutoka kwa mikopo na malipo ya awali.

Tulianzisha msururu wa mipango ya kuimarisha waraka mizania yetu na tunajipa moyo kuwa katika mwaka wa 2013 tulikuwa na ukuaji haraka zaidi wa rasilimali zetu na madeni katika miaka 5 hadi 7 iliyopita. Mikopo na malipo ya awali kwa wateja iliongezeka kwa shilingi bilioni 14 na kufikia shilingi bilioni 118 mwisho wa mwaka, hiyo ni ongezeko la 14% ambalo limetupa kasi ya kuwa na ukuaji wa mapato katika mwanzo wa mwaka wa 2014. Tulipata ongezeko la 10% katika uwekaji wa amana wa wateja na kufikia shilingi bilioni 151 mwisho wa mwaka, ongezeko ambalo linatoa msingi thabiti wa ukuaji kuanzia mwaka huu.

Gharama zetu za uendeshaji shughuli zilikuwa kwa 9% kutokana na mfumuko wa bei na nyongeza za mishahara. Faida yetu mwaka wa 2013 iliathiriwa na shughuli za kufanya mara moja tu kama gharama ya upangaji upya wa kipekee wa shilingi milioni 788. Pia tuliendelea kuwekeza katika kukarabati matawi yetu na katika teknolojia katika kutekeleza mkakati wetu wa dijitali ambao ulijumuisha kuweka mashine mpya 23 za ATM ambazo zimeundwa katika hali ya kukubali uwekaji wa pesa katika muda huohuo. Tuna imani kuwa uwekezaji tuliofanya mwaka wa 2013 utaanza kuchangia matokeo yetu katika mwaka wa 2014.

Katika mwaka wa 2013 tulikuwa na ufanisi katika kuchukua dhamana ya kugharamia na kulipwa mikopo uliosababisha kupungua kwa mikopo isiyolipwa pamoja na malipo ya awali kwa 5% licha ya ukuaji wa rasilimali zetu. Gharama za mikopo zilifikia shilingi bilioni 1.2 mwisho wa mwaka. Ongezeko la gharama za mikopo isiyolipwa katika mwaka uliotangulia lilitokana na shirika kulipwa shilingi milioni 957 katika mwaka wa 2012. Ikilinganishwa na wastani wa sekta hii, gharama zetu zinaendelea kutotuathiri sana mwaka hadi mwaka.

Katika mwaka wa 2013, uunganishaji wa benki ya Barclays Afrika na Absa ulimalizika huku biashara za Barclays katika nchi za Botswana, Ghana, Kenya, Tanzania, Zambia, Ushelisheli, Mauritius na Uganda ziliwekwa chini ya Barclays Africa Group ambayo tayari ilikuwa na biashara za Barclays katika nchi za Msumbiji na Afrika Kusini. Tumeanza kunufaika kutokana na juhudi hizo za muungano kupitia msaada unaotoka katika nchi zote ili kupata mikataba ya shirika na kuimarisha muundomsingi wa teknolojia yetu.

Kulingana na jinsi hali ya soko ilivyo, tumeendelea kudumisha sera thabiti ya usimamizi wa hadhari.

Jukwaa letu la usimamizi wa hadhari limejengwa katika nguzo muhimu zifuatazo:

- Mwelekeo
- Udhhibiti wa tathmini
- Utoaji wa taarifa; na
- Usimamizi na Changamoto

Nguzo hizi zinatoweza kutathmini kiwango chetu kupitia uchunguzaji wa mara kwa mara wa mifumo yetu ya hadhari ya mikopo katika utoaji wa mikopo. Kupitia uchunguzi kama huo, tuna uwezo wa kudumisha mfumo wa tahadhari za mapema unaotoa fursa za usimamizi wa mwelekeo wa upatikanaji wa hasara.

Pia tumeimarisha mifumo yetu ya usimamizi wa kibiashara wakati kunapotokea mikasa. Mnamo mwaka wa 2013 mifumo yetu ya biashara endelezi ilikumbwa na changamoto katika matukio matukio mawili. Kwanza ni wakati tawi letu katika uwanja wa ndege wa kimataifa wa Jomo Kenyatta lilipotekea katika mkasa wa moto na pili ni wakati wa shambulio la ugaidi katika jumba la Westgate ambapo matawi yetu matatu yaliathiriwa. Nina furaha kuwajulisha kwamba kutokana na kujitolea kwa wafanyikazi wetu na watoaji bidhaa, tuliwezakulewa kituo chetu katika uwanja huo wa ndege chini ya saa 48 na wafanyikazi wetu wote na wateja waliondolewa salama katika jumba la Westgate. Na kwa ajili ya kuwahudumia wateja wetu kikamilifu tuliongeza saa za huduma katika matawi yetu kadhaa karibu na jumba la Westgate.

Mteja

Tumeendelea kuwaangazia zaidi wateja wetu kwa kudumisha kasi ya kutoa bidhaa zinazotosheleza mahitaji ya mteja. Tumewekeza muda na rasilimali katika kuandaa bidhaa zinazoongoza katika soko na mwaka wa 2013 ulikuwa wa mengi ya uasisi. Miaka ishirini na mitatu kamili baada ya kuzindua ATM ya kwanza kabisa nchini Kenya, tulizindua huduma ya mageuzi makubwa ya uhamishaji pesa bila ya kutumia kadi ya CashSend ambayo inaruhusu wenye akaunti katika Barclays kuhamisha pesa salama kutoka kwa wenye simu za mkono ambao wanaweza kupata pesa hizo kupitia ATM zetu. Katika kutimiza lengo letu la kurahisisha shughuli za benki saa 24 kwa wateja wetu, tulifaulu kuboresha huduma ya intaneti ya shughuli za benki na kuanzisha programu ya kwanza ya kutumiwa katika simu za kisasa za kuhifadha data katika soko hili ambayo inapatikana katika Apple® Store. Kuhusu matawi yetu, tulianzisha tawi la kwanza kabisa la kutoa huduma saa 24 katika bandari ya Mombasa. Katika juhudi zetu za kuimarisha thamani ya bidhaa zetu za mikopo, tuliondoa ghamara ya bima za mikopo katika bidhaa zetu zote za mikopo isiyokuwa na dhamana na hivyo tulipunguza gharama kubwa kwa wateja. Barclays ni benki ya kwanza na ya pekee kufanya hivyo katika soko hili.

Katika mwaka tunaouangazia, Benki yako ilisalia imara katika kufanya kampeini kadhaa za kupigia debe biashara za reja reja ili kuimarisha uwezo wetu wa mauzo kama kampeini ya Mkopo wa Salo na kampeini ya mkopo wa nyumba wa riba isiyobadilika. Pamoja na hayo,

kampeini yetu ya kadi ya mkopo ya Ligi Kuu ya Barclays ilikuwa na washindi 8 ambao walienda kutazama moja kwa moja mechi za Ligi Kuu ya Barclays nchini Uingereza. Pia tulisimamia msafara wa kulionyesha kombe la Ligi kuu ya Barclays kulikofurahiwa na wateja wetu.

Kwa kufanya kazi na wateja wetu, kwa zaidi ya muongo mmoja tangu kuzinduliwa kwa huduma zetu maarufu za shughuli za benki za Prestige, tuliboresha na kuimarisha shughuli zetu za benki za Prestige katika mwaka wa 2013. Tulianzisha shughuli ya kubuni upya rajamu ya jina letu inayotunukiwa na tulizawadiwa taji la kampeini bora ya kubuni upya rajamu ya jina na chama cha masoko cha kenya mwaka wa 2013.

Kuhusu shughuli za benki za shirika, tulipiga hatua zaidi wakati sekta yote ilipotambua Barclays kama Benki ya shirika ya mwaka wa 2013 wakati wa hafla ya tuzo za kila mwaka za fikiria biashara katika shughuli za benki yaani Think Business Banking iliyofanyika mwaka jana. Kama benki, tunaangazia zaidi katika kutoa huduma za pamoja za bidhaa za shughuli za benki za shirika kwa wateja wetu. Sasa tunatumia fursa zinazotokana na muungano wetu wa kimataifa kupitia Barclays Group ambao unaturuhusu kufanya mikataba muhimu ya uwekezaji katika shughuli za benki katika masoko ya deni na mtaji na kutoa huduma za ushauri katika ulimwengu wa elimu wa shirika. Kama sehemu ya juhudi hizo, tumeanzisha idara maalumu ya uwekezaji katika shughuli za benki kusaidia wateja wetu.

Mwaka jana, benki ilikuwa na ufanisi wa kutajika katika kushinda mikataba muhimu ifuatayo:

- Kampuni ya Uzalishaji Umeme - tukiwa miongoni mwa wabia, tuliteuliwa kama washauri na wapangaji wa kuchangisha dola bilioni 5 za Marekani.
- Kampuni ya Marriott Drilling Africa Limited - Tulifadhili mkataba wa uchimbaji wa kwanza wa mafuta nchini Kenya wa thamani ya dola milioni 13 za Marekani.
- East African Breweries Limited – Kiongozi wa pamoja wa upangaji na wakala wa kupanga utoaji wa hati ya kibiashara ya thamani ya shilingi bilioni 5.4.

Katika mwaka huo pia tulitoa baadhi ya mapendekezo muhimu kuhusu bidhaa kwa wateja wetu ikiwemo malipo ya pesa nyingi kupitia simu za mkononi na uthibitishaji wa mashine inayojiendesha yenyewe na utambuzi wa amana zilizowekwa na wasambazaji wa wateja. Hii ilikuwa ni pamoja na bidhaa zilizoko za shirika zikiwemo usimamizi wa pesa, huduma za biashara, fedha na hazina ya serikali.

Katika hazina ya fedha, tuliimarisha biashara yetu ya ubadilishanaji wa fedha za kigeni kwa kutoa viwango vya nafuu zaidi kwa wateja wa reja reja katika mtandao wote wa tawi. Pia tulishiriki katika kufanya biashara ya hisa za mapato na kudumu na kuanzisha bidhaa tofauti za usimamizi wa hatari kama ununuzi wa diseli kwa ajili ya kuuza baadaye, viwango maalum vya riba na kiasi maalumu cha ununuzi wa mafuta na hivyo kuwapa wateja fursa ya kukabiliana na hatari tofauti.

Mfanyikazi Mwenzi

Kama sehemu ya mkakati wa kurahisisha utendajikazi wa shirika letu na kuharakisha utoaji wa maamuzi, tulifanya kazi ya kuweka mfumo mpya wa benki na kuimarisha upeo wa usimamizi. Shughuli hii pamoja na uwekezaji wetu katika mitambo ya kisasa ya kujiendesha yenyewe vilisababisha kutokea kwa wafanyikazi wa ziada katika baadhi ya sehemu za benki. Vilevile, mnamo mwaka wa 2012 tuliandaa mpango wa kuwastaafisha mapema wafanyikazi ambapo wafanyikazi 177 walistaafu. Mpango huo utafanya benki kutoa huduma zake kikamilifu siku zijazo huku ikiwekeza zaidi katika mauzo na huduma za wafanyikazi ambazo ni muhimu kwa ukuzaji wa shughuli zetu.

Wafanyikazi wetu wanabakia kuwa uti wa mgongo wa taasisi yetu na ninawapongeza kwa juhudi zao za kujenga maadili ya kudumu ya mwenyehisa. Ushindani wa ubunifu katika sekta hii bado ni mkubwa lakini kama wasimamizi tunajitahidi kuhakikisha kwamba Barclays inabakia kuwa mwajiri bora zaidi na tunajitahidi kukuza vipaji kwa ajili ya kujiimarisha.

Katika mwaka wa 2013 tulijaribu kuimarisha ushirikishaji wa mfanyikazi mwenzi kupitia uwezo wa mameneja ili waweze kukabiliana na masuala ya wafanyikazi kikamilifu na kutoa mazingira bora ya kufanyia kazi ambayo yanawezesha ushirikiano katika utendaji kazi.

Aidha tulijaribu kutoa fursa za kujiendeleza kitaaluma na tukafaulu kupeleka wenye vipaji katika matawi mengine ya Barclays kama vile Msumbiji, Tanzania na Afrika Kusini. 79% ya nafasi zetu za kazi ilijazwa na wafanyikazi wetu wa ndani huku kiwango cha 6.5% cha utoaji ajira katika sekta hii tukakidumisha kwa 10%. Kiwango chetu cha vipaji kutoka humu nchini kilikua kwa 29% ikilinganishwa na mwaka uliotangulia na ninafurahi kwamba 31% ya watu walio na vipaji kutoka humu nchini walichukua nafasi muhimu za ajira mnamo 2013. Tuliyoa changamoto makundi ya ubunifu kujitokeza na suluhisho kwa harakati na shughuli za benki zilizopasa kupewa kipaumbele kwa ajili ya kuimarisha uwezo wa utendaji kazi ambapo mpango wetu wa tuzo za kila mwaka za Eagle ulibakia kuwa njia mwafaka ya kuwatambua na kuwatuza watendajikazi bora.

Uajiri wetu haubagui jinsia, kabila, rangi, umri, dini wala ulemavu. Tumejitolea kikamilifu kuhakikisha kwamba juhudi zetu za kumshirikisha mfanyikazi wetu zinasalia hivyo. Mnamo mwaka wa 2013, kupitia mtandao wetu wa kina mama, kina mama 150 wa ngazi za kadri za usimamizi walipata mafunzo ya kuwaendeleza kutoka kwa viongozi walio na tajriba kuwasaidia kupanua uwezo wao kitaaluma. Pia tulikuwa na fahari ya kuandaa kongamano la kina mama hao kuhusu uongozi barani Afrika ambalo liliwaleta pamoja viongozi wa kina mama kutoka sehemu tofauti za Afrika Mashariki kuelezea tajriba zao katika juhudi za kuwahimiza kina mama kukumbatia fursa za uongozi na kuwa sehemu ya mustakabali wa ujenzi wa Afrika.

Kama sehemu ya asili yetu ya kishirika, tunahimiza upokeaji wa mawazo mbalimbali kutoka kwa wafanyikazi wetu. Kwa miaka mingi mawazo yaliyo na manufaa yamekuwa yakitolewa na wakati wa kipindi hiki cha mwaka, wafanyikazi wetu walishiriki katika mashindano ya kimataifa ya Barclays yaliyojulikana kama 'Pitch-in' ambapo walipata fursa ya kuwasilisha mawazo yao ya ubunifu ambayo yangeweza kuimarisha shughuli zetu. Nina furaha kuelezea kwamba

wafanyikazi wetu wawili walishinda mashindano hayo na kutoa kielelezo cha kuwepo kwa kiwango kikubwa cha vipaji ambacho tunaendelea kukikuza na kukidumisha katika shirika letu.

Mnamo mwaka wa 2013, tulichunguza upya viwango vya utendakazi vya wafanyikazi wetu na mwelekeo wetu wa kuwatuza na kutambua mienendo yao kulingana na maadili ya mienendo ya wafanyikazi kama inavyoelezwa hapo chini. Wafanyikazi kwahivyo walituzwa sio tu kwa mujibu wa kufanikisha malengo yaliyoafikiwa, lakini pia kulingana na jinsi malengo hayo yalivyotimizwa. Katika siku zijazo utendaji kazi wao utakadiriwa kwa misingi ya uwiano wa mafanikio yao na jinsi walivyoyapata.

Mwenendo

Mnamo mwaka wa 2013 tulianzisha maadili yetu ya Heshima, Uadilifu, Huduma, Ubora na Uongozi, na tulitoa mafunzo kwa wafanyikazi wetu wote kuhusu mwenendo wanaotarajiwa kuwa nao kwa ajili ya kutoa kielelezo cha maadili hayo. Maadili hayo yanaonyesha jinsi tunavyofanya biashara nchini Kenya. Kwa uhalisia wake, tunaishi kwa maadili haya na tutatoa mapato thabiti kwa wenyejina wetu na thamani ya kudumu kwa wadau wetu wote.

Katika mwaka wa 2013, tulitoa mwelekeo mpya wa Barclays ambao unatoa kielelezo cha kipimo cha tabia kinachotarajiwa katika shirika letu kwa ajili ya kuwa na msingi wa mwenendo wetu kuhakikisha usimamizi mzuri zaidi wa masuala kama vile mtafaruku wa kimaslahi, ufichuzi wa yasiyofaa na kuhudumiwa vyema kwa wateja wetu. Mwelekeo huo unatilia mkazo yanayohitajika kimaadili na Benki Kuu ya Kenya tunayofuata mwongozo wake. Mbali na hayo, sera mpya ya kukabiliana na hongo na ufisadi ilizinduliwa kutoa mwongozo sio kwa jinsi tunavyotafuta biashara pekee bali pia kuweka viwango tunavyotarajia kutoka kwa washirika wetu na watoaji huduma wetu.

Uraia

Barclays inajitahidi kuanzisha ushirikiano na jamii zetu ambazo zinabakia kuwa msingi wa ufanisi wa biashara yetu. Katika mwaka huu tunaoungazia, tulidumisha mwelekeo ulio wazi kuhusiana na maadili yetu kama shirika katika uwajibikaji wa kijamii

Tuliendelea kwa mwaka wote kujitolea vilivyo kudumisha jukwaa la uraia lililoasisiwa chini ya dira ya kuwapa uwezo vijana. Tuliendelea ushirikiano wetu wa Junior Achievement (kufaulisha vijana) kwa kima cha shilingi milioni 187.8 kutoa ufadhili kwa ajili ya utoaji wa mafunzo na kuwakuzu vijana waliomaliza shule kwa kuwapa ujuzi wa kibiashara na maisha. Kupitia njia nyengine zikiwemo mpango wa mabadiliko katika benki, tulitenga rasilimali za kifedha kwa ajili ya kuimarisha utoaji wa uwezo wa kijamii na kiuchumi na maendeleo kupitia utoaji wa mafunzo ya ujuzi wa kibiashara, ufahamu wa masuala ya fedha na ujuzi wa maisha kwa vijana wetu. Tunawalenga vijana wa shule tukikusudia kuwapa ujuzi wa masuala ya kibiashara ili kuimarisha uhuru wao wa kiuchumi.

Pamoja na hayo, kufuatia shambulio la ugaidi katika jumba la Westgate mwezi Septemba, 2013, kampeini yetu ya Wakenya kusaidiana kwa ushirikiano na Barclays Group ilichangisha zaidi ya shilingi milioni 14 kuwasaidia wahasiriwa wa mkasa huo. Unaweza kupata maelezo zaidi kuhusiana na shughuli zetu za uwekezaji wa kijamii katika taarifa yetu kuhusu uwajibikaji wa kijamii.

Hitimisho

Chini ya uwiano wa kibiashara, mwaka wa 2013 ulimalizika vyema. Kwa msingi huo, mwaka wa sasa wa kifedha bila shaka utakuwa muhimu kwa benki hii wakati inapoanza safari yake ya kujiongezea mapato. Katika mwaka wa 2014, tunatarajia kuanza kupata manufaa ya ubunifu wetu na harakati zetu za uimarishaji wa kibiashara zilizoanzishwa mwaka uliotangulia.

Tunazingatia vilivyo kuimarisha mgawo wetu wa soko kwa kuhakikisha utoaji bora zaidi wa huduma kupitia mifumo inayoambatanishwa na utashi wa huduma zetu. Tutaendelea kujitahidi kutumia jina letu ili kupata utambuzi tunaostahili katika soko.

Muhimu zaidi, tunajitambulisha tena kama benki inayovutia zaidi katika soko. Tumewekeza katika wafanyikazi wafaa na mifumo bora zaidi ya teknolojia kuhakikisha matokeo bora zaidi kwako kupitia uwekezaji na Barclays.

Ningependa kuishukuru Halmashauri kwa usaidizi wake na mwongozo wakati wa mwaka wangu wa kwanza katika uongozi. Ninawashukuru pia wafanyikazi wetu, wateja, na wenyehisa kwa kuendelea kuwa waaminifu kwetu.



Jeremy Awori
Meneja Mkurugenzi

The Kilindini harbour was expanded to handle additional annual capacity of 2 million tonnes of cargo. This has increased the port's throughput by 33 percent, ensuring increased efficiency in international trade.



Board of Directors



Francis Okomo-Okello (MBS) (64)
Chairman

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar- es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is a member of the Advisory Board of the Strathmore Business School, Strathmore University and is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group which is an affiliate of the Aga Khan Fund for Economic Development (AKFED).

Jeremy Awori (43)
Managing Director

Jeremy Awori joined the Board in February 2013. He holds a Bachelors degree in Pharmacy from Manchester University and two Masters degrees in Business Administration (MBA) from McGill University (Canada) and Insead Business School (France). He is currently the Managing Director.

Yusuf Omari (40)
Executive Director

Yusuf Omari joined the Board in July 2009. He holds an Economics degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from Strathmore Business School, Strathmore University (Nairobi). He is a Certified Public Accountant as well as a Certified Internal Auditor and is currently the Chief Financial Officer.

Rose Ogega (MBS) (53)
Non-Executive Director

Rose Ogega joined the Board in April 2002. She is a Bachelor of Commerce graduate from the University of Nairobi as well as a Fellow of the Institute of Certified Public Accountants of Kenya. She is currently the Managing Director of Bloom Consultancy Limited.



Jane W. Karuku (51)
Non-Executive Director

Jane Karuku joined the Board in August 2003. She holds a Masters in Business Administration (MBA) from the National University of California (USA). She is currently the President of the Alliance for a Green Revolution in Africa.



Brown M. M. Ondego (MBS) (63)
Non-Executive Director

Brown Ondego joined the Board in August 2003. He is an alumni of the London Business School and the University of New Orleans Port Planning Development Program. He is currently the Group Non-Executive Vice Chairman of Rift Valley Railways (Kenya) Limited and Rift Valley Railways (Uganda) Limited.



Ashok Shah (65)
Non-Executive Director

Ashok Shah joined the Board in July 2011. He holds a Bachelors degree in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession. He is a member of the Chartered Institute of Arbitrators and is currently the Group Chief Executive of Apollo Investments Limited.



Judy Nyaga (41)
Company Secretary

Judy Nyaga was appointed in December 2007. She holds a Bachelor of Laws (LL.B) degree from the University of Nairobi, a Master of Laws (LL.M) degree from the University of Nottingham and a Masters degree in Business Administration (MBA) from Strathmore Business School, Strathmore University (Nairobi). She is also an Advocate of the High Court of Kenya and a Member of the Institute of Certified Public Secretaries of Kenya.

Chairman's Report on Corporate Governance

“2013 was a year of significant change for the Bank, ranging from the appointment of a new Managing Director to the implementation of new laws and regulatory provisions that impact the banking and business environment in Kenya.”

Francis Okomo-Okello
Chairman



The changes were a good opportunity for the Board and the Bank as a whole to test its internal controls, processes and procedures in as far as they relate to monitoring the regulatory environment for change and doing all that is necessary to ensure compliance with all applicable laws. Examples of the changes include the charging of excise duty on financial transactions, enhanced disclosures in the banker-customer relationship pursuant to the Consumer Protection Act and tighter capital management as a result of the new Central Bank of Kenya Prudential Guidelines.

Statement of Compliance

The Board and Management of the Bank continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary regulatory authority. By virtue of being a listed entity, the Bank is also guided by the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and complies with the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange. In addition, the Board has its own stringent standards of governance as set out in its Board Charter in line with Barclays Group standards.

Board Composition

During the year, Mr. Adan Mohamed, Mr. Nick Mbuvi and Mr. John Waweru resigned from the Board of the Bank. Mr. Mohamed left the Bank to take up a senior appointment in Government after handing over the reigns of leadership to Mr. Jeremy Awori as Managing Director. Mr. Nick Mbuvi retired on medical grounds and Mr. John Waweru opted to resign in order to pursue other opportunities. The search for new Non-Executive Directors is currently underway. The process is driven by the Board Corporate Governance and Nominations Committee as further described hereinafter under the Board Committee reports.

The Board now consists of seven (7) Directors, five (5) of whom are independent Non-Executive Directors. The broad mix of skills and industry experience of Board members is as follows:

Name	Industry Experience
Francis Okomo-Okello*	Legal, Financial Services, Tourism and Media
Rose Ogega*	Audit and Financial Consulting
Brown Ondego*	Public Sector and Logistics
Jane Karuku*	Retail, Marketing, Operations and Agriculture
Ashok Shah*	Financial Services, Capital Markets
Jeremy Awori**	Financial Services
Yusuf Omari**	Financial Services

*Independent Non-Executive Directors

**Executive Directors

Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to Executive Directors for licensed banks as three-fifths and also prescribe the regulatory criteria for independence. The Bank is in compliance with these requirements.

The independence criteria for Directors set out by the Board in its Charter is that he or she:

- (a) Provides objective challenge to management;
- (b) Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;
- (c) Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;
- (d) Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and
- (e) Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by management.

The Board, Management and all employees are required to comply with the Bank's Conflict of Interest Policy as well as its code of conduct known as 'The Barclays Way'. 'The Barclays Way' builds on our Values of Respect, Integrity, Service, Excellence and Stewardship and provides guidance on how the values should be put into practice in our every day work.

The Non-Executive Directors are required to disclose their areas of conflict of interest, real or perceived, at least once a year when the Register of Directors' interests is tabled before the Board. Independence is also considered during the Board's annual performance review. Directors are required to refrain from contributing to or voting on matters on which they have such conflict. On an ongoing basis Directors are required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions.

It should be noted that the decision to undertake external activities is a matter for individual Directors to decide, bearing in mind their responsibilities to the Bank including the time commitment we expect of them. We believe that Directors' external appointments benefit Barclays by providing them with a wider range of skills, experience and knowledge that will be relevant to their role on the Board. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Board Leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's

operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. You can read more on the Bank's risk management philosophy and framework in the financial statements under Note number 4.

In carrying out its responsibilities, the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders.

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy.
- Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management.
- Approval of major acquisitions or disposals.
- Approval of major capital projects.

Lending, Capital and Liquidity Management

- Approval of changes in structure.
- Approval of lending policies and risk appetite.
- Monitoring capital and liquidity measures to ensure regulatory compliance.

Financial Results and Dividends

- Approval of interim and final financial statements.
- Approval of dividends and other corporate actions.
- Approving information disseminated to shareholders

Board Administration and Governance

- Approving board appointments.
- Succession planning for the Board.
- Approving Board remuneration.
- Delegating authority to Board Committees and Management.
- Setting terms of reference for Board Committees and determining Board Committee membership.
- Conducting Board and Board Committee evaluations.
- Determination of independence of Non-Executive Directors.
- Approving the remuneration of auditors and recommending their appointment or removal.

Each Director including myself is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average the time commitment for Non-Executive Directors is set at a minimum of 25-35 days per year. My own time commitment is at least 65 days a year. High performance indicators are prescribed in the role profiles to guide the Directors and it is against these indicators that their individual performance is evaluated each year.

My role as Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board.

The Executive Directors are Jeremy Awori, Managing Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank.

The Board is fortunate to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance. Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-Executive Directors
Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board.	Provide constructive challenge to the executive Directors and senior management of the Bank.
Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties.	Help develop proposals on strategy and then fully empower and support the executive Directors to implement the strategy.
Report regularly to the Board on the performance of the Bank.	Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies.
Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests.	Apply their judgement to the business of the Board, leveraging on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries.
Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.	Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

Company Secretary

The Company Secretary, Judy Nyaga, plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in formulating and delivery of a comprehensive induction programme for new Directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors.

Continuous Professional Development

In pursuit of continuous professional development during 2013, the Directors received training in the following areas:

- Recent developments in International Financial Reporting Standards;
- Stress testing and scenario planning as a key component of strategy formulation to enable the Board have a better understanding of the wide range of strategic options and possibilities; provide appropriate challenge to Management plans; identify unseen or future challenges and opportunities; and develop more thoughtful strategies;
- Economic forecasting based on macro economic variables ranging from Gross Domestic Product to house prices;
- Market risk management aimed at guarding against potential loss of investments over a period of time due to economic changes including interest rates, foreign exchange rates and commodity prices; liquidity risk management aimed at guarding against the inability to meet financial obligations; and capital risk management aimed at balancing the need to utilise capital to generate income and the need to maintain adequate liquidity;
- The combined assurance model which seeks to coordinate assurance work carried out by all assurance providers;
- Monitoring of control issues to ensure effective identification, tracking and closure for a robust internal control environment;
- Developments in the global corporate governance environment including the introduction of conduct risk as an additional measure for the governance of non-financial risk matters; and
- The new values of Respect, Integrity, Service, Excellence and Stewardship being the values required for the Bank to achieve its vision of becoming the 'Go-To' Bank.

In addition, one of the Non-Executive Directors undertook The Effective Director training programme facilitated by Strathmore Business School which enabled him to build his capability in adding value to the deliberations of the Board.

Board Attendance

During the year, the Board convened and held four (4) ordinary meetings and four (4) special meetings. All the meetings convened had sufficient quorum.

In line with its corporate governance standards, the Board held one board meeting outside Nairobi and had the opportunity to interact with employees and customers living and operating in the coastal region.

At least once a year, the Board endeavours to visit a different region of the country to gain a better understanding of the perspectives and needs of its customers living and operating in the particular region.

The attendance of individual Directors at Board meetings during 2013 is tabulated below:

Director	Ordinary (Scheduled) Meetings		Special (Adhoc) Meetings	
	Meetings Eligible to Attend	Meetings Attended	Meetings Eligible to Attend	Meetings Attended
Francis Okomo-Okello	4	4	4	4
Jeremy Awori	4	4	4	4
Yusuf Omari	4	4	4	3
Rose Ogega	4	4	4	3
Brown Ondego	4	4	4	4
Jane Karuku	4	4	4	1
Ashok Shah	4	4	4	4

Where a Director misses a Board meeting an acceptable apology with a valid reason is sent to me as Chairman in advance of the meeting.

During the meetings, we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely Corporate Banking including the performance of Treasury, Consumer Banking, Operations and Human Resources.

Board Activity in 2013

Board Evaluation

During the year, the key activities of the Board included:

- Reviewing the Bank's strategic plans for the year in light of the macro-economic environment and in particular reviewing key strategies aimed at growing top line income.
- Approving the Board's work plan which sets out the Board's objectives for the year against which performance is measured.
- Receiving updates from each of the key management functions on their progress against the agreed strategy.
- Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry.
- In line with the prudential guidelines, the Board reviewed its business continuity preparedness which proved to be effective on the occurrence of the fire at Jomo Kenyatta International Airport and Westgate Mall terrorist attack where the Bank's branches were negatively impacted.
- Reviewing the impact of the imposition of excise duty on financial transactions and the progress towards readiness for the implementation of the Unclaimed Financial Assets Act.

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the individual Directors. Key issues arising from the 2012 effectiveness review included the desire for more robust and proactive engagement on strategy formulation and greater oversight of employee succession and retention strategies.

In order to address these issues Management engaged the Board on the 2014 strategic plans well in advance of the 2013 year end with more detailed discussions being held in early 2014. In addition, the Board now has more involvement in the hiring of senior executives.

The 2013 effectiveness review is currently underway and actions to address issues that may be raised will be developed and implemented.

Board Committees

The Board has three Board Committees (Audit and Risk, Credit and Corporate Governance & Nominations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority listing obligations. The Corporate Governance and Nominations Committee was set up in 2013 following a decision by the Board to dissolve the External Relations Committee and to delegate its mandate to Management. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons will provide you below with more detail on their deliberations and key achievements in the course of 2013.

Report from the Chairperson of the Audit and Risk Committee



“The Audit and Risk Committee has the Board’s delegated authority to review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them.”

Rose Ogega
[Audit and Risk Committee Chairperson](#)

The role of the Audit and Risk Committee

The Audit and Risk Committee has the Board's delegated authority to review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them.

The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. The Committee determines the scope and adequacy of audit assignments carried out by the external and internal auditors.

The Committee monitors the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation.

The Committee also reviews reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations. The Committee has direct access to the External Auditors, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee Members

The Committee's membership comprises 3 independent Non-Executive Directors namely myself, Rose Ogega, as Chairperson, Jane Karuku and Ashok Shah. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditors are regular invitees to Audit & Risk Committee meetings.

Chairperson's responsibilities

As Chairperson, it is my responsibility to ensure that the Committee is able to provide appropriate assurance to the Board on issues within its terms of reference. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee.

It is also my obligation to ensure that members of the Committee are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the External Auditors.

I meet regularly with the Audit Partner of the External Auditors to discuss their audit work and any issues of concerns arising in between meetings of the Committee. I also meet regularly with the Chief Internal Auditor to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach.

Outside formal Committee meetings, I convene private sessions between the Committee members in the absence of Management and private sessions between Committee Members and the External Auditors and the Internal Auditors.

The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussions in the absence of the Members of Executive Management and to follow up on any actions requiring the Committee's intervention.

Achievements in 2013

We held four (4) ordinary meetings and two (2) special meetings. The attendance of our meetings was follows:

Director	Ordinary (Scheduled) Meetings		Special (Adhoc) Meetings	
	Meetings Eligible to Attend	Meetings Attended	Meetings Eligible to Attend	Meetings Attended
Rose Ogega	4	4	2	2
Jane Karuku	4	3	2	2
Ashok Shah	4	4	2	2

In accordance with the Committee's forward agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing incidences from employees, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Our key achievements during the year were as follows:

- We reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval.
- We reviewed the stability of the Bank's core banking system Flexcube and in particular keenly monitored the occurrence and remediation of major outages impacting the service levels offered to customers; implementation of fixes necessary to ensure compliance with regulatory requirements and effective internal and accounting controls; and recoverability of the system in a disaster recovery environment.
- We reviewed the succession plans for key control positions in the Management team.
- We reviewed and approved the audit plans for the internal and external auditors and approved any changes to the plans.
- We reviewed key changes in the legal and regulatory environment and the Bank's readiness to comply with the requirements of the changes.
- We reviewed the independence of the External Auditor in line with the Bank's policy on provision of non-audit services by the External Auditor. The policy governs the type of services which the External Auditor may provide to ensure their objectivity and independence is always maintained. We also deliberated on whether the External Auditor should be considered for reappointment and made the appropriate recommendation to the Board.
- We also carried out an evaluation to assess the Committee's performance against the Terms of Reference.
- We assessed the performance of the internal and external auditors to ensure that they are effective in carrying out their responsibilities.

Report from the Chairperson of the Credit Committee



“The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements.”

Brown Ondego
[Credit Committee Chairman](#)

The role of the Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements.

It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership comprises 4 Non-Executive Directors namely myself, Brown Ondego as Chairman, Francis Okomo-Okello, Jane Karuku and Ashok Shah. From Management, the Committee's membership comprises the Managing Director, Head of Corporate Banking, Head of Consumer Banking, Head of Business Banking, the Chief Risk Officer, Heads of Corporate Credit Risk and Consumer Credit Risk or their respective authorised representatives.

Achievements in 2013

During the year the Credit Committee convened four (4) ordinary meetings. Attendance was as follows:

Director	Ordinary (Scheduled) Meetings	
	Meetings Eligible to Attend	Meetings Attended
Brown Ondego	4	4
Jane Karuku	4	3
Francis Okomo-Okello	4	4
Ashok Shah	4	4
Managing Director	4	4
Head of Corporate Banking	4	4
Head of Consumer Banking	4	4
Chief Risk Officer	4	4
Head of Corporate Credit	4	4
Head of Consumer Credit	4	3
Head of Business Support	3	3

Our key achievements during the year included the following:

- We reviewed the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks.
- We continued to monitor the status of the top 20 exposures on the Bank's balance sheet.
- We assessed the Bank's risk appetite for significant new business deals.
- We regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
- We advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.

Report from the Chairperson of the Board Corporate Governance and Nominations Committee

“The Committee is responsible for considering matters relating to the composition of the Board, including the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board.”

Francis Okomo-Okello
Corporate Governance and Nominations
Committee Chairman



The Role of the Corporate Governance and Nominations Committee

The Committee is responsible for considering matters relating to the composition of the Board, including the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee's responsibilities also include corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board's remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate ongoing training for the Board.

Committee members

The Committee's membership comprises 3 Non-Executive Directors namely myself, Francis Okomo-Okello as Chairperson, Ashok Shah and Brown Ondego and the Managing Director. During the year the Committee convened and held two (2) ordinary meetings. Attendance of the meetings was as follows:

Member	Ordinary (Scheduled) Meetings	
	Meetings Eligible to Attend	Meetings Attended
Francis Okomo-Okello	2	2
Brown Ondego	1	1
Ashok Shah	1	1
Managing Director	2	2

Achievements in 2013

Our key achievements during the year included:

- We commenced the search for new Non-Executive Directors. Names of potential candidates were sourced from members of the Board, Management and an external management consultant on the basis of a Board skills gap analysis and the Bank's strategic agenda for the coming years. The candidates were subjected to detailed interviews by the Committee. The next step is for regulatory approvals to be obtained for the proposed appointments prior to the Committee recommending the appointments to the Board.
- We undertook a review of the remuneration paid to Non-Executive Directors which has remained unchanged since 2010. With the assistance of Management, a survey of fees paid to Non-Executive Directors in a selection of public listed companies was undertaken. In addition, through Barclays Africa, a survey of fees paid to banks in Kenya was undertaken by PricewaterhouseCoopers. A proposal for revision of the fees paid to Non-Executive Directors is currently under consideration to ensure that the fees remain competitive.

Management Committees

The Board and its Committees are supported by five key Management Committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee and Operating Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below.

Country Management Committee (CMC)

CMC meets at least twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning. CMC is chaired by the Managing Director and its membership comprises his direct reports with function head responsibility.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a quarter and periodically reports to the Board Audit and Risk Committee highlighting key risk and control issues and Management actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit and External Auditors are invitees to RCC.

Remuneration and Promotions Committee (RPC)

The primary objective of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every month and its membership comprises the Managing Director as Chair, the Chief Financial Officer, Head of Human Resources, Chief Risk Officer and Head of Compliance.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads with direct reporting lines to the Chief Operating Officer who chairs the Committee.

Directors' Emoluments, Shareholding and Conflicts of Interest

The aggregate amount of emoluments and fees paid to Directors during the year are disclosed in Note number 36 of the financial statements. The basic rates of fees paid to Non-Executive Directors have remained unchanged since 2010. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors' personal shareholding in the company is shown below.

Member	Number of shares
Francis Okomo-Okello	28,400
Brown Ondego Mmbai	34,180
Jane Karuku	Nil
Ashok Kumar Mepa Shah	544,380
Rose N Ogega	26,700
Jeremy Awori	57,300
Yusuf Kungu Omari	100,000

Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results.

The Company's financial results are published in media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and accordingly we published our Annual Report on the Bank's website www.barclays.co.ke. All Directors were able to attend the last AGM which was held on 30 May 2013 and were available to answer questions from shareholders.

This year's AGM will be held on Friday, 23 May 2014 at Kenyatta International Conference Centre, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.

Francis Okomo-Okello
Chairman

Report of the Directors

The Directors submit their report together with the audited financial statements for the year ended 31 December 2013 which disclose the state of affairs of Barclays Bank of Kenya Limited (the “company”/“Bank”) and its subsidiaries (together, the “Group”).

INCORPORATION AND REGISTERED OFFICE

The Company is incorporated in Kenya under the Companies Act (Cap 486) and is domiciled in Kenya. The address of its registered office is:

The West End Building
Waiyaki Way
P.O. Box 30120 code 00100
NAIROBI

PRINCIPAL ACTIVITIES

The Bank is engaged in the business of banking and the provision of related services and is licensed under the Banking Act (Cap 488).

RESULTS AND DIVIDEND

The results for the year are set out on pages 52 to 104 and were approved by the Directors on 6 February 2014.

During the year an interim dividend of Shs 20 cents per share totaling Shs 1,086 million (2012: Shs 30 cents per share totaling Shs 1,629 million) was paid. Subject to the approval of shareholders the Directors recommend the approval of a final dividend of Shs 50 cents per share totaling Shs 2,716 million (2012: Shs 70 per share totaling Shs 3,802 million). This will

be paid on or about 23 May 2014 to shareholders registered at close of business on 6 March 2014. The profit for the year of Shs 7,623 million (2012: Shs 8,741 million) has been added to retained earnings.

FINANCIAL STATEMENTS

At the date of this report, the Directors were not aware of any circumstance, which would have rendered the values attributed to the assets in the financial statements of the Group misleading.

Directors

The Directors who held office during the year and to the date of this report were:

F Okomo-Okello	Chairman
J Awori*	
YK Omari*	
RN Ogega	
BM Ondego	
JW Karuku	
AKM Shah	
AA Mohamed	Resigned on 29 May 2013
NK Mbuvi*	Resigned on 1 August 2013
JN Waweru	Resigned on 1 December 2013

* Executive Directors

The following Directors are due to retire from the Board by rotation under Articles 94, 95 and 96 of the Company's Articles of Association at the forthcoming Annual General Meeting and are eligible for re-election:-

Francis Okomo-Okello
Rose Ogega

DirectorS BENEFITS

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts for Executive Directors.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed on page 104.

AUDITOR

The Company's auditor, PricewaterhouseCoopers, has indicated their willingness to continue in office in accordance with the provisions of Section 159(2) of the Companies Act and Section 24 (1) of the Banking Act.

By order of the Board



Judy Nyaga
Company Secretary

6 February 2014

Statement of Directors Responsibilities

The Kenyan Companies Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the Directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The Directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and of the Bank at 31 December 2013 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the Directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 6 February 2014 and signed on its behalf by:



Chairman:
Francis Okomo-Okello



Director:
Yusuf Omari

Barclays Citizenship and Sustainability Report

Introduction

Corporate social responsibility is embedded in our Values and informs how we conduct business, develop products and services and deliver on our goals and commitments. Over the past year, our priority has been to roll out the Barclays Citizenship Agenda that was launched across Barclays Africa in 2012 comprising three key pillars:

- The way we do business - Ensuring our decisions take account of stakeholders' needs in the short and long term.
- Contributing to growth - Delivering products and service solutions to help people and society progress in a sustainable way.
- Supporting our communities - Helping disadvantaged young people develop the skills they need to fulfill their potential.

Barclays recognizes that participation in and contribution to the positive development of our society is an important part of being a good citizen. Barclays has committed to 'Win Together' with the communities in which we live and work in line with our vision of becoming the 'Go-To' bank for all our stakeholders. For the communities, this means we play our role in enabling greater and more inclusive prosperity for current and future generations.

In the year under review, the Bank's social investment strategy focused largely on building financial literacy skills, enterprise skills and life skills amongst the youth. Investing in and economically empowering our youth has become a necessity given that 34% of the Kenyan population is aged below 15 years and opportunities for formal employment are limited. A sustainable business model on our part would require us to create value by building deep, broad and long-lasting relationships with customers and people in the communities early in their earning cycle in the hope that they will grow their businesses with us over time.

The Bank implements its citizenship agenda by working with partners who receive funding from the Bank to carry out the various initiatives. In 2013 Barclays continued to partner with Care International for the Banking on Change Programme, Junior Achievement, Kenya Girl Guides Association, Centre for Environmental Action, Kenya Community Development Foundation and SolarAid. Strict monitoring, accountability and reporting obligations are scoped into the terms of engagement with all partners to ensure the Bank's funds are well utilized.

Youth Entrepreneurship

Junior Achievement

Our commitment to maintain a corporate social responsibility platform anchored on the vision of empowering the youth was upheld through 2013. We specifically targeted out of school youth whom we sought to equip with practical, entrepreneurial, survival skills to foster their economic independence and to unlock their potential.

In an effort to enhance the vocational and professional skills of youth to equip them to capitalize on the business opportunities provided by governments such as the Uwezo Fund in Kenya, Barclays extended its partnership with Junior Achievement committing Shs 187.8 million to reach out to the youth in Kenya, South Africa, Tanzania and Zambia. The programme will transfer important life-skills to more than 4,000 young people over a 3 year period.

15 groups consisting of 255 young entrepreneurs have so far successfully completed the programme in Kenya. 14 of the 15 groups created their own enterprises which are still running almost a year after inception. Some of the businesses started include planting of tree seedlings, detergent making, dairy farming and poultry keeping. Many of the groups had numerous ideas for potential businesses and just needed mentorship and guidance to settle on one idea and start turning the idea into a real business.

Through Junior Achievement's innovative ITS TYME®, (Immersion Training Strategy: Targeting Young Marginalized Entrepreneurs) initiative, Bank employees have been working with young people from under-resourced communities between the ages of 15 and 35 to help them attain the confidence and skills they need to succeed in their local communities and the global economy.

Youth Empowerment

Banking on Change Programme

The Banking on Change programme continued to reap its benefits in 2013. We rolled out micro finance interventions in 5 additional counties namely; Homabay, Kisii, Migori, Embu and Nairobi in addition to the existing interventions in Kisumu.

The programme addresses different components in economic empowerment ranging from business management skills training, financial education, linkage to formal financial institutions as well as technical skills training in agriculture which specifically targeted previous beneficiaries of our grants to ensure continuity of the various youth groups.

During the year under review, a total of 14,136 youth belonging to 634 groups were engaged through financial education, training and enterprise development training. Over and above this, the programme adapted a revised youth friendly financial education manual which incorporates matters such as how to develop financial goals, savings plans and budgets. The purpose of the manual is to build a positive attitude towards financial management and discipline.

Staff engagement in the programme in 2013 saw over 200 employees being involved in mentorship activities for youth groups across the regions where the programme operates.



Graduants of the Kenya Girl Guides Association training on employability and enterprise skills

Kenya Girl Guides Association

In 2013 Barclays entered into a partnership with the Kenya Girl Guides Association with the objective of training out of school girls in employability and enterprise skills. A grant of Shs 7.9 million was given to enable the training of 250 girls from Makueni, Baringo, Kilifi, Nyeri and Nairobi. As a result of the training, the girls have started income generating activities such as bakeries, poultry farming, green house farming, beadwork and the making of traditional baskets. 200 girls many of whom are young mothers who either dropped out of school or were unable to obtain tertiary education have so far graduated from the programme.

Environmental Sustainability

Lighting Up Rural Kenya

In 2013 we successfully rolled out a flagship project geared towards making solar energy more accessible to community centres, schools, clinics and communal buildings in rural Kenya. This £1.3 Million initiative run by SolarAid, an international development charity, aims to provide solar power, education and training opportunities for thousands of people across the country.

The partnership focuses on 3 elements: supporting enterprise projects, installing renewable energy in schools; and educating communities about sustainable sources of energy, all of which can play an important role in developing our economy.

Whereas water and sanitation remain a key area of concern for the nation, there is no denying that for many rural communities access to solar power and in turn light and electricity can make a dramatic difference in improving education, health, safety and the potential income of people living in rural areas. With a reliable power source readily available these communities can store vaccines, refrigerate food and light their homes, schools, clinics and businesses.

An important benefit for the community is that solar power eliminates the need for kerosene lamps, commonly used to light homes in Kenya's remote villages. Kerosene costs typically absorb a third of an average rural Kenyan household's income and burning the fuel is a primary cause of respiratory illness. Through the now famous Barclays Kenya Golf Series which leads up to the annual regional Barclays Kenya Open, customers contributed generously towards supporting the Lighting Up Kenya campaign.

Going Green in Operations

Barclays continually aims to preserve the environment as it undertakes its business activities and seeks to adhere to prescribed international standards. In 2013, Barclays contributed to global carbon reduction budget by saving 14.8 megawatts (which is equivalent to 8.7 tonnes of carbon dioxide) through the annual earth hour/day campaign by switching off all unnecessary lights and equipment not in use. The Barclays Eco-Challenge implemented by the Centre for Environmental Action continued to change Kenya as it converted trash to treasure with more primary schools spread out across the country joining the worthy cause of responsible waste management. The Bank's new branches at Park Side Towers on Mombasa Road and Thika Road Mall are constructed as 'green' branches which consume up to 60% less power and are a testament of our commitment to conserving the environment.

Diversity and Inclusion

At Barclays, we believe that diversity and inclusion is a key enabler to become the 'Go-To' Bank for our diverse customers. We have a robust diversity and inclusion policy framework which aims to create a workplace which recognizes employee differences. These differences when properly managed successfully enable the Bank to nurture creativity and innovation.



Opening of our Parkside Towers 'Green' branch

There is no better way for an organization to put itself into its customer's shoes than to have a workforce that reflects the country's population. Women comprise 50% of the country's population, which in turn is a reflection of our customer base and the profile of our employee franchise. Barclays acknowledges the importance of investing in women and we have continued to seek out ways to strengthen their participation in decision-making and leadership opportunities. To support this initiative, in the year under review the Bank sponsored the second edition of the Women in Leadership in Africa Forum which brought together successful women leaders from across the East African region guided by the theme "Fostering the Future of Africa" to speak, motivate, empower and share their knowledge with aspiring young women leaders.

In 2013 the Bank opened and kitted a second lactation 'Baby Eagle' room based at its headquarters to add to the existing one at the operations centre at Bishops Gate.

We are particularly keen on learning new trends in supporting employees living with disabilities and to this end during 2013 we engaged with the Government agency responsible for Persons with Disabilities to learn best practice in this area. In 2014 we will continue to drive compliance with the requirements of The Occupational Safety and Health Act and The Persons with Disability Act and seek to provide for instance disabled friendly washrooms and access ramps in our premises.

Internal Resource Optimization and Management

We have continued to modify our business practices and tools in order to live up to our operational and environmental goals. Our digital strategy aims at eventually running a paperless business in a secure environment. In the year under review, we rolled out an Imaging and workflow solution with the objective of improving the speed at which work is received within operational centres. This solution increased productivity and resulted in less usage of paper as digital images are now used to process customer instructions. The process of auto archiving our customer instructions reduced the time previously allocated for customer query resolution by half thus improving the customer experience.

We also rolled out an automated physical security system within all our branches which drastically improved and centralized our physical security controls resulting in the reduced cost of maintaining overnight guards inside branches and head office premises as well as conserving power by eradicating the need to keep lights on through the night.

Safety and Health

During 2013 the Bank carried out a Health and Safety Audit in all its workplaces both in the branches and head office buildings with Government approved Health and Safety Advisors. Following the audit, a report was submitted to the Directorate of Occupational Health & Safety Services and we are keenly tracking actions required to address areas of improvement identified during the audit. For instance, all our workplaces have now been registered with the Directorate and the relevant annual levies have been duly paid.

300 First Aiders and Fire Marshalls from amongst employees were trained in 2013. It is our practice to carry out inspection of our fire fighting equipment every 6 months. With the assistance of Local Councils, in 2013 all branches were inspected for fire safety readiness. Through out the year fire drills and evacuation exercises took place at all work places. A training module for employees on Occupational Health and Safety was also rolled out. In a continuous effort to improve our safety and health environment, staff medical rooms were introduced and kitted at the West End Building and Bishops Gate in 2013.



A colleague sharing financial skills and enterprise skills with a youth group from Runyenjes in Embu.

Employee Relations

The Barclays Employee Wellness Programme has for many years supported employees and their families in the area of health management. In addition to providing medical cover, the Wellness Programme is uniquely designed to provide employees with support through counseling for trauma and other lifestyle challenges such as substance abuse and achieving work/life balance. The programme also provides support and medication to employees and their dependants infected with HIV and Aids and those ailing from long term or terminal illnesses.

In the year under review, 4 employees and dependants suffering from long term illnesses were able to access medical care in India. Employees and customers impacted by the West Gate Mall incident were supported through trauma counselling. In addition, training was carried out for 60 line managers and 40 employees to educate them on the benefits and support available through the Wellness Programme in order to equip them with relevant information as the first points of contact for employees in need of support. The Bank's annual Voluntary Counselling and Testing (VCT) exercise took place during the year and achieved an employee uptake rate of 81 %.

As part of the Kenya Bankers Association, the Bank successfully negotiated the Collective Bargaining Agreement with the employee union (Banking Insurance & Finance Union) in August 2013 to cover the period 1st March 2013 to 28th February 2015. The total number of unionisable employees in the Bank is currently 1,635 representing approximately 58% of the full time employee compliment. The Bank's Joint Work Council (JWC) comprising Management and Union representatives meets regularly to discuss matters touching on unionisable employees. Through the year, the JWC continued to enjoy harmonious labor relations.

Collective Responsibility For The Society

A key objective of the Bank's corporate social investment strategy is to mobilize its employees to participate in community-based projects as a way of demonstrating their role in society and their contribution to the socio-economic development of our country.

Through the Employee Volunteering initiative every employee is entitled to take 2 working days leave every year for community service. The long standing Shilling for Shilling programme continues to be a vibrant tool through which employees carry out various activities to raise funds for community projects of their choice and the Bank matches every Shilling raised.

Another popular employee scheme is the Make A Difference Day (MADD) where employees are allowed time off to support charities that are close to their hearts. MADD has become a landmark event in the Barclays Kenya calendar. During the 2013 edition held on 2 November 2013, the Bank's employees at all levels teamed up and volunteered approximately 16,000 hours of their time to make a difference to the youth and communities across the country. In 2013 a total of Shs 17 Million was invested in the communities through the Shilling for Shilling Programme, Employee Volunteering and MADD.

In Central Kenya, hydroponic farming is fast gaining ground in the agricultural sector. Convenient for small scale farmers, this new technology increases efficiency in resource management, improving maturity rates and crop yields.





Report of the independent auditor to the shareholders of Barclays Bank of Kenya Limited

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the “Bank”) and its subsidiaries (together, the “Group”), set out on pages 52 to 104. These financial statements comprise the consolidated statement of financial position at 31 December 2013 and the consolidated statement of profit or loss, and consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2013 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors’ responsibility for the financial statements

The Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the Directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors’ responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank’s preparation and fair presentation of the financial statements

in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank’s internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2013 and of the financial performance and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank’s statements of financial position and profit or loss account are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor’s report is CPA Michael Mugasa – P/No 1478.

Certified Public Accountants
Nairobi
6 February 2014

Consolidated statement of profit or loss

For the year ended 31 December 2013

	Notes	2013 Shs million	2012 Shs million
Interest income	5	21,297	21,041
Interest expense	5	(2,437)	(2,896)
Net interest income		18,860	18,145
Fees and commission income	6	7,237	7,226
Fees and commission expense	6	(717)	(650)
Net fees and commission income		6,520	6,576
Net foreign exchange income		2,084	2,437
Net income from financial instruments carried at fair value through profit or loss	7	449	236
Other operating income		9	30
Total income		27,922	27,424
Credit impairment charges	18	(1,223)	(144)
Net operating income		26,699	27,280
Employee benefits	8a	(8,114)	(7,814)
Other operating expenses	9	(5,515)	(5,255)
Depreciation and amortisation expense	10	(1,148)	(1,191)
Operating expenses		(14,777)	(14,260)
Restructuring expenses	8b	(788)	-
Profit before income tax		11,134	13,020
Income tax expense	11	(3,511)	(4,279)
Profit for the year		7,623	8,741
Earnings per share			
Basic and diluted (Shs per share)	12	1.40	1.61
Dividends			
Interim paid	13	1,086	1,629
Proposed final	13	2,716	3,802
		3,802	5,431

The notes on pages 59 to 104 are an integral part of these financial statements

Consolidated statement of other comprehensive income

For the year ended 31 December 2013

	Notes	2013 Shs million	2012 Shs million
Profit for the year		7,623	8,741
Other comprehensive income, net of income tax			
Items that will not be reclassified to profit or loss			
Remeasurements on post-employment benefit obligation	29	246	416
Items that may be subsequently reclassified to profit or loss			
Fair value movement on available for sale securities:			
- unrealised net (losses)/gains arising during the year	16	(279)	3,036
- deferred income tax relating to other comprehensive income	28	84	(910)
Other comprehensive income for the year, net of income tax		(195)	2,126
Total comprehensive income for the year		7,674	11,283

The notes on pages 59 to 104 are an integral part of these financial statements

Consolidated statement of financial position

At 31 December 2013

	Notes	2013 Shs million	2012 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	14	16,908	16,486
Items in the course of collection from banks		870	1,115
Financial assets at fair value through profit or loss	15	1,987	789
Financial assets available for sale	16	47,559	47,536
Deposits and balances due from banking institutions	17	1,386	167
Due from related parties	36	9,129	4,066
Loans and advances to customers	18	118,362	104,204
Other assets and prepaid expenses	19	3,808	4,284
Property and equipment	20	2,786	2,667
Intangible assets	21	2,858	3,452
Prepaid operating lease rentals	22	58	59
Current income tax		1,028	-
Total assets		206,739	184,825
LIABILITIES			
Items in the course of collection from banks		2,508	3,008
Deposits and balances due to banking institutions	24	4,738	1,724
Due to related parties	36	8,760	1,985
Customer deposits	25	151,125	137,915
Other liabilities and accrued expenses	26	3,848	4,096
Borrowings	27	3,109	4,499
Current income tax		-	1,125
Deferred income tax	28	154	223
Retirement benefit obligations	29	125	664
Total liabilities		174,367	155,239
EQUITY			
Share capital	30	2,716	2,716
Regulatory reserve	31	973	1,461
Other reserves	32	(401)	(206)
Retained earnings		26,368	21,813
Proposed dividend	13	2,716	3,802
Total equity		32,372	29,586
Total liabilities and equity		206,739	184,825

The financial statements on pages 52 to 104 were approved for issue by the board of Directors on 6 February 2014 and signed on its behalf by:



Chairman:
Francis Okomo-Okello



Managing Director:
Jeremy Awori



Director:
Yusuf Omari



Secretary:
Judy Nyaga

Bank statement of financial position

At 31 December 2013

	Notes	2013 Shs million	2012 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	14	16,908	16,486
Items in the course of collection from banks		870	1,115
Financial assets at fair value through profit or loss	15	1,987	789
Financial assets available for sale	16	47,559	47,536
Deposits and balances due from banking institutions	17	1,386	167
Balances due from group companies	36	9,129	4,066
Loans and advances to customers	18	118,362	104,204
Other assets and prepaid expenses	19	3,808	4,284
Property and equipment	20	2,786	2,667
Intangible assets	21	2,858	3,452
Prepaid operating lease rentals	22	58	59
Current income tax		1,025	-
Investments in subsidiary companies	23	275	275
Total assets		207,011	185,100
LIABILITIES			
Items in the course of collection from banks		2,508	3,008
Deposits and balances due to banking institutions	24	4,738	1,724
Balances due to group companies	36	8,760	1,985
Customer deposits	25	151,125	137,915
Other liabilities and accrued expenses	26	4,120	4,368
Borrowings	27	3,109	4,499
Current income tax		-	1,128
Deferred income tax	28	154	223
Retirement benefit obligations	29	125	664
Total liabilities		174,639	155,514
EQUITY			
Share capital	30	2,716	2,716
Regulatory reserve	31	973	1,461
Other reserves	32	(401)	(206)
Retained earnings		26,368	21,813
Proposed dividend	13	2,716	3,802
Total equity		32,372	29,586
Total liabilities and equity		207,011	185,100

The financial statements on pages 52 to 104 were approved for issue by the board of Directors on 6 February 2014 and signed on its behalf by:



Chairman:
Francis Okomo-Okello



Director:
Yusuf Omari



Managing Director:
Jeremy Awori



Secretary:
Judy Nyaga

Consolidated statement of changes in equity

For the year ended 31 December 2013

	Notes	Share capital	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs million	Total Shs million
Year ended 31 December 2012							
At start of year		2,716	2,541	(2,332)	17,007	7,061	26,993
Total comprehensive income for the year							
Profit for the year		-	-	-	8,741	-	8,741
Remeasurements on post-employment benefit obligation	29	-	-	-	416	-	416
Available for sale securities, net of tax	16	-	-	2,126	-	-	2,126
Transfer from regulatory reserve	31	-	(1,080)	-	1,080	-	-
		-	(1,080)	2,126	10,237	-	11,283
Transactions with owners, recorded directly in equity							
Dividends to equity holders							
- final for 2011 paid		-	-	-	-	(7,061)	(7,061)
- interim for 2012 paid		-	-	-	(1,629)	-	(1,629)
- proposed final for 2012		-	-	-	(3,802)	3,802	-
At end of year		2,716	1,461	(206)	21,813	3,802	29,586

	Notes	Share capital	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs million	Total Shs million
Year ended 31 December 2013							
At start of year		2,716	1,461	(206)	21,813	3,802	29,586
Total comprehensive income for the year							
Profit for the year		-	-	-	7,623	-	7,623
Remeasurements on post-employment benefit obligation	29	-	-	-	246	-	246
Available for sale securities, net of tax	16	-	-	(195)	-	-	(195)
Transfer from regulatory reserve	31	-	(488)	-	488	-	-
		-	(488)	(195)	8,357	-	7,674
Transactions with owners, recorded directly in equity							
Dividends to equity holders							
- final for 2012 paid		-	-	-	-	(3,802)	(3,802)
- interim for 2013 paid		-	-	-	(1,086)	-	(1,086)
- proposed final for 2013		-	-	-	(2,716)	2,716	-
At end of year		2,716	973	(401)	26,368	2,716	32,372

The notes on pages 59 to 104 are an integral part of these financial statements.

Bank statement of changes in equity

For the year ended 31 December 2013

	Notes	Share capital	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs million	Total Shs million
Year ended 31 December 2012							
At start of year		2,716	2,541	(2,332)	17,007	7,061	26,993
Total comprehensive income for the year							
Profit for the year		-	-	-	8,741	-	8,741
Remeasurements on post-employment benefit obligation	29	-	-	-	416	-	416
Available for sale securities, net of tax	16	-	-	2,126	-	-	2,126
Transfer from regulatory reserve	31	-	(1,080)	-	1,080	-	-
		-	(1,080)	2,126	10,237	-	11,283
Transactions with owners, recorded directly in equity							
Dividends to equity holders							
- final for 2011 paid		-	-	-	-	(7,061)	(7,061)
- interim for 2012 paid		-	-	-	(1,629)	-	(1,629)
- proposed final for 2012		-	-	-	(3,802)	3,802	-
At end of year		2,716	1,461	(206)	21,813	3,802	29,586

	Notes	Share capital	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs million	Total Shs million
Year ended 31 December 2013							
At start of year		2,716	1,461	(206)	21,813	3,802	29,586
Total comprehensive income for the year							
Profit for the year		-	-	-	7,623	-	7,623
Remeasurements on post-employment benefit obligation	29	-	-	-	246	-	246
Available for sale securities, net of tax	16	-	-	(195)	-	-	(195)
Transfer from regulatory reserve	31	-	(488)	-	488	-	-
		-	(488)	(195)	8,357	-	7,674
Transactions with owners, recorded directly in equity							
Dividends to equity holders							
- final for 2012 paid		-	-	-	-	(3,802)	(3,802)
- interim for 2013 paid		-	-	-	(1,086)	-	(1,086)
- proposed final for 2013		-	-	-	(2,716)	2,716	-
At end of year		2,716	973	(401)	26,368	2,716	32,372

The notes on pages 59 to 104 are an integral part of these financial statements.

Consolidated statement of cash flows

For the year ended 31 December 2013

	Notes	2013 Shs million	2012 Shs million
Net cash flows from operating activities	35(a)	10,089	8,969
Cash flows from investing activities			
Purchase of property and equipment	20	(656)	(867)
Purchase of intangibles	21	(17)	(23)
Proceeds from sale of property and equipment		-	4
Net cash used in investing activities		(673)	(886)
Cash flows from financing activities			
Dividends paid	13	(4,888)	(8,690)
Repayment of borrowings		(1,390)	-
Net cash used in financing activities		(6,278)	(8,690)
Net decrease in cash and cash equivalents		3,138	(607)
Cash and cash equivalents at start of year	35(b)	9,809	10,416
Cash and cash equivalents at end of year	35(b)	12,947	9,809

The notes on pages 59 to 104 are an integral part of these financial statements

Notes

1 General information

Barclays Bank of Kenya Limited (the “Bank”) is a company domiciled in Kenya. The registered address of the Bank is:

The West End Building
Waiyaki Way
PO Box 30120 code 00100
NAIROBI

The ultimate holding company of the Bank is Barclays Plc. which is a limited liability company incorporated and domiciled in United Kingdom.

The consolidated financial statements of the Bank as at and for the year ended 31 December 2013 comprise the Bank and its subsidiaries (together referred to as the “Group”). The Group primarily is involved in corporate and retail banking.

For the Kenya Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit or loss account by the statement of profit or loss in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

(a) Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair

value of an asset or a liability, the Bank uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Bank using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Bank at the end of the reporting period during which the change occurred

(b) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in note 3.

(c) Changes in accounting policy and disclosures

Adoption of new and revised standards

All new and revised standards and interpretations that have become effective for the first time in the financial year beginning 1 January 2013 have been adopted by the Bank. Of those, the following have had an effect on the Group's and Bank's financial statements:

Notes (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

(c) Changes in accounting policy and disclosures (continued)

IAS 1 (Amendment), Presentation of financial statements: the amendment requires entities to group items of other comprehensive income according to whether or not they will be subsequently reclassified to profit or loss.

IFRS 7 (Amendment), Financial Instruments: disclosures: The amendment provides new guidance on offsetting financial assets and financial liabilities. It allows investors to bridge differences in the offsetting reporting requirements of IFRS and US GAAP and introduces new disclosures that provide better information on how entities mitigate credit risk, including related collateral pledged.

IFRS 10 Consolidated financial statements: The new standard replaces all the guidances on control and consolidation in IAS 27, Consolidated and separate financial statements and SIC-12, Special purpose entities. IFRS 10 introduces a single consolidation model that identifies control as the basis for consolidation for all types of entities, where control is based on whether an investor has power over the investee, exposure/rights to variable returns from its involvement with the investee and the ability to use its power over the investee to affect the amount of the returns.

IFRS 13, Fair value measurement: the new standard defines fair value, set out a framework for measuring fair value, and requires disclosures about fair value measurements. IFRS 13 applies when other standard require or permit fair value measurements; it does not introduce any new requirements to measure an asset or liability at fair value.

New and revised standards and interpretations which have been issued but are not yet effective

The Group has not applied the following revised standards and interpretations that have been published but are not yet effective for the year beginning 1 January 2013.

Amendments to IAS 32 titled Offsetting Financial Assets and Financial Liabilities (issued in December 2011) – The amendments address inconsistencies in current practice when applying the offsetting criteria in IAS 32, mainly by clarifying the meaning of “currently has a legally enforceable right of set-off” and that some gross settlement systems may

be considered equivalent to net settlement. They are effective for annual periods beginning on or after 1 January 2014, with retrospective application.

Amendments to IAS 36 titled Recoverable Amount Disclosures for Non-Financial Assets (issued in May 2013) – The amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique. They are effective for annual periods beginning on or after 1 January 2014. Amendments to IAS 39 titled Novation of Derivatives and Continuation of Hedge Accounting (issued in June 2013) – The amendments permit the continuation of hedge accounting in a situation where the counterparty to a derivative designated as a hedging instrument is replaced by a new central counterparty (known as ‘novation of derivatives’), as a consequence of laws or regulations, if specific conditions are met. They are effective for annual periods beginning on or after 1 January 2014.

Amendments to IFRS 10, IFRS 12 and IAS 27 titled Investment Entities (issued in October 2012) – The amendments define “investment entities” and provide them an exemption from the consolidation of subsidiaries; instead, an investment entity is required to measure the investment in each eligible subsidiary at fair value through profit or loss in accordance with IFRS 9 / IAS 39 (the exception does not apply to subsidiaries that provide services relating to the investment entity’s investment activities). An investment entity is required to account for its investment in a relevant subsidiary in the same way in its consolidated and separate financial statements, and additional disclosures are introduced. The amendments are effective for annual periods beginning on or after 1 January 2014, retrospectively with some transitional provisions. The Directors do not anticipate any effect on the Bank’s consolidated financial statements as the parent company is not an investment entity.

IFRIC 21 Levies (issued in May 2013) – The interpretation provides guidance on when to recognise a liability for a levy imposed by a government. The obligating event for the recognition of a liability is the activity that triggers the payment of the levy in accordance with the relevant legislation. It also provides guidance on recognition of a liability to pay levies: the liability is recognised either progressively if the obligating event occurs over a period of time, or when the minimum threshold is reached if an obligation is triggered on reaching that minimum threshold. The interpretation is effective for annual periods beginning on or after 1 January 2014.

IFRS 9 - Financial Instruments it replaces parts of IAS 39 - Financial Instruments, Recognition and Measurement that relate classification, measurement and recognition

Notes (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

(c) Changes in accounting policy and disclosures (continued)

of financial assets and financial liabilities. IFRS 9 requires financial assets to be classified, at initial recognition as either measured at fair value or at amortised cost. The classification depends on the entity's business model for managing its financial instruments and the characteristics of the contractual cash flows of the instrument. For financial liabilities, the standard retains most of the requirements of IAS 39. The main change is that, in cases where the fair value option is applied for financial liabilities, the part of a fair value change arising from a change in an entity's own credit risk is recorded in other comprehensive income rather than the profit or loss, unless this creates an accounting mismatch.

Amendments to IFRS 9 - Financial Instruments, hedge accounting: it replaces parts of IAS 39 - Financial Instruments, Recognition and Measurement that relate hedge accounting. The changes align hedge accounting closely to entity risk management policy, replaces the bright line under IAS 39 for hedge effectiveness and eligibility for hedge accounting, changes what qualifies as a hedged item removing the restrictions under IAS 39 and relaxes the rules on the use of some hedging instruments such as purchased options and non-derivative financial items. The standard has no mandatory effective date but it is available for immediate application.

The Directors are assessing the impact of the standards and will subsequently choose the effective date.

2.2 Consolidation

The consolidated financial statements comprise the financial statements of Barclays Bank of Kenya Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank. A listing of the Bank's subsidiaries is set out in Note 23.

2.3 Foreign currency translation

(a) Functional and presentation currency

The accounting records are maintained in the currency of the primary economic environment in which the Group operates (the "functional currency"). The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Shs), rounded to the nearest million.

(b) Transactions and balances

Transactions in foreign currencies during the year are translated into the functional currency using the exchange rates prevailing at the dates of the transaction or valuation where items are re-measured.

Monetary items denominated in foreign currency are translated at the closing rate as at the reporting date.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

2.4 Sale and repurchase agreements

Securities sold subject to repurchase agreements ('repos') are classified in the financial statements as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral; the counterparty liability is included in amounts due to Central Bank of Kenya, due to other banks, deposits from banks, other deposits or deposits due to customers, as appropriate.

Securities purchased from Central Bank of Kenya under agreements to resell ('reverse repos') are disclosed separately as they are purchased and are not negotiable/discounted during their tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities

2.5.1 Financial assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition.

(a) Financial assets at fair value through profit or loss

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Bank as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

The Group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- the financial assets consists of debt host and an embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the Group commits to purchase or sell the asset. Fair value

changes relating to financial assets designated at fair value through profit or loss are recognized in the statement of profit or loss in the year in which they arise.

(b) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Bank provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables are initially recognised at fair value – which is the cash consideration to originate the loan including any transaction costs – and measured subsequently at amortised cost using the effective interest method

Loans and receivables are reported in the statement of financial position as loans and advances to customers, deposits with financial institutions, cash with Central Bank of Kenya and balances due from group companies (notes 18, 17, 14 and 36). Interest on loans is included in the statement of profit or loss and is reported as 'Interest income'. In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the loan and recognised in the statement of profit or loss as 'impairment losses on loans and advances'.

(c) Available-for-sale financial assets

Available-for-sale financial assets are financial assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Available-for-sale financial assets are initially recognised at fair value, which is the cash consideration including any transaction costs, and measured subsequently at fair value with gains and losses being recognised in the statement of comprehensive income, except for impairment losses and foreign exchange gains and losses, until the financial asset is derecognised. If an available-for-sale financial asset is determined to be impaired, the cumulative gain or loss previously recognised in the statement of comprehensive income is recognised in the statement of profit or loss. However, interest is calculated using the effective interest method, and foreign currency gains and losses on monetary assets classified as available for sale are recognised in the statement of profit or loss.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.2 Financial liabilities

All the Bank's financial liabilities are measured at amortised cost. These include deposits from banks or customers or balances due to Group, long term debt instruments and subordinated debts (notes 24, 25, 36 and 27).

Financial liabilities are initially recognised at their fair value, being their issue proceeds (fair value of consideration received), net of transaction costs incurred and subsequently measured at amortised cost. Financial liabilities are derecognised when extinguished.

2.5.3 Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges and broker quotes.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indicators that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants.

The Bank uses widely recognised valuation models for determining fair values of government securities. For these financial instruments, inputs into models are generally market-observable.

The fair values of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that Directors expect would be available to the company at the reporting date.

The fair value of foreign exchange forwards is generally based on current forward exchange rates.

The fair values of contingent liabilities correspond to their carrying amounts

2.5.4 Derecognition

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership

Financial liabilities are derecognised when they have been redeemed or otherwise extinguished.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.5 Classes of financial instruments

The Bank classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table as follows:

Category (as defined by IAS 39)	Class (as determined by the Group)		Subclasses	
Financial assets	Financial assets at fair value through profit or loss.	Financial assets held for trading for trading	Debt securities	
		Financial assets designated at fair value through profit or loss	Equity securities	
	Loans and receivables	Loans and advances to banks		
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts
				Credit cards
				Term loans
				Mortgages
			Loans to corporate entities	Large corporate customers
		SMEs		
		Others		
	Items in the course of collection			
	Available-for-sale financial assets	Investment securities - debt securities		Listed
	Financial liabilities at amortised cost	Deposits from banks		
		Deposits from customers	Retail customers	
Large corporate customers				
SMEs				
Items in the course of collection				
Off- balance sheet financial Instruments	Loan commitments			
	Guarantees, acceptances and other financial facilities			

Notes (continued)

2 Summary of significant accounting policies (continued)

2.6 Impairment of financial assets

(a) Assets carried at amortised cost

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- (a) significant financial difficulty of the issuer or obligor;
- (b) a breach of contract, such as a default or delinquency in interest or principal payments;
- (c) the lender, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
- (d) it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- (e) the disappearance of an active market for that financial asset because of financial difficulties; or
- (f) observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
 - (i) adverse changes in the payment status of borrowers in the portfolio; and
 - (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

The estimated period between a loss occurring and its identification is determined by local management for each identified portfolio. In general, the periods used vary between 1 and 6 months; in exceptional cases, longer periods are warranted.

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for

financial assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on loans carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the statement of profit or loss. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the Bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Estimates of changes in future cash flows for groups of assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the Bank and their

Notes (continued)

2 Summary of significant accounting policies (continued)

2.6 Impairment of financial assets (continued)

(a) Assets carried at amortised cost (continued)

magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related allowance for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Impairment charges relating to loans and advances to customers are included in loan impairment charges. Subsequent recoveries of amounts previously written off decrease the amount of the provision for loan impairment in the statement of profit or loss..

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in the statement of profit or loss.

(b) Assets classified as available-for-sale

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity investments classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is objective evidence of impairment resulting in the recognition of an impairment loss. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the statement of profit or loss. Impairment losses recognised in the statement of profit or loss on equity instruments are not reversed through the statement of profit or loss. If, in a subsequent period, the fair value of a debt instrument classified as available for sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the statement of profit or loss.

2.7 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

2.8 Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with central bank, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

2.9 Property and equipment

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation on other assets is calculated on the straight line basis to write down their cost to their residual values over their estimated useful lives, as follows:-

Buildings	25 – 40 years
Leasehold improvements	Over the remaining the lease period
Fixtures, fittings and equipment	3 – 15 years
Motor vehicles	5 – 8 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.9 Property and equipment (continued)

The Bank assesses at each reporting date whether there is any indication that any item of property and equipment is impaired. If any such indication exists, the Bank estimates the recoverable amount of the relevant assets. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

2.10 Intangible assets

Intangible assets comprise computer software and other intangible assets. Intangible assets are recognised at cost. Intangible assets with a definite useful life are amortised using the straight-line method over their estimated useful economic life, generally not exceeding 10 years. Generally, the identified intangible assets of the Bank have a definite useful life. At the end of each reporting period, intangible assets are reviewed for indications of impairment or changes in estimated future economic benefits. If such indications exist, the intangible assets are analysed to assess whether their carrying amount is fully recoverable. An impairment loss is recognised if the carrying amount exceeds the recoverable amount.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

The Bank does not have intangible assets with an indefinite useful life as at 31 December 2013 and 31 December 2012.

The Bank chooses to use the cost model for the measurement after recognition.

(i) Computer software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the

Bank are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

2.11 Impairment of non-financial assets

Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). The impairment test also can be performed on a single asset when the fair value less cost to sell or the value in use can be determined reliably. Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

2.12 Employee benefits

(a) Retirement benefit

The Group operates both a defined benefit plan and defined contribution plan. The assets of these schemes are held in separate trustee administered funds that are funded by contributions from the Group and the employees. Certain of the employees are members of the parent bank's defined benefit scheme. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligation to pay further contributions if the fund does hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. A defined contribution plan is a retirement benefit plan that is not a defined benefit plan.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.12 Employee benefits (continued)

(a) Retirement benefit (continued)

The Group's contribution to the defined contribution scheme is charged to the statement of profit or loss in the year in which they fall due. The Group has no further payment obligation once the contributions have been paid.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The liability recognised in the consolidated statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest yield on government securities that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise.

Past-service costs are recognised immediately in income.

The Group's post-employment amounts and activity are disclosed in Note 29.

(b) Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognises termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination

benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

(c) Profit-sharing and bonus plans

The Group recognises a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the Bank's shareholders after certain adjustments. The Group recognises a provision where contractually obliged or where there is a past practice that has created a constructive obligation.

(d) Other employee entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

2.13 Provisions

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefits will be necessary to settle the obligation, and these can be reliably estimated. When a leasehold property ceases to be used in the business, a provision is made where the unavoidable costs of the future obligations relating to the lease are expected to exceed anticipated rental income. The net costs are discounted using market rates of interest to reflect the long-term nature of the cash flows.

Provision is made for the anticipated cost of restructuring, including redundancy costs when an obligation exists. An obligation exists when the Group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by starting to implement the plan or announcing its main features.

The provision raised is normally utilised within nine months. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognised but are disclosed unless they are remote.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.14 Income tax expense

(a) Current income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. The Directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(b) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if

it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

2.15 Dividend payable

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with the Kenya Companies' Act.

2.16 Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

2.17 Leases

Leases are divided into finance leases and operating leases.

(a) The Bank is the lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

The total payments made under operating leases are charged to 'other operating expenses' on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Leases of assets where the Bank has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or

Notes (continued)

2 Summary of significant accounting policies (continued)

2.17 Leases (continued)

loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Bank are primarily operating leases.

(b) The Bank is the lessor

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) Fees paid in connection with arranging leases

The Bank makes payments to agents for services in connection with negotiating lease contracts with the Bank's lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset, and depreciated over the life of the lease.

2.18 Interest income and expense

Interest income and expense for all interest-bearing financial instruments are recognised in the statement of profit or loss using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Bank estimates cash flows considering all contractual terms of the financial instrument (for example, prepayment options) but does not consider future credit losses. The calculation includes all fees and points paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

2.19 Fee and commission income

Fees and commissions are generally recognised on an accrual basis when the service has been provided. Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan.

Fees and commission expenses are generally deferred and recognised on an accrual basis when incurred.

2.20 Dividend income

Dividends are recognised in profit or loss when the Bank's right to receive payment is established.

2.21 Acceptances and letters of credit

Acceptances and letters of credit are accounted for as off-balance sheet transactions and disclosed as contingent liabilities.

2.22 Investment in subsidiaries

Investments in subsidiary companies are carried only in the Bank's accounts at fair value. Changes in fair value of the investments are recognised in equity in "revaluation reserve on investments in subsidiaries" and subsequent recycling into the statement of profit or loss on disposal or impairment.

2.23 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country management Committee that makes strategic decisions.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.23 Segment reporting (continued)

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

2.24 Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

3 Critical accounting estimates and judgements

IFRS require that the Group adopts accounting policies and estimation techniques that the Directors believe are most appropriate in the circumstances for the purpose of giving a true and fair view of the state of the Group's financial affairs, its profit and cash flows. However different policies, estimation techniques and assumptions in critical areas could lead to materially different results.

The following are estimates which are considered to be complex and involve significant amounts of management valuation judgements, often in areas that are inherently uncertain.

(a) Impairment losses on loans and advances

The Bank reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Bank makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio.

This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a bank, or national or local economic conditions that correlate with defaults on assets in the Bank. The Directors use estimates based on historical loss experience for assets with credit risk characteristics

and objective evidence of impairment similar to those in the portfolio when scheduling future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

(b) Fair value of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates.

Changes in assumptions about these factors could affect the reported fair value of financial instruments.

The fair value hierarchy for these financial instruments is shown in Note 4.

(c) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 33.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Notes (continued)

3 Critical accounting estimates and judgements (continued)

(d) Retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in note 29. The Group determines the appropriate discount rate at the end of each year.

This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

Through its defined benefit pension plans, the group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset volatility and changes in bond yields

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plans mature, the group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

(ii) Inflation risk

The majority of the plans' benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iii) Life expectancy

The majority of the plans' obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 29 of these financial statements.

4 Financial risk management

The Bank has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes.

At a strategic level, our risk management objectives are to:

- Identify the Bank's significant risks;
- Formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- Help executives improve the control and co-ordination of risk taking across the business.

Notes (continued)

4 Financial risk management (continued)

The Bank's approach is to provide direction on: understanding the principal risks to achieving Group strategy; establishing risk appetite; and establishing and communicating the risk management framework. The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below).

Steps	Activity
Identify	Establish the process for identifying and understanding business-level risks
Assess	Agree and implement measurement and reporting standards and methodologies
Control	- Establish key control processes and practices, including limit structures, impairment allowance - Criteria and reporting requirements - Monitor the operation of the controls and adherence to risk direction and limits - Provide early warning of control or appetite breaches - Ensure that risk management practices and conditions are appropriate for the business environment
Report	- Interpret and report on risk exposures, concentrations and risk-taking outcomes - Interpret and report on sensitivities and Key Risk Indicators. - Communicate with external parties
Manage and challenge	Review and challenge all aspects of the Bank's risk profile. - Assess new risk-return opportunities - Advise on optimising the Bank's risk profile - Review and challenge risk management practices

Risk responsibilities

On a day-to-day basis risks are managed through a number of management committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and RCC and the Board.

The Board approves risk appetite and the Board Audit Committee monitors the Bank's risk profile against this appetite. In more detail:

- The Board Audit Committee has responsibility for ensuring effective risk management and control;
- Business heads are responsible for the identification and management of risk in their businesses;
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.

4.1 Credit risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group.

The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities, settlement balances with market counterparties, available for sale assets and reverse repurchase loans.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations;
- monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

4.1.1 Credit risk measurement

The Bank establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs. This method applies mainly in the corporate portfolios.

For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience.

Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified.

The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood

of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

The basic calculation is:

Impairment allowance = Total outstanding x Probability of Default (PD) x Loss Given Default (LGD)

The PD increases with the number of contractual payments missed thus raising the associated impairment requirement.

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported. The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

4.1.2 Risk limit control and mitigation policies

The Bank manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

4.1.2 Risk limit control and mitigation policies (continued)

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

(a) Collateral

The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

(b) Lending limits (for derivative and loan books)

The Bank maintains strict control limits on net open derivative positions (that is, the difference between purchase and sale contracts) by both amount and term. The amount subject to credit risk is limited to expected future net cash inflows of instruments, which in relation to derivatives are only a fraction of the contract, or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risk arising from the Bank's market transactions on any single day.

(c) Financial covenants (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as loans. Documentary and commercial letters of credit – which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions – are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct loan.

(c) Financial covenants (for credit related commitments and loan books) (continued)

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards (often referred to as financial covenants).

The following table represents the credit risk exposure to the Group at 31 December 2012 and 2011, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets the exposures set out above are based on net carrying amounts as reported in the balance sheet.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements

The Group's maximum exposure to credit risk on financial assets subject to credit risk is set out in the table below:

As at 31 December 2013	Balances with Central Bank	Items in the course of collection	Financial assets available for sale	Deposits and balances due from banking institutions	Due from related parties	Loans and advances to customers	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	10,613	870	47,559	1,386	9,129	117,115	186,672
Past due but not impaired							
Past due 30 to 90 days	-	-	-	-	-	947	947
Past due over 90 days	-	-	-	-	-	35	35
Impaired							
Individually assessed	-	-	-	-	-	3,407	3,407
Total	10,613	870	47,559	1,386	9,129	121,504	191,061
Impairment allowances							
Identified impairment	-	-	-	-	-	(2,729)	(2,729)
Unidentified impairment	-	-	-	-	-	(413)	(413)
Total carrying value	10,613	870	47,559	1,386	9,129	118,362	187,919

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

As at 31 December 2012	Balances with Central Bank	Items in the course of collection	Financial assets available for sale	Deposits and balances due from banking institutions	Due from related parties	Loans and advances to customers	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	9,753	1,115	47,536	167	4,066	101,078	163,715
Past due but not impaired							
Past due 30 to 90 days	-	-	-	-	-	2,284	2,284
Past due over 90 days	-	-	-	-	-	38	38
Impaired							
Individually assessed	-	-	-	-	-	3,573	3,573
Total	9,753	1,115	47,536	167	4,066	106,973	169,610
Impairment allowances							
Identified impairment	-	-	-	-	-	(2,454)	(2,454)
Unidentified impairment	-	-	-	-	-	(315)	(315)
Total carrying value	9,753	1,115	47,536	167	4,066	104,204	166,841

Credit quality of loans and advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of wholesale and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of retail loans that are 1 day or more past due for which a collective allowance is raised. Wholesale loans that are past due, individually assessed as unimpaired, but which carry an unidentified impairment allowance, are excluded from this category

Collateral and other credit enhancements

Financial assets that are past due or individually assessed as impaired are at least partially collateralised or subject to other forms of credit enhancement. The effects of such arrangements are taken into account in the calculation of the impairment allowance held against them.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

Collateral and other credit enhancements obtained

The fair value of assets held by the group as at 31 December as collateral was as follows:-

Carrying amount	Group and Bank	
	2013 Shs million	2012 Shs million
Nature of assets		
Commercial and industrial property	6,827	4,379

There is no concentration risk arising within the collaterals held and no collateral has been repledged in 2013 or 2012.

Write-off policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the profit or loss.

4.2 Market risk

The Bank takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, foreign exchange rates and equity prices. The Bank separates exposures to market risk into either trading or non-trading portfolios.

The market risks arising from trading and non-trading activities are monitored in Bank Treasury daily. Regular reports are submitted to the Board of Directors and heads of each business unit.

Trading portfolios include those positions arising from market-making transactions where the Bank acts as principal with clients or with the market.

Non-trading portfolios primarily arise from the interest rate management of the banks retail and commercial banking assets and liabilities. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's held-to-maturity and available-for-sale financial assets.

4.2.1 Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

(a) Value at risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.1 Market risk measurement techniques (continued)

(a) Value at risk (continued)

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Bank Treasury. Average daily VAR for the Bank was Shs 1.9 million (2012: Shs 2.2 million).

(b) Stress tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

4.2.2 Foreign exchange risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows.

The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily.

The table below summarises the Bank's exposure to foreign exchange risk at 31 December 2013. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenya Shillings):

At 31 December 2013	USD	GBP	Euro	Other	Total
Assets					
Cash and bank balances	745	36	42	32	855
Loans and advances to customers	25,624	9	2,050	29	27,712
Other assets and prepayments	(1,874)	404	3,145	743	2,418
Total financial assets	24,495	449	5,237	804	30,985
Liabilities					
Balances due to banking institutions and group companies	6,104	-	-	39	6,143
Customer deposits	19,402	1,381	5,710	915	27,408
Other liabilities and accrued expenses	11	-	-	-	11
Total financial liabilities	25,517	1,381	5,710	954	33,562
Net on balance sheet financial position	(1,022)	(932)	(473)	(150)	(2,577)
Off balance sheet net notional position	1,202	935	483	(49)	2,571
Overall net position	180	3	10	(199)	(6)
At 31 December 2012					
Total financial assets	17,227	1,366	3,136	729	22,458
Total financial liabilities	19,813	1,400	3,151	828	25,192
Net on balance sheet financial position	(2,586)	(34)	(15)	(99)	(2,734)
Off balance sheet net notional position	3,407	40	24	(8)	3,463
Overall net position	821	6	9	(107)	729

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.2 Foreign exchange risk (continued)

Foreign exchange risk sensitivity analysis

The impact on profit after tax of a 10% appreciation or depreciation of the shilling would be as follows:-

	At 31 December 2013			At 31 December 2012		
	Currency carrying amount	10% Depreciation	10% Depreciation	Currency carrying amount	10% Depreciation	10% Depreciation
Assets						
USD	24,495	(2,450)	2,450	17,227	(1,723)	1,723
GBP	449	(45)	45	1,366	(137)	137
EURO	5,237	(524)	524	3,135	(314)	314
Other currencies	804	(80)	80	729	(73)	73
Liabilities						
USD	25,516	2,552	(2,552)	19,813	1,981	(1,981)
GBP	1,381	138	(138)	1,400	140	(140)
EURO	5,710	571	(571)	3,152	315	(315)
Other currencies	954	95	(95)	828	83	(83)
Total increase/ (decrease)		257	(257)		272	(272)
Tax charge of 30%		(77)	77		(82)	82
Effect on profit for the year		180	(180)		190	(190)
As percentage of net profit after tax		2.36%	2.36%		2.25%	2.25%

At 31 December 2013 if the shilling had weakened /strengthened by 10% against the major trading currencies with all other variables held constant after tax profit would have been Shs 180 million (2012: Shs 190 million) lower/higher.

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.3 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

The table below summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are in millions of Shillings.

At 31 December 2013	Up to 1 month	1-3 Months	3-12 Months	Over 1 year	Non-interest Bearing	Total
ASSETS						
Cash and balances with Central Bank of Kenya	-	-	-	-	16,908	16,908
Items in the course of collection from banks	870	-	-	-	-	870
Financial assets at fair value through profit or loss	-	-	-	-	1,987	1,987
Financial assets available for sale	412	7,935	26,262	12,950	-	47,559
Deposits and balances due from banking institutions	1,386	-	-	-	-	1,386
Due from related parties	9,129	-	-	-	-	9,129
Loans and advances to customers	20,903	22,472	34,848	40,139	-	118,362
Other assets and prepayments	-	-	-	-	3,808	3,808
Property and equipment	-	-	-	-	2,786	2,786
Prepaid operating lease rentals	-	-	-	-	58	58
Intangible assets	-	-	-	-	2,858	2,858
Current income tax	-	-	-	-	1,028	1,028
Total assets	32,700	30,407	61,110	53,089	29,433	206,739
LIABILITIES & EQUITY						
Items in the course of collection from Banks	2,508	-	-	-	-	2,508
Deposits and balances due to banking institutions	4,738	-	-	-	-	4,738
Due to related parties	8,760	-	-	-	-	8,760
Customer deposits	52,893	16,117	15,850	64,496	1,769	151,125
Other liabilities and accrued expenses	-	-	-	-	3,848	3,848
Borrowings	-	3,109	-	-	-	3,109
Deferred income tax	-	-	-	-	154	154
Retirement benefit obligations	-	-	-	-	125	125
Shareholders' equity	-	-	-	-	32,372	32,372
Total liabilities and equity	68,899	19,226	15,850	64,496	38,268	206,739
Interest sensitivity gap	(36,199)	11,181	45,260	(11,407)	(8,835)	-
At 31 December 2012						
Total assets	105,605	16,185	26,487	8,811	27,737	184,825
Total liabilities and equity	74,318	15,806	2,920	601	91,180	184,825
Interest sensitivity gap	31,287	379	23,567	8,210	(63,443)	-

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.3 Interest rate risk (continued)

Interest risk sensitivity analysis

The impact on income from financial instruments of a 1% increase or decrease in interest rates would be as follows:-

	At 31 December 2013			At 31 December 2012		
	Carrying amounts	1% increase	1% Decrease	Carrying amount	1% increase	1% Decrease
ASSETS						
Cash and balances with Central Bank of Kenya	16,908	-	-	16,486	-	-
Items in the course of collection from banks	870	(1)	1	1,115	(11)	11
Financial assets at fair value through profit or loss	1,987	-	-	789	-	-
Financial assets available for sale	47,559	(476)	476	47,536	(475)	475
Deposits and balances due from banking institutions	1,386	(14)	14	167	(1)	1
Due from related parties	9,129	(91)	91	4,066	(41)	41
Loans and advances to customers	118,362	(1,183)	1,183	104,204	(1,042)	1,042
Other assets and prepayments	3,808	-	-	4,284	-	-
Property and equipment	2,786	-	-	2,667	-	-
Prepaid operating lease rentals	58	-	-	59	-	-
Intangible assets	2,858	-	-	3,452	-	-
Current income tax	1,028	-	-	1,125	-	-
LIABILITIES & EQUITY						
Items in the course of collection from banks	2,508	(25)	25	3,008	(30)	30
Deposits and balances due to banking institutions	4,738	47	(47)	1,724	17	(17)
Due to related parties	8,760	87	(87)	1,985	18	(18)
Customer deposits	151,125	1,493	(1,493)	137,915	854	(854)
Other liabilities and accrued expenses	3,848	-	-	4,096	-	-
Borrowings	3,109	31	(31)	4,499	45	(45)
Current income tax	-	-	-	1,125	-	-
Deferred income tax	154	-	-	223	-	-
Retirement benefit obligations	125	-	-	664	-	-
Shareholders' equity	32,261	-	-	29,182	-	-
Net interest income increase/ (decrease)		(132)	132		(637)	637
Tax charge at 30%		40	(40)		191	(191)
Impact on profit after tax		(92)	92		(446)	446

At 31 December 2013 if interest rates were to increase/decrease by 1% with all other variables held constant the after tax profit would have been Shs 92 million (2012: Shs 446 millions) higher/lower with other components of equity remaining the same.

Notes (continued)

4 Financial risk management (continued)

4.3 Liquidity risk

The definition of liquidity risk is the risk that the Bank is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows.

Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs.

This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in:

- an inability to support normal business activity; and
- a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Bank's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Bank.

In illiquid markets, the Bank may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Bank's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Bank in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- To maintain market confidence in the Bank's name;
- To set limits to control liquidity risk within and across lines of business;
- To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;

- To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- To maintain a contingency funding plan that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

4.3.1 Liquidity risk management process

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Bank Treasury, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. These include replenishment of funds as they mature or are borrowed by customers.
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring the liquidity ratios of the consolidated statement of financial position against
- internal and regulatory requirements; and
- Managing the concentration and profile of debt maturities.

Monitoring and reporting takes the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management.

The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

Notes (continued)

4 Financial risk management (continued)

4.3 Liquidity risk (continued)

4.3.1 Liquidity risk management process (continued)

The table below represents the undiscounted cash flows payable by the Bank under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

At 31 December 2013	Up to 1 month	1-3 Months	3-12 Months	1-3 Years	3-5 Years	Over 5 Years	Totals
Liabilities							
Customer deposits	136,153	8,697	5,647	628	-	-	151,125
Deposits and balances due to banking institutions	4,738	-	-	-	-	-	4,738
Due to related parties	8,760	-	-	-	-	-	8,760
Other liabilities and accrued expenses	3,497	6,333	-	-	-	-	9,830
Total financial liabilities (Contractual maturity dates)	153,148	15,030	5,647	628	-	-	174,453
Assets held for managing liquidity (contractual maturity dates)	12,371	6,764	26,145	14,603	-	-	59,883

At 31 December 2012

Liabilities							
Customer deposits	123,087	11,307	2,920	601	-	-	137,915
Deposits and balances due to banking institutions	1,724	-	-	-	-	-	1,724
Due to related parties	4,066	-	-	-	-	-	4,066
Other liabilities and accrued expenses	7,106	2,047	250	3,598	-	-	13,001
Total financial liabilities (Contractual maturity dates)	135,983	13,354	3,170	4,199	-	-	156,706
Assets held for managing liquidity (contractual maturity dates)	25,479	12,801	21,703	6,216	1,450	1,145	68,794

Notes (continued)

4 Financial risk management (continued)

4.4 Fair value of financial assets and liabilities

Fair value measurements are grouped by level of the following fair value measurement hierarchy:

Level 1

Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2

Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).

Level 3

Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily equity investments classified as trading securities.

The fair value of financial instruments that are not traded in an active market (for example, government debt instruments) is determined by using discounted cashflow valuation techniques. These valuation techniques maximise the use of observable market data (quoted yields) and rely as little as possible on Bank specific estimates other than a 20bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment. If all significant

inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The following table presents the group's assets and liabilities that are measured at fair value at 31 December 2013.

31 December 2013	Level 1 Shs million	Level 2 Shs million	Level 3 Shs million	Total Balance Shs million
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	1,987	-	-	1,987
Available-for-sale financial assets				
– Debt investments	-	47,559	-	47,559
Total assets	1,987	47,559	-	49,546

There are no financial liabilities measured at fair value through profit and loss as at 31 December 2013

31 December 2012	Level 1 Shs million	Level 2 Shs million	Level 3 Shs million	Total Balance Shs million
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	789	-	-	789
Available-for-sale financial assets				
– Debt investments	-	47,536	-	47,536
Total assets	789	47,536	-	48,325

Notes (continued)

4 Financial risk management (continued)

4.5 Capital management

Capital risk is the risk that the Bank is unable to maintain appropriate capital ratios which could lead to:

- (i) an inability to support business activity
- (ii) a failure to meet regulatory requirements
- (iii) changes to credit ratings

Capital Management is integral to the Group's approach to financial stability and sustainability management and is therefore embedded in the way our businesses and legal entities operate.

Our Capital Management strategy is driven by the strategic aims of the Group and the risk appetite set by the Board.

Our objectives are achieved through well embedded capital management practices:

Primary Objectives	Core Practices
Provide a viable and sustainable business offering by maintaining adequate capital to cover the Bank's current and forecast business needs and associated risks	• Monitor internal targets for capital demand and ratios • Meet minimum regulatory requirements
Ensure the Bank maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions	• Perform internal and regulatory stress tests • Maintain capital buffers over regulatory minimum • Develop contingency plans for severe (stress management actions)
Support the Bank's growth and strategic options	• Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

Notes (continued)

4 Financial risk management (continued)

4.5 Capital management (continued)

Our approach to capital risk management

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles.

The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs.

Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Group maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

- Tier 1 capital: share capital, Retained earnings, excluding unrealised gains arising on the fair valuation of available for sale investments; and
- Tier 2 capital: Statutory reserve, medium term note and subordinated loan capital,

The risk weighted assets are measured using the Risk weights prescribed under the Central Bank prudential guidelines.

Capital adequacy

Key capital ratios	Regulatory minimum	As at 31.12.13	Regulatory minimum	As at 31.12.12
Tier 1	10.5%	16.6%	8.0%	22.7%
Total Capital	14.5%	17.3%	12%	25.0%
		As at 31.12.13		As at 31.12.12
	Shs m	Shs m	Shs m	Shs m
Tier 1 capital	-	31,798		28,331
Tier 2 capital	-	1,373		2,839
Total Capital	1,000	33,171	1,000	31,170

Capital resources

	2013 Shs million	2012 Shs million
Tier 1 Capital:		
Ordinary Share Capital	2,716	2,716
Retained earnings	29,082	25,615
Total qualifying tier 1 Capital	31,798	28,331
Tier 2 Capital:		
Qualifying portion of Statutory loan loss reserve	973	1,461
Subordinated debts	400	1,378
Total qualifying tier 2 Capital	1,373	2,839
Total regulatory capital	33,171	31,170
Risk weighted Assets:		
On balance Sheet-Credit Risk	141,184	112,183
Off balance sheet-Credit Risk	12,946	12,657
Operational and Market Risk	50,467	-
Total risk weighted assets	204,597	124,840

Notes (continued)

4 Financial risk management (continued)

4.5 Capital management (continued)

Capital resources

The Group manages both its debt and equity capital actively.

	2013 Shs million	2012 Shs million
Shareholders' equity	32,372	29,586
<u>Total capital resources</u>	<u>32,372</u>	<u>29,586</u>

4.6 Operational risk

Operational risk is defined as the risk of direct or indirect impacts resulting from human factors, inadequate or failed internal processes and systems or external events. Operational risks are inherent in the Group's business activities and are typical of any large enterprise. Losses from operational risks of small significance are expected to occur and are accepted as part of the normal course of business. Those of material significance are rare and the Group seeks to reduce the likelihood of these in accordance with its risk appetite.

The management of operational risk has two key objectives:

- To minimise the impact of losses suffered in the normal course of business (expected losses) and to avoid or reduce the likelihood of suffering a large extreme (or unexpected) loss; and
- To improve the effective management of the Bank and strengthen its brand and external reputation.

Barclays operates within a robust system of internal control that enables business to be transacted and risk taken without exposure to unacceptable potential losses or reputational damage. The prime responsibility for the management of operational risk and the compliance with control requirements rests with the business and functional units where the risk arises

Risk and Control Committee (RCC) is the senior executive body responsible for the oversight and challenge of operational risk in Barclays. The R&CC monitors control effectiveness and considers significant control issues and their remediation. The R&CC presents to the Board Audit Committee (BAC).

The Internal Audit function provides further independent review and challenge of the Bank's operational risk management controls, processes and systems and reports to the Board.

Notes (continued)

5. Net interest income

	Group and Bank	
	2013	2012
	Shs million	Shs million
Interest income		
Available for sale securities	4,728	4,301
Loans and advances to banks	273	220
Loans and advances to customers	16,296	16,520
	21,297	21,041
Interest expense		
Deposits from banks	97	178
Deposits from customers	2,020	2,261
Medium term note	310	423
Subordinated debt	10	34
	2,437	2,896
Net interest income	18,860	18,145

There is no interest accrued on impaired financial assets.

6. Net fees and commissions income

	Group and Bank	
	2013	2012
	Shs million	Shs million
Credit related fees and commissions	1,682	1,596
Service related fees and commissions	5,555	5,630
	7,237	7,226
Fees and commissions income	7,237	7,226
Fees and commissions expense	(717)	(650)
Net fees and commissions income	6,520	6,576

7. Net income from financial instruments carried at fair value through profit or loss

	Group and Bank	
	2013	2012
	Shs million	Shs million
Equity investment securities at fair value through profit or loss	384	236
Treasury bonds at fair value through profit or loss	65	-
	449	236

8. (a) Employee benefits

	Group and Bank	
	2013	2012
	Shs million	Shs million
Salaries, allowances and accrued incentive payments	6,450	6,295
Social security cost	9	8
Defined contribution scheme	479	470
Defined benefit plan (Note 29)	85	175
Staff training	122	99
Staff medical costs	369	422
Other staff costs	600	345
	8,114	7,814
The number of employees at year end was:		
Management	1,210	1,237
Unionisable	1,605	1,851
LGs and agency	1,014	1,013
	3,829	4,101

(b) Restructuring expenses

Restructuring expenses	788	-
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The restructuring expenses relates to transformation cost incurred by the bank as it continues to invest in more efficient systems and processes.

Notes (continued)

9. Other operating expenses

The following costs are included under this category:

	Group and Bank	
	2013	2012
	Shs million	Shs million
Property and occupation expenses	668	731
Operating lease rentals	741	687
Communication, subscription, publication and stationery	1,138	1,050
Auditors fee	19	19
Travel and accommodation	241	218

10. Depreciation and amortisation expense

	2013	2012
	Shs million	Shs million
Depreciation of property and equipment (Note 20)	537	626
Amortisation of intangible assets (Note 21)	611	565
	1,148	1,191

11. Income tax expense

	2013	2012
	Shs million	Shs million
Current income tax	3,496	4,098
Deferred income tax (Note 28)	15	181
	3,511	4,279

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory rate as follows:

	2013	2012
	Shs million	Shs million
Profit before income tax	11,134	13,020
Tax calculated at the statutory tax rate of 30% (2012: 30%)	3,340	3,906
Tax effect of:		
income not subject to tax	(6)	(6)
Expenses not deductible for tax purposes	241	279
Overprovision of deferred tax in prior years	(89)	-
Under provision of current tax in prior years	25	100
	3,511	4,279

11. Income tax expense (continued)

There is a deferred tax charge of Shs 84 million (2012: credit of Shs 910 million) that has been dealt with in the statement of other comprehensive income relating to available-for-sale assets (Note 16).

12. Earnings per share

The basic earnings per share is calculated by dividing the profit attributable to shareholders by the number of ordinary shares outstanding at the end of the year.

	Group and Bank	
	2013	2012
Net profit attributable to shareholders (Shs million)	7,623	8,741
Number of ordinary shares in issue (millions)	5,432	5,432
Basic earnings per share (Shs)	1.40	1.61

There were no potentially dilutive shares outstanding at 31 December 2013 or 2012. Diluted earnings per share are therefore the same as basic earnings per share.

13. Dividends per share

At the Annual General Meeting to be held on 23 May 2014, a final dividend in respect of the year ended 31 December 2013 of Shs 0.5 (2012 – Shs 0.7) per share amounting to Shs 2,716 million (2012: Shs 3,802 million) will be proposed.

An interim dividend of Shs 0.2 (2012: Shs 0.3) per share amounting to Shs 1,086 million was paid (2012: Shs 1,629 million). This will bring the total dividend for the year to Shs 0.7 (2012: Shs 1.0) per share amounting to Shs 3,802 million (2012: Shs 5,431 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10%, for non-resident shareholders.

Notes (continued)

14. Cash and balances with Central Bank of Kenya

	Group and Bank	
	2013	2012
	Shs million	Shs million
Cash in hand	6,295	6,733
Balances with Central Bank of Kenya	10,613	9,753
	16,908	16,486

15. Financial assets at fair value through profit or loss

	2013	2012
	Shs million	Shs million
Equity investments at fair value through profit or loss	1,173	789
Treasury bonds at fair value through profit or loss	814	-
	1,987	789

16. Financial assets available-for-sale

	2013	2012
	Shs million	Shs million
Maturing within 90 days	5	25
Maturing after 90 days	47,554	47,511
	47,559	47,536

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as available-for-sale. The weighted average effective interest rate on the Government securities at 31 December 2013 was 10.6% (2012: 11%).

A fair value loss of Shs 195 million (Gross, Shs 279 million less deferred tax of Shs 84 million) has been recognised within the Statement of Other Comprehensive Income.

In 2012, a fair value gain of Shs 2,126 million (Gross, Shs 3,036 million less deferred tax of Shs 910 million) was recognised in the Statement of Other Comprehensive Income.

17. Deposits and balances due from banking institutions

	Group and Bank	
	2013	2012
	Shs million	Shs million
Placements with other banks	1,386	167

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2013 was 3.8% (2012: 9.6%).

18. Loans and advances to customers

	2013	2012
	Shs million	Shs million
Overdrafts	6,894	6,920
Commercial loans	84,092	76,170
Advances under finance lease agreements	5,400	4,182
Bills discounted	25,118	19,701
Gross loans and advances to customers	121,504	106,973
Less:		
Allowances for impairment of loans and advances		
- Individually assessed	(2,729)	(2,454)
- Collectively assessed	(413)	(315)
Loans and advances to customers net of provisions	118,362	104,204

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 678 million (2012: Shs 1,119 million).

All such loans have been written down to the present value of their recoverable amount.

Notes (continued)

18. Loans and advances to customers (continued)

Movements in provisions for impairment of loans and advances are as follows:

Year ended 31 December 2013			
	Identified provision Shs million	Group and Bank Unidentified provision Shs million	Total Shs million
At 1 January 2013	2,454	315	2,769
New impairment provisions	1,584	-	1,584
Increase in impairment provisions	113	98	211
Recoveries and impairment provisions no longer required	(317)	-	(317)
Net increase in impairment provisions	1,380	98	1,478
Amounts written off during the current year	(1,105)	-	(1,105)
At 31 December 2013	2,729	413	3,142
Net increase in impairment provisions above Amounts recovered previously written off	1,380 (255)	98 -	1,478 (255)
Net impairment charge to the profit or loss	1,125	98	1,223
Year ended 31 December 2012			
	Identified provision Shs million	Group and Bank Unidentified provision Shs million	Total Shs million
At 1 January 2012	2,995	381	3,376
New impairment provisions	1,177	-	1,177
Increase in impairment provisions	121	(66)	55
Recoveries and impairment provisions no longer required	(314)	-	(314)
Net increase in impairment provisions	984	(66)	918
Amounts written off during the current year	(1,525)	-	(1,525)
At 31 December 2012	2,454	315	2,769
Net increase in impairment provisions above Amounts recovered previously written off	984 (774)	(66) -	918 (774)
Net impairment charge to the profit or loss	210	(66)	144

18. Loans and advances to customers (continued)

The weighted average effective interest rate on loans and advances at 31 December 2013 was 14.3% (2012: 15.3%).

Impaired Loans and advances to customers		Group and Bank 2013 Shs million	2012 Shs million
Loans and advances individually and collectively assessed as impaired		3,407	3,573
Impairment allowance		(2,729)	(2,454)
Net loans and advances to customers individually impaired		678	1,119
Collectively assessed impairment allowance		413	315

Economic sector risk concentrations within the customer loan portfolio were as follows:

	Group and Bank 2013 %	2012 %
Manufacturing	9	16
Wholesale and retail trade	1	4
Transport and communications	-	-
Business services	-	-
Agricultural	1	5
Private individuals	83	61
Other	6	14
	100	100

19. Other assets and prepaid expenses

	Group and Bank 2013 Shs million	2012 Shs million
Prepaid expenses	1,833	2,562
Other assets	1,975	1,722
	3,808	4,284

Notes (continued)

20. Property and equipment (Group and Bank)

Year ended 31 December 2013	Freehold buildings	Leasehold land and buildings	Fixtures fittings & equipment	Motor vehicles	WIP	Total
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Cost						
At 1 January 2013	127	3,572	5,777	49	328	9,853
Additions	2	102	387	-	165	656
Disposals	-	-	-	-	-	-
At 31 December 2013	129	3,674	6,164	49	493	10,509
Accumulated depreciation						
At 1 January 2013	38	2,060	5,053	35	-	7,186
Charge for the period	1	230	303	3	-	537
Disposals	-	-	-	-	-	-
At 31 December 2013	39	2,290	5,356	38	-	7,723
Net book value	90	1,384	808	11	493	2,786
Year ended 31 December 2012						
Cost						
At 1 January 2012	127	3,212	5,632	40	801	9,812
Additions	-	66	239	13	549	867
Disposals	-	-	(192)	(4)	-	(196)
Transfers	-	294	98	-	(1,022)	(630)
At 31 December 2012	127	3,572	5,777	49	328	9,853
Accumulated Depreciation						
At 1 January 2012	37	1,809	4,875	35	-	6,756
Charge for the period	1	251	370	4	-	626
Disposal	-	-	(192)	(4)	-	(196)
At 31 December 2012	38	2,060	5,053	35	-	7,186
Net book Value	89	1,512	724	14	328	2,667

Notes (continued)

21. Intangible assets

	Group and Bank Computer software 2013 Shs million	Computer software 2012 Shs million
Cost		
At 1 January	5,160	4,507
Transfer from property and equipment	-	630
Additions	17	23
At 31 December	5,177	5,160
Accumulated amortisation		
At 1 January	1,708	1,143
Charge for the period	611	565
At 31 December	2,319	1,708
Net book value	2,858	3,452

22. Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	Group and Bank 2013 Shs million	2012 Shs million
At start of year	59	60
Amortisation charge for the year	(1)	(1)
At end of year	58	59

23. Investments in subsidiary companies

	Percentage Shareholding	Bank 2013 Shs million	2012 Shs million
Barclays Financial Services Limited	100%	275	275
Barclays (Kenya) Nominees Limited	100%	-	-
Barclays Bank Insurance Agency Limited	100%	-	-
		275	275

Barclays (Kenya) Nominees Limited, Barclays Financial Services Limited (formerly Barclays Mortgages Limited) and Barclays Bank Insurance Agency Limited (formerly Barclays Mercantile Limited) are dormant companies.

The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the company.

24. Deposits and balances due to banking institutions

	Group and Bank 2013 Shs million	2012 Shs million
Balances due to local banks	4,495	1,575
Balances due to foreign banks	243	149
At end of year	4,738	1,724

The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2013 was 8.2% (2012:20.5%).

Notes (continued)

25. Customer deposits

	Group and Bank 2013 Shs million	2012 Shs million
Current and demand deposits	98,048	88,531
Savings accounts	20,144	19,533
Fixed deposit accounts	32,933	29,851
At end of year	151,125	137,915

The weighted average effective interest rate on customer deposits at 31 December 2013 was 1.4% (2012: 1.8%).

Business sector risk concentrations within the customer deposit portfolio were as follows:

	Group and Bank 2013 %	2012 %
Non-financial public enterprises	1.1	1.7
Private enterprises	58.7	61.5
Non-profit enterprises & individuals	11.4	36.4
Foreign currency	0.6	0.2
Other	28.2	0.2
	100	100

26. Other liabilities and accrued expenses

	Group 2013 Shs million	2012 Shs million	Bank 2013 Shs million	2012 Shs million
Deferred income	690	823	690	823
Outstanding bankers cheques	777	785	777	785
Unclaimed dividends	852	761	852	761
Accrued expenses	774	684	774	684
Other payables	755	1,043	1,027	1,315
At end of year	3,848	4,096	4,120	4,368

27. Borrowings

	Group and Bank 2013 Shs million	2012 Shs million
Fixed rate medium term notes	1,330	1,330
Floating rate medium term notes	1,779	1,791
Subordinated debt	-	1,378
	3,109	4,499

The medium term notes are an unsecured seven year term note issued by the Bank for the development of its business and to strengthen its capital base. They are registered with the Capital Markets Authority.

The floating rate notes bear interest at rates referenced to the Government of Kenya Treasury bill rates while the fixed rate notes are priced at 11.5%. Effective interest rate on floating rate note at 31 December 2013 was 9.8% (December 2012: 14.2%).

Due to the remaining tenor of the instruments, the Directors believe that the carrying values of the above approximate their fair values.

28. Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using the enacted income tax rate of 30% (2012: 30%). The movement on the deferred tax account is as follows:

	Group and Bank 2013 Shs million	2012 Shs million
At start of year	(223)	868
Statement of other comprehensive income	84	(910)
Charge to profit or loss (Note 11)	(15)	(181)
At end of year	(154)	(223)

Notes (continued)

28. Deferred income tax (continued)

Consolidated deferred income tax assets and liabilities and deferred income tax credit in the statement of profit or loss and statement of other comprehensive income are attributable to the following items:

	1.1.2013	Cr/(Dr) to profit or loss	Cr/(Dr) to other comprehensive income	31.12.2013
	Shs million	Shs million	Shs million	Shs million
Deferred tax liabilities				
Credit impairment allowance	100	177	-	277
Fair value on available-for-sale assets	89	-	84	173
Deferred tax assets				
Unrealised gain on assets at FVTPL	(237)	(115)	-	(352)
Property and equipment at historical cost	(175)	(77)	-	(252)
Net deferred tax liability	(223)	(15)	84	(154)

	1.1.2012	Cr/(Dr) to profit or loss	Cr/(Dr) to other comprehensive income	31.12.2012
	Shs million	Shs million	Shs million	Shs million
Deferred tax liabilities				
Credit impairment allowance	120	(20)	-	100
Fair value on available-for-sale assets	999	-	(910)	89
Deferred tax assets				
Unrealised gain on assets at FVTPL	(163)	(74)	-	(237)
Property and equipment at historical cost	(88)	(87)	-	(175)
Net deferred tax liability	868	(181)	(910)	(223)

The (credit)/ charge to other comprehensive income relates to :

	Group and Bank 2013 Shs million	2012 Shs million
Items that will be reclassified subsequently to profit or loss when specific conditions are met		
Changes in fair value of available for sale financial assets	84	(910)

If all the retained earnings of the company at 31 December 2013 were to be distributed, there would be no additional compensating tax(2012: Nil).

Notes (continued)

29. Retirement benefit obligation

The amounts recognised in the statement of financial position are determined as follows:

	31 December 2013 Shs million	Group and Bank 31 December 2012 Shs million	As at 31 Dec 2011 Shs million
Present value of funded obligations	(5,046)	(4,948)	(10,076)
Fair value of scheme assets	4,921	4,284	8,881
Liability in the statement of financial position	(125)	(664)	(1,195)

Reconciliation of liability in the statement of financial position

	Group and Bank 2013 Shs million	2012 Shs million
At start of year	(664)	(1,195)
Current service cost	(17)	(16)
Net interest cost	(68)	(159)
Actuarial gains	247	416
Employer contribution	377	290
At end of year	(125)	(664)

The amounts recognised in profit or loss for the year are as follows:

Current service cost	17	16
Net interest cost	68	159
Net charge for the year included in employment benefits (Note 8)	85	175

The group intends to eliminate the pension plan deficit through enhanced contributions based on the advice of the actuaries and agreement with the Retirement Benefit Authority.

29. Retirement benefits obligation (continued)

Changes in the present value of the defined benefit obligation over the year:

	Group and Bank 2013 Shs million	2012 Shs million
At start of year	4,948	10,076
Current service cost	17	16
Settlement	(2)	(5,042)
Interest cost	563	631
Actuarial loss arising from experience adjustments	73	32
Benefits paid	(553)	(765)
At end of year	5,046	4,948

Changes in the fair value of plan assets over the year:

At start of year	4,284	8,881
Expected return on plan assets	493	472
Actuarial gains	319	448
Employer contributions	377	290
Curtailment	-	(5,042)
Benefits paid	(553)	(765)
At end of years	4,921	4,284

The curtailment in 2012 relates to the split of the scheme into a defined benefit plan and defined contribution Scheme. The two are now valued separately.

The plan assets comprise the following:

	2013 Shs million	%	2012 Shs million	%
Equity instruments	1,772	36%	1,285	30%
Debt instruments and fixed deposits	1,673	34%	1,628	38%
Investment property	1,426	30%	1,371	32%
	4,921	100%	4,284	100%

Notes (continued)

29. Retirement benefits obligation (continued)

The plan assets include buildings occupied by the bank with a fair value of Shs 882 million (2012: Shs 1,128 million). The actual return on the scheme assets was 17% (2012: 21%).

Five year summary

	2013 Shs million	2012 Shs million	2011 Shs million	2010 Shs million	2009 Shs million
Present value of funded obligation	(5,046)	(4,948)	(10,076)	(10,738)	(8,773)
Fair value of scheme assets	4,921	4,284	8,881	10,683	8,714
Deficit in the plan	(125)	(664)	(1,195)	(55)	(59)

The principal actuarial assumptions used were as follows:

	2013	2012
Discount rate	12.0%	12.0%
Expected rate of return on scheme assets	12.0%	12.0%
Inflation rate	7.5%	7.5%
Future salary increases	9.5%	9.5%
Future pension increases	4.5%	4.5%

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

	2013 Basis Shs million	Discount rate -1.00% Shs million	Discount rate +0.5% Shs million	Inflation 0.50% Shs million	PA(90) -1 year Shs million
DBO-DB active members	94	107	87	100	96
DBO-DB deferred pensioners	564	635	533	602	575
DBO-Pensions in payment	4,388	4,699	4,247	4,560	4,491
DBO-total	5,046	5,441	4,867	5,262	5,162

2014 estimates

Gross service cost (excluding interest)	22,293	22,732	22,107	22,691	22,298
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The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated.

When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

Notes (continued)

30 Share capital

Issued and fully paid	Number of shares Shs million	Ordinary shares Shs million
At 1 January 2012	5,432	2,716
At 1 January 2013	5,432	2,716
At 31 December 2013	5,432	2,716

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.5 each.

31. Regulatory reserve

The regulatory reserve represents an appropriation from retained earnings to comply with the prudential guidelines of the Central Bank of Kenya on loan loss provisions. The balance represents the excess of impairment provisions determined in accordance with the Prudential guidelines over the impairment provisions recognised in accordance with the International Financial Reporting Standards. The reserve is non-distributable

32. Other reserves

Other reserves comprise the cumulative net change in the fair value of available-for-sale investments until the investment is derecognised or impaired.

33. Off balance sheet financial instruments, contingent liabilities and commitments

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

Contingent liabilities

	Group and Bank 2013 Shs million	2012 Shs million
Acceptances and letters of credit	7,650	7,289
Guarantee and performance bonds	16,431	14,304
Balance at 31 December 2013	24,081	21,593

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default.

At year end, the bank has obtained undertakings from Barclays Plc in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 2,365 million (2012:shs 3,796 million).

Nature of the contingent liabilities

Commitments

	Group and Bank 2013 Shs million	2012 Shs million
Undrawn formal stand-by facilities, credit lines and other commitments to lend	11,718	9,946
Currency forwards	6,924	3,469
Foreign exchange spot settlement agreements	1,952	1,627
	20,594	15,042

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

Notes (continued)

33. Off balance sheet financial instruments, contingent liabilities and commitments (continued)

Contingent tax liabilities

The Bank has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Court of Appeal. Based on professional advice and the previous High Court rulings, the Directors are of the opinion that no significant loss will arise from these matters.

34. Segment analysis

The Group has two main business segments:

- Consumer banking – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- Corporate banking – incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis.

There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated statement of profit or loss.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

The business segment information for the year ended 31 December 2013 is as follows:

	Total Segment	Corporate Banking	Consumer Banking	Treasury	Unallocated
	Shs million	Shs million	Shs million	Shs million	Shs million
Net interest income	18,860	3,871	10,372	4,617	-
Non interest income	9,062	3,514	5,548	1,715	-
Inter segment interest	-	(913)	913	-	-
Operating income	27,922	4,757	16,833	6,332	-
Impairment losses on loans and advances	(1,223)	(113)	(1,110)	-	-
Depreciation and amortisation	(1,148)	-	-	-	(1,148)
Other operating expenses	(14,417)	(774)	(7,412)	(210)	(6,021)
Operating profit	11,134	3,870	8,311	6,122	(7,169)
Profit before income tax	11,134	-	-	-	-
Income tax expense	(3,511)	-	-	-	(3,511)
Profit for the year	7,623	3,870	8,311	6,122	(10,680)
Total assets	206,739	52,182	69,095	85,462	-
Total liabilities	174,367	48,011	103,111	23,245	-
Additions of non-current assets	673	-	-	-	673

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Notes (continued)

34. Segment analysis (continued)

The business segment information for the year ended 31 December 2012 is as follows:

	Total Segment	Corporate Banking	Consumer Banking	Treasury	Unallocated
	Shs million	Shs million	Shs million	Shs million	Shs million
Net interest income	18,145	4,703	9,465	3,977	-
Non interest income	9,279	2,843	5,315	1,121	-
Inter segment interest	-	(1,378)	1,378	-	-
Operating income	27,424	6,168	16,158	5,098	-
Impairment losses on loans and advances	(144)	716	(860)	-	-
Depreciation and amortisation	(1,192)	-	-	-	(1,192)
Other operating expenses	(13,068)	(802)	(6,793)	(156)	(5,317)
Operating profit	13,020	6,082	8,505	4,942	(6,509)
Profit before income tax					
Income tax expense	(4,279)	-	-	-	(4,279)
Profit for the year	8,741	6,082	8,505	4,942	(10,788)
Total assets	184,825	27,402	59,451	82,630	15,342
Total liabilities	155,239	24,057	93,441	27,279	10,462
Additions of non-current assets	890	-	-	-	890

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Notes (continued)

35. Notes to the Statement of cash flows

Group

(a). Reconciliation of profit before taxation to net cash flows from operating activities

	2013 Shs million	2012 Shs million
Profit before taxation	11,134	13,020
Adjustment for non cash items:		
Depreciation (Note 10)	537	626
Amortization of intangibles assets (Note 10)	611	565
Credit impairment charge (Note 18)	1,223	144
Fair value gain on financial assets designated at FVTP&L (Note 7)	(384)	(236)
Other non cash items	(658)	2
Changes in operating assets and liabilities		
Loans and advances to customers	(15,381)	(5,275)
Available-for-sale securities maturing after 90 days	(319)	(6,938)
CBK cash reserve requirement	(860)	(2,573)
Financial assets at FVTPL	(814)	-
Other assets and prepaid expenses	476	(505)
Customer deposits	13,210	13,708
Due to related parties	6,775	368
Items in the course of collection from banks	(500)	-
Other liabilities and accrued expenses	(248)	(72)
Income tax paid	(4,713)	(3,865)
Net cash from operating activities	10,089	8,969

(b). Cash and cash equivalents

	2013 Shs million	2012 Shs million
Cash and balances with Central Bank of Kenya	16,908	16,486
Treasury bills maturing within ninety days (Note 16)	5	25
Items in the course of collection from banks	870	1,115
Balances due from group companies	9,129	3,493
Deposit and balances due from banking institutions (Note 17)	1,386	167
Deposits and balances due to banking institutions (Note 24)	(4,738)	(1,724)
Less: Central Bank of Kenya cash reserve requirement	(10,613)	(9,753)
	12,947	9,809

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the bank's day-to-day activities.

The amount is determined as percentage of the average outstanding customer deposits over a cash reserve cycle period of one month.

At the end of year, the cash ratio was 5.45% (2012: 5.35%).

Notes (continued)

36 Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

During the year Barclays Plc acquired Barclays Africa Group Limited (previously ABSA Group Limited) who in turn acquired Barclays Africa entities through Barclays Africa Limited. Following the integration, Barclays Bank Kenya is now a subsidiary of Barclays Africa Group Limited (previously ABSA Group Limited), which is listed on the Johannesburg Stock Exchange.

The ultimate parent of the Group is Barclays Plc incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The relevant balances are as shown below:-

Balances with group companies

	2013 Shs million	2012 Shs million
Due from:		
Barclays Bank Plc	6,443	3,547
Barclays Africa Group Limited	2,645	-
Other group companies	41	519
	<u>9,129</u>	<u>4,066</u>
Interest income earned on the above	35	37
Due to:		
Barclays Bank Plc	5,511	1,985
Barclays Africa Group Limited	3,026	-
Other group companies	223	-
	<u>8,760</u>	<u>1,985</u>
Interest income earned on the above	30	104

The weighted average effective interest rate at 31 December 2013 on amounts due from group companies was 0.6% (2012: 0.6%) and on amounts due to group companies was 0.6% (2012: 2.3%).

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

Value of services provided

	Group and Bank 2013 Shs million	2012 Shs million
Barclays Bank Plc	335	683
Barclays Africa Group Limited	341	-

The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

Subordinated debt

The disclosures on the subordinated debt from Barclays plc are included in Note 26.

Amounts due from Directors

Advances to customers as at 31 December 2013, include loans to Directors, loans to companies controlled by Directors or their families, and loans to employees as follows:-

	2013 Shs million	2012 Shs million
At the start of the year	113	90
Amounts advanced during the year	-	28
Repayments received	(71)	(5)
At the end of year	<u>42</u>	<u>113</u>

At 31 December 2013 advances to Directors or companies controlled by Directors or their families amounted to Shs 42 million (2012: Shs 113 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features.

No allowances for impairment were recognised in respect of loans to Directors. (2012: Nil).

Notes (continued)

36 Related party transactions (continued)

Deposits by Directors

During the year the Directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2013 balances relating to Directors deposits amounted to Shs 36.7 million (2012: Shs 44.9 million).

	Group and Bank 2013 Shs million	2012 Shs million
Key management compensation		
Salaries and other short-term employment benefits	387	328

Directors emoluments

	2013 Shs million	2012 Shs million
Fees for services as Directors	15	16
other emoluments	120	104
(included in key management compensation above)		
Barclays Plc share options scheme	13	18
(amount recharged to Barclays Bank of Kenya)		

There were no pension contributions paid to defined contribution schemes on behalf of Directors (2012: Nil). As at 31 December 2013, there were no Directors accruing benefits under a defined benefit scheme (2012: Nil).

Staff pension scheme

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

The Bank provides normal banking services to the Funds in order to facilitate the day to day financial administration of the Funds.

Transactions during the year	2013 Shs million	2012 Shs million
Rent expense	66	78
Interest on fixed and time deposits	21	71
Dividends on Barclays Bank of Kenya shares	14	26

The transactions were at similar terms and conditions to those offered to other customers.

Outstanding balances:	2013 Shs million	2012 Shs million
Investment balances	911	363

Notice of the Annual General Meeting

Notice is hereby given that the Thirty-fifth Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held in the Tsavo Ballroom, Kenyatta International Conference Centre, Harambee Avenue, Nairobi on Friday, 23 May 2014 at 11:00 a.m. to transact the following business:-

1. To confirm the Minutes of the Thirty-fourth Annual General Meeting held on 30 May 2013.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31 December 2013 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:

In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, individually offer themselves for re-election:-

Francis Okomo-Okello

Rose Ogega

5. To authorise the Board to fix the remuneration of the Directors.
6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.
7. To transact any other business of the Company of which due notice has been received.

By order of the Board



Judy Nyaga
Company Secretary

29 April 2014

- Note 1:** A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday 21 May 2014.
- Note 2:** Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on 23 May 2014. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.
- Note 3:** In accordance with Article 133 of the Company's Articles of Association a full copy of the Annual Report and Financial Statements may be viewed on the Company's website www.barclays.co.ke. A printed copy may be requested from the Company's Share Registrar, Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi.

Tangazo la Mkutano Mkuu wa Mwaka

Tangazo linatolewa hapa kuwa Mkutano Mkuu wa Mwaka wa thelathini na tano wa wenye hisa wa benki ya Barclays Bank of Kenya Limited utafanyika katika ukumbi wa Tsavo katika Jumba La Mikutano La Kimataifa, KICC, lililoko katika barabara ya Harambee Avenue, Nairobi siku ya Ijumaa tarehe 23 Mei, 2014 saa tano asubuhi ili kutekeleza shughuli zifuatazo:

1. Kuidhinisha kumbukumbu za mkutano mkuu wa mwaka wa thelathini na nne uliofanyika tarehe 30 Mei, 2013.
2. Kupokea, kuthibitisha na ikikubaliwa, kuidhinisha Ripoti ya Mwaka na taarifa za fedha za mwaka uliomalizika tarehe 31 Disemba, 2013 pamoja na taarifa za wakurugenzi na za wakaguzi wa mahesabu.
3. Kutangaza mgawo.
4. Kuchagua wakurugenzi:-

Kulingana na vifungu 94,95 na 96 vya sheria za kampuni, wakurugenzi wafuatao ambao wanastaafu kwa zamu na kwa vile wanastahili, wanajitolea kuchaguliwa tena

Francis Okomo-Okello

Rose Ogega

5. Kuipa idhini halmashauri kuamua malipo ya wakurugenzi.
6. Kuteua wakaguzi wa mahesabu na kuiruhusu halmashauri kuamua malipo ya wakaguzi hao.
7. Kufanya shughuli nyengine yoyote ya kampuni ambayo ilani yake imepokewa.

Kwa amri ya Halmashauri



Judy Nyaga
Katibu wa Kampuni

Aprili 29, 2014

Fahamu 1: Mwenyehisa anayeruhusiwa kisheria kuhudhuria mkutano mkuu na kupiga kura ana haki ya kumchagua mwakilishi atakayehudhuria kwa niaba yake. Mwakilishi huyo si lazima awe ni mwenyehisa wa kampuni. Ili ikubalike, fomu ya mwakilishi ambayo imeambatanishwa na ripoti hii ni lazima ikamilishwe kujazwa na mwenyehisa na lazima iwasilishwe kwa msajili wa hisa za kampuni, Custody and Registrars Services, ghorofa ya sita Jumba la Bruce, Barabara ya Standard, Nairobi au itumwe kwa Custody and Registrars Services kupitia posta, S.L.P. 8484-00100 Nairobi ili imfikie msajili kabla ya saa tano asubuhi, siku ya Jumatano tarehe 21 Mei, 2014.

Fahamu 2: Uandikishaji wa wenye hisa na waakilishi wa wenye hisa katika Mkutano Mkuu wa Mwaka utanza saa mbili asubuhi tarehe 23 Mei, 2014. Wenye hisa na waakilishi watahitajika kubeba vitambulisho vyao pamoja na nakala husika ya taarifa ya akaunti ya shirika kuu la amana na mapatano (CDSC) ili kurahisisha utaratibu wa uandikishaji.

Fahamu 3: Kulingana na kifungu 133 cha kanuni za kampuni ripoti ya kila mwaka na taarifa kamili za kifedha inaweza kusomwa katika tovuti ya kampuni www.barclays.co.ke. Nakala iliyochapishwa ya ripoti ya kila mwaka na taarifa za kifedha unaweza kuiomba kutoka kwa msajili wa hisa Custody and Registrars Services kupitia posta, S.L.P. 8484-00100 Nairobi.

Proxy Form

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We

of

being *a member/members of Barclays Bank of Kenya Limited, hereby appoint:-

.....

of (address).....

.....

or failing *him/her

of (address)

.....

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-fifth Annual General Meeting of the Company to be held on Friday, 23 May 2014 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this.....

day of2014.

Signature(s)

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

**Delete whichever is not applicable.*

NOTE 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

NOTE 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday 21 May, 2014.

Fomu ya Uwakilishi

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*Mimi/Sisi.....

wa.....

kama *mwanachama/wanachama wa Benki ya Barclays Bank of Kenya Limited, namteua/tunamteua:-

.....

wa (anwani).....

.....

au akikosa yeye.....

wa (anwani).....

.....

na akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu * anipigie/atupigie kura kwa niaba *yangu/ yetu katika mkutano mkuu wa thelathini na tano wa kampuni hii ambao utafanyika Ijumaa tarehe 23 Mei, 2014 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saina *yangu/yetu

siku hii ya ya mwezi wa 2014.

Sahihi.....

Labda kuwe na maagizo, mwakilishi atakuwa huru kupiga kura apendavyo

***Futa yasiyofaa**

MAELEZO YA 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

MAELEZO YA 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saina ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

MAELEZO YA 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P.8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi, siku ya Jumatano tarehe 21 Mei, 2014.

Corporate Information

Registered/Head Office

The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi

Company Secretary

Judy Nyaga
The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi

Tel: +254 20 4254000

Share Registrar

Custody & Registrars Services Limited
Bruce House, 6th Floor
Standard Street
P. O Box 8484-00100
Nairobi

Tel: +254 20 2230518

Auditor

PricewaterhouseCoopers
Certified Public Accountants
PwC Tower
Waiyaki way/Chiromo road
Westlands
P. O Box 43963-00100
Nairobi

Tel: +254 20 2855000

Advocates

Iseme Kamau & Maema Advocates
IKM Place, Tower A, 5th Floor
5th Ngong Avenue
Off Bishops Road
P.O. Box 11866-00400
Nairobi

Tel: +254-20- 2711021

Kaplan & Stratton
Advocates
Williamson House, 9th Floor
4th Ngong Avenue
P.O. Box 40111-00100
Nairobi

Tel: +254 20 2841000

Mohammed Muigai Advocates
MM Chambers
K-Rep Centre, 4th Floor
Wood Avenue
Off Lenana Road
P.O. Box 61323-00200
Nairobi

Tel: +254 20 2397401

Miller & Company Advocates
Bruce House, 13th Floor
Standard Street
P.O. Box 45707-00100
Nairobi

Tel: +254 20 2248461

List of branches in Kenya

ABC Prestige Branch

Code: 073
Address: 14403
00800 Nairobi
Tel: (020) 4446641/ 2
Type: Prestige

Avon Centre Branch

Code: 079
Address: 18799 00500
Nairobi
Tel: (020) 551051-6
Type: Standard

Bamburi Branch

Code: 016
Address: 90182
80100 Mombasa
Tel: (041)
5485434/5487168/
5487547
Type: Standard

Bomet Branch

Code: 029
Address: 440
Bomet
Tel: (020) 2363501
Type: Standard

Bungoma Branch

Code: 003
Address: 91 50200
Bungoma
Tel: (055) 30904/
30912/ 20/ 08
Type: Standard

Bunyala Road Branch

Code: 084
Address: 72058 00200
Nairobi
Tel: (020) 2714200
Type: Standard

Buru Buru Branch

Code: 028
Address: 775 00515
Nairobi
Tel: (020) 3592955/6
Type: Standard

Busia Branch

Code: 088
Tel: 020-3564205/ 6,
(055) 22299/ 22301
Type: Standard

Changamwe Branch

Code: 016
Address: 93603 80102
Mombasa
Tel: (041) 3432094/
2/ 3434753
Type: Standard

Chuka Branch

Code: 060
Address: 27 Chuka
Tel: (064) 630455/6
Type: Standard

Development House Branch

Code: 047
Address: 44285 00100
Nairobi
Tel: (020)
2211930/310629
Type: Standard

Diani Branch

Code: 016
Address: 685 80400
Ukunda
Tel: (040) 3202448/
9/ 3202375/ 3202491
Type: Standard

Digo Branch

Code: 016
Address: 90184
80100 Mombasa
Tel: (041) 2223667/
2224570/ 2315911/
2316045
Type: Standard

Digo Prestige Branch

Code: 081
Address: 90184 80100
Mombasa
Tel: (041) 2224570
Type: Prestige

Eastleigh Branch

Code: 014
Address: 1371 00610
Nairobi
Tel: (020)
6766544/6766546/
6766547/6766552
Type: Standard

Eastleigh 6th Street Branch

Address: 6821-00610
Nairobi
Tel: (020) 6765272/
6768297
Type: Standard

Eldoret Branch

Code: 003
Address: 22 30100
Eldoret
Tel: (053) 2032881/ 9,
2031248
Type: Standard

Eldoret Prestige Branch

Code: 003
Address: 22 30100
Eldoret
Tel: (053) 2032881/ 9
Type: Prestige

Embu Branch

Code: 004
Address: 88 60100
Embu
Tel: (068) 31066/ 7/ 8
Type: Standard

Embu Prestige Branch

Code: 004
Address: 88 60100
Embu
Tel: (068) 31066/ 7/ 8
Type: Prestige

Enterprise Road Branch

Code: 070
Address: 18060 00500
Nairobi
Tel: (020) 4990000,
6530700/1
Type: Standard

Enterprise Prestige Branch

Code: 070
Address: 18060 00500
Nairobi
Tel: (020) 530700/901
Type: Prestige

Garissa Branch

Code: 017
Address: 30120-00100
Nairobi
Tel: (046) 2103477/
0721-135157
Type: Standard

Gikomba Branch

Code: 033
Address: 8175 00300
Nairobi
Tel: (020)
6765978/81, 6765631
Type: Standard

Gilgil (Express) Branch

Code: 023
Address: 496 20116
Gilgil
Tel: (050) 4002165/
4002155
Type: Standard

Githunguri Branch

Code: 057
Address: 260
Githunguri
Tel: (020) 2359356
Type: Standard

Haile Selassie Branch

Code: 082
Address: 20415 00200
Nairobi
Tel: (020) 2221806/
2215895
Type: Standard

Harambee Prestige Branch

Code: 094
Address: 72700 00200
Nairobi
Tel: (020) 316162,
311426
Type: Prestige

Homabay Branch

Code: 051
Address: 500 40300
Homabay
Tel: (059) 22283,
22286, 22240, 22254,
22266, 22269
Type: Standard

Hurlingham Branch

Code: 045
Address: 34974 00100
Nairobi
Tel: (020) 2710114/
2722148/ 2710167
Type: Standard

Hurlingham Prestige Branch

Code: 045
Address: 34974 00100
Nairobi
Tel: (020) 2710114/
2710167
Type: Prestige

Isiolo Branch

Code: 042
Address: 55 60300
Isiolo
Tel: (064) 52391
Type: Standard

JKIA Branch

Code: 070
Address: 19011 00501
Nairobi
Tel: (020) 822395
Type: Standard

Juja Branch

Code: 072
Address: 580 01001
Kalimoni
Tel:
(20)3556239/3556242
Type: Standard

Kabarnet Branch

Code: 062
Tel: 020-3592963/ 4,
(053) 21114/ 5
Type: Standard

Kakamega Branch

Code: 009
Address: 1815 50100
Kakamega
Tel: (056) 31081, 31317
Type: Standard

Kapenguria Branch

Code: 006
Address: 252
Kapenguria
Tel: 020-3544331/ 2,
(054) 62051/ 46
Type: Standard

Kapsabet Branch

Code: 002
Address: 30120-00100
Tel: (053) 52130
Type: Standard

Karatina Branch

Code: 206
Address: 320 Karatina
Tel: (061) 4572010/
4572011/ 4572528,
0710 684839
Type: Standard

Karen Branch

Code: 065
Address: 24180 00502
Nairobi
Tel: (020) 3882932,
3882162
Type: Standard

Karen Prestige Branch
Code: 065
Address: 24180 00502
Nairobi
Tel: (020) 3882932,
3882162
Type: Prestige

Kariobangi, Branch
Code: 093
Address: 310 00618
Nairobi
Tel: (020) 3592953/4
Type: Standard

Kawangware Branch
Code: 034
Address: 21524-00505
Nairobi
Tel: 0710 189992/
0774 135880
Type: Standard

Kericho Branch
Code: 063
Address: 79 20200
Kericho
Tel: (052)20274/5,
30607/8
Type: Standard

Kerugoya Branch
Code:063
Address: 181 Kerugoya
Tel: 0714-522468
Type: Standard

Kikuyu Branch
Code: 074
Address: 188 Kikuyu
Tel: (020) 2124928/
0722 745745
Type: Standard

Kilifi Branch
Code: 19
Address: 423 80108
Kilifi
Tel: (041) 041-
7522024/ 0774135814,
0770885049,
0774899424
Type: Standard

Kiria-ini Branch
Code: 078
Address: 83 10204
Kiriaini
Tel: (060) 51235
Type: Standard

Kisii Branch
Code: 008
Address: 99 40200 Kisii
Tel: (058) 30021/ 3/ 7
Type: Standard

Kisii Prestige/ Local Business Branch
Code: 008
Address: 99 40200 Kisii
Tel: (058) 31587/8/9
Type: Standard

Kisumu Branch
Code: 009
Address: 831 40100
Kisumu
Tel: (057 2023919,
2023919
Type: Standard

Kisumu Prestige Branch
Code: 009
Address: 831 40100
Kisumu
Tel: (057) 2020512-4,
2020529/45
Type: Prestige

Kitale Branch
Code: 003
Address: 62 30200
Kitale
Tel: (054) 30842/ 3,
30410/ 8/ 9
Type: Standard

Kitale Prestige Branch
Code: 132
Address: 62 30200
Kitale
Tel: (054) 30841/ 2,
30418/ 9
Type: Prestige

Kitui Branch
Code: 015
Address: 1206 90200
Kitui
Tel: (044) 4422143-5
Type: Standard

Lavington Branch
Code: 049
Address: 25081 00603
Nairobi
Tel: (020) 4348873/6/5
Type: Standard

Limuru Branch
Code: 011
Address: 252 00217
Limuru
Tel: (020) 2127361
Type: Standard

Machakos Branch
Code: 040
Address: 652 90100
Machakos
Tel: (044) 20720/
20333
Type: Standard

Makupa Branch
Code: 046
Address: 90182 – 80100
Mombasa
Tel: (041) 2492865/
0774 135816
Type: Standard

Malindi Branch
Code: 012
Address: 100 80200
Malindi
Tel: (042) 30002 /
30870/ 1/ 2
Type: Standard

Malindi Prestige Branch
Code: 012
Address: 100 80200
Malindi
Tel: (042) 31530
Type: Prestige

Market Branch
Code: 094
Address: 30018 00100
Nairobi
Tel: (020)
2768000/2857000
Type: Standard

Maua Branch
Code: 044
Tel: (020) 2124931/2 /
(064) 21227
Type: Standard

Mbale Branch
Code: 035
Address: 285-50300
Maragoli
Tel: 0774 135910

Meru Branch
Code: 013
Address: 92 60200
Meru
Tel: (064) 30187 /
32785/ 6
Type: Standard

Migori Branch
Code: 080
Tel: 0774 135912
Address: 326 40400
Migori
Type: Standard

Moi Avenue Nairobi Branch
Code: 075
Address: 30116 00100
Nairobi
Tel: (020) 2252244/
2210557
Type: Standard

Moi Avenue Mombasa Prestige Branch
Code: 016
Address: 90182 80100
Mombasa
Tel: (041) 2226794 /
222029
Type: Prestige

Moi Avenue Nairobi Prestige Branch
Code: 075
Address: 30116 00100
Nairobi
Tel: (020) 2252244/
2210577
Type: Prestige

Mombasa Corporate Branch
Code: 016
Tel: (041) 2311661/4
Address: 90182 80100
Mombasa
Type: Corporate Business Centre

Mumias Branch
Code: 039
Address: 1070 50102
Mumias
Tel: (056)
641014/7/9/641036
641056/641039
Type: Standard

Muranga Branch
Code:05
Tel: (060)
2031442/2031417/80
Address: 159 Muranga
Type: Prestige

Muthaiga Branch
Code: 055
Address: 39990 00623
Nairobi
Tel: (020) 4041501/02,
4040624
Type: Standard

Muthaiga Premier Branch
Code: 055
Address: 39990 00623
Nairobi
Tel: (020) 4041501/02,
4040624
Type: Premier

Nairobi West Branch
Code: 086
Address: 27518 00506
Nairobi
Tel: (020)3556233/
3556238
Type: Standard

Naivasha Branch
Code: 027
Address: 654 20117
Naivasha
Tel: (050)
2020202/203/ 399
Type: Standard

Nakumatt Embakasi Branch
Code: 095
Address: 30120 00100
Tel: 0772 565605
Type: Standard

Nakumatt Meru Branch
Code: 071
Address: 3016 60200
Meru
Tel: (064) 3180314
Type: Standard

Nakuru East Branch
Code: 027
Address: 66 20100
Nakuru
Tel: (051) 2211825/ 9,
42438/ 40
Type: Standard

Nakuru West Prestige Branch
Code: 027
Address: 66 20100
Nakuru
Tel: (051) 2213620
Type: Prestige

Nakuru West Branch
Code: 027
Address: 111 20100
Nakuru
Tel: (051 2211825/6
Type: Standard

Nanyuki Branch
Code: 030
Address: 214 10400
Nanyuki
Tel: (062)
2030051/31880
Type: Standard

Narok (Express) Branch

Code: 041
Address: 1073 20500
Narok
Tel: (050)23306-10
Type: Standard

Nkrumah Road Mombasa Branch

Code: 016
Address: 90182 80100
Mombasa
Tel: (041) 2311661/4
Type: Standard

Nkrumah Road Mombasa Prestige Branch

Code: 016
Address: 90182 80100
Mombasa
Tel: (041) 2311660/1/2/3/4
2229255/6 2225109 /
2229760
Type: Prestige

Ngong Branch

Code: 043
Address: 242 00208
Ngong
Tel: (045) 3123096,
3124191
Type: Standard

Nyahururu Branch

Code: 027
Address: 15 20300
Nyahururu
Tel: (065) 2032345
Type: Standard

Nyamira Branch

Code: 018
Address: 406 40500
Nyamira
Tel: (058)6144363,
6144364, 6144365,
6144367, 6144556,
6144558
Type: Standard

Nyeri Branch

Code: 030
Address: 239 10100
Tel: (061) 2030792/5
Type: Standard

Nyerere Avenue Mombasa Prestige Branch

Code: 016
Address: 90182 80100
Mombasa
Tel: (041) 2311461/ 427
Type: Prestige

Ongata Rongai (Express) Branch

Code: 052
Address: 30120-00100
Tel: (045) 3123096,
3124191
Type: Standard

Othaya Branch

Code: 053
Address: 329 10106
Othaya
Tel: (061) 3152071/2/4
3152173/5
Type: Standard

Pangani Branch

Code: 089
Address: 31044
00600 Nairobi
Tel: (020)3556245/
3556246
Type: Standard

Plaza Business Centre

Code: 077
Address: 30120 00100
Nairobi
Tel: (020) 2241270
Type: Corporate Business
Centre

Plaza Prestige Branch

Code: 077
Address: 30120 00100
Nairobi
Tel: (020) 2241270
Type: Prestige

Plaza Premier Centre

Code: 077
Address: 46661 00100
Nairobi
Tel: (020) 2241270
Type: Premier

Parklands Highridge Branch

Code: 087
Address: 38350 00623
Nairobi
Tel: (0203749571/2
Type: Standard

Parkside Towers Branch

Code: 010
Address: 26460 - 00504
Nairobi
Tel: (020) 6009080
/6009081/6009073
/6009076
Type: Standard

Premier Flagship Centre

Address: 46661 00100
Nairobi
Tel: (020) 4209000
Type: Premier

Port Mombasa Branch

Code: 032
Address: 97121 80102
Makupa
Tel: (041) 2319008/
9/ 10
Type: Standard

Queensway House Branch

Code: 094
Address: 30011 00100
Nairobi
Tel: (020) 2223161/
2223176
Type: Standard

Queensway House Prestige Branch

Code: 094
Address: 30011 00100
Nairobi
Tel: (020) 2223161/
2223176
Type: Prestige

Queensway Premier Corner

Address: 46661
00100 Nairobi
Tel: (020) 274 2000
Type: Premier

Rahimtulla Trust Towers Prestige Branch

Code: 070
Address: 72058 00200
Nairobi
Tel: (020) 2719173/ 4
Type: Prestige

River Road Branch

Code: 037
Address: 43200
00100 Nairobi
Tel: (020)343296/
2252301/ 2252382
Type: Standard

River Road Branch (Chomba House)

Code: 038
Address: 43200 00100
Nairobi
Tel: (020) 2211594/ 8,
2211582
Type: Standard

Ruaraka Branch

Code: 067
Address: 65090 00618
Nairobi
Tel: (020) 8561760/1,
8563973
Type: Standard

Ruaraka Prestige Branch

Code: 067
Address: 65090
00618 Nairobi

Sarit Prestige Branch

Code: 073
Address: 14403 00800
Nairobi
Tel: (020) 4449859/
3747133
Type: Prestige

Taveta Branch

Address: 269-8032
Taveta
Tel: (020) 2649515/6
Type: Standard

Thika Branch

Code: 031
Address: 219 01000
Thika
Tel: (067) 21201/3
/21501 / 30229/30
Type: Standard

Thika Road Mall Branch

Code: 024
Address: 30120 00100
Tel: 0773494391
/0724387543
Type: Standard

University of Nairobi Branch

Code: 083
Tel: 0710 602406
Address: 30120-00100
Nairobi
Type: Standard

Village Market Prestige Branch

Code: 055
Address: 1476 00621
Nairobi
Tel: 0717-444529
Type: Prestige

Voi Branch

Code: 054
Address: 720 80300
Voi
Tel: (043) 2030991-6
Type: Standard

Waiyaki Way Branch

Code: 020
Address: P.O Box
14636, 00800, Nairobi
Tel: (020) 4209384
Type: Standard

Webuye Branch

Code: 058
Address: 12 50205
Webuye
Tel: (055) 41331/
41304/ 41204
Type: Standard

Westlands Branch

Code: 073
Address: 14403 00800
Nairobi
Tel: (020) 448911/2
Type: Standard

Wote Branch

Code: 069
Address: 424 Wote
Tel: (020) 3592960/
044- 33573/4
Type: Standard

Wundanyi Branch

Code: 066
Address: 1277 80304
Wundanyi
Tel: (043) 2042406/2,
2042008/9
Type: Standard

Yaya Prestige Branch

Code: 045
Address: 34974 00100
Nairobi
Tel: (020) 3878328
Type: Prestige

Notes

Notes

